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What's News

Business & Finance

◆ **Nvidia and ADM** agreed to give the Trump administration a portion of the sales from their artificial-intelligence chips to China, unusual agreements that deepen their relationships with the U.S. government. **A1**

◆ **U.S. companies** are repurchasing their shares at a record pace, with \$983.6 billion of buybacks announced so far this year. The trend is boosting balance sheets and fueling the stock rally. **A1**

◆ **Intel CEO Lip-Bu Tan** is set to visit the White House after Trump called for his removal last week over ties to Chinese businesses. **A3**

◆ **As valuations** of Nvidia, OpenAI and other artificial-intelligence companies soar, so do investments in hedge funds that are hoping to ride the AI wave. **B1**

◆ **A companywide survey** at Target shows large numbers of employees lack confidence in the company's future, reflecting challenges as the chain tries to revive growth. **B1**

◆ **Warby Parker's** strategy of holding to the \$95 price of its most affordable glasses faces a severe test as Trump's tariffs are likely to raise its costs. **B1**

◆ **Efforts by Alaska Air** and Delta to expand overseas flights from Seattle have reignited a rivalry over the city both carriers consider a hub. **B1**

◆ **JPMorgan's Dimon** has taken his annual bus tour through new territory in the South as he seeks to expand the bank's reach. **B1**

World-Wide

◆ **European powers** and Ukraine responded to Putin's cease-fire plan with a counterproposal they say must serve as a framework so that coming talks between Trump and the Russian leader can gain traction. **A1**

◆ **Netanyahu said** Israel's new war plan includes dismantling Hamas in Gaza's central refugee camps in addition to Gaza City, a broadening that comes as he faces mounting criticism abroad and at home. **A6**

◆ **Chinese authorities** have held for questioning Liu Jia-chao, a diplomat widely seen as a potential foreign minister for the regime. **A7**

◆ **Trump's deals with U.S.** trading partners highlight an aggressive strategy in which his aides have used pressure and threats of high tariffs to quickly make agreements. **A4**

◆ **Worker-relocation** programs that began as an experiment during the pandemic to lure people back to small towns are becoming a widespread strategy. **A3**

◆ **Decades of close ties** between India and Russia pose a challenge for Trump in persuading Modi to stop massive purchases of oil from Moscow. **A6**

◆ **Families of 9/11 victims** suing Saudi Arabia are hoping Cantor Fitzgerald ex-CEO Lutnick, now commerce secretary, will aid their cause. **A3**

◆ **Munitions in an arms** depot linked to Hezbollah exploded as Lebanese army experts were dismantling them, killing six. **A7**

JOURNAL REPORT

Investing Monthly: What to know about selling gold. **B6-7**

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MLB's First Female Umpire Is Right at Home



COLIN HUBBARD/ASSOCIATED PRESS

STRIKING DEBUT: Jen Pawol called pitches in her first game behind the plate in Atlanta on Sunday, as the Braves beat the Miami Marlins 7-1, a day after she worked at first and third bases in a doubleheader. She donated her hat to the Hall of Fame. **A2**

Ukraine and Europe Counter Russia's Cease-Fire Proposal

New plan responds to Kremlin territorial demands, prior to Trump-Putin talks

By BOJAN PANCEVSKI
AND YAROSLAV TROFIMOV

BERLIN—European powers and Ukraine responded to Vladimir Putin's cease-fire plan with a counterproposal they say must serve as a framework so that coming talks between President Trump and the Russian

leader can gain traction, European officials familiar with the talks said.

The European plan rejected a Russian proposal to trade Ukrainian-held parts of the Donetsk region for a cease-fire. It was put forward in a meeting with top U.S. officials in England on Saturday.

Russia hasn't made steps toward peace despite its talks with the U.S., Ukrainian President Volodymyr Zelensky said on Sunday, calling for U.S. sanctions against Russia's economy. Russia launched an aerial attack on

Sunday on Ukraine's southeastern city of Zaporizhzhia, where at least 19 people were injured after homes, a clinic and a bus stop were hit, according to emergency services.

"Sanctions are needed, pressure is needed," he said. "If Russia does not want to stop the war, then its economy must be stopped."

A U.S. official said the Saturday meetings made progress toward Trump's goal of ending the war in Ukraine. A European participant said the U.S. side reacted positively to the Euro-

pean plan.

European leaders, including France's President Emmanuel Macron, German Chancellor Friedrich Merz and U.K. Prime Minister Keir Starmer, said in a joint statement after the meeting that a diplomatic end to the war must protect Ukraine's and Europe's security interests.

"We are convinced that only an approach that combines active diplomacy, support to Ukraine and pressure on the Russian Federation to end their illegal war can succeed," the

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Tragedy Thwarts Dissident's Rescue

Alexei Navalny's death in prison came before his expected release in a prisoner swap

By JOE PARKINSON AND DREW HINSHAW

Roger Carstens was rushing across Tel Aviv to meet Roman Abramovich, knowing he would have to ask the White House for forgiveness rather than permission.

Twice before, the Biden administration had turned down requests by the

special presidential envoy for hostage affairs to meet this enigmatic Russian oligarch, one of the handful of people Carstens considered a "back channel wizard" with the influence to untangle the thorniest diplomatic knots.

But in November 2023, when Carstens traveled to Israel to help American families whose loved ones

Hamas had taken hostage, a message reached his phone saying Abramovich was also in town. It seemed like an unmissable chance to advance a prisoner swap that could free U.S. citizens jailed in Russia—and at the same time, rescue Vladimir Putin's archnemesis, the Russian dissident leader Alexei Navalny.

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Job Search Crosses \$10,000 Threshold

By LINDSAY ELLIS

It takes a lot of money to make money, especially when it comes to looking for a job these days.

Josh Morgan, 45 years old, was laid off from his senior finance role late last year. After several fruitless months of searching for a new one, he paid a company about \$10,000 for six months' help.

The firm provides weekly meetings with a career strategist to evaluate open roles and sources potential jobs from talent recruiters. It also created a personal website for Morgan and lets him use software that helps tailor his résumé to job descriptions.

"They're like a marketing company, and I'm the product," said Morgan, who lives in Greensboro, N.C. He is still looking for work, but says the price will be worth it if it helps

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◆ **Some cities pay people to move there.**..... **A3**

INSIDE



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PERSONAL JOURNAL
The rambunctious Krypto in 'Superman' divides summer moviegoers. **A10**



BUSINESS & FINANCE
JPMorgan Chase's Jamie Dimon explores the South on his annual bus tour. **B1**

America's Great Pickle Divide Leaves Many Feeling Sour

* * *

Pickle craze escalates tensions between people who love them and those who don't

By NATALIE WEGER

All day long, Bryce Austin caters to pickle lovers. They flood the New York City store where he works to forage for pickles and pickled products. It's nauseating.

Austin, 20, has hated pickles for as long as he can remember. He wears a designated pair of pants to work at the Pickle Guys so he doesn't contaminate the rest of his wardrobe with the smell that follows him home. He



Pucker up.

Please turn to page A4

Record Buybacks Led by Banks, Tech Fuel Rally in Stocks

By KRYSTAL HUR

American companies are repurchasing their shares at a record pace, boosting their balance sheets and fueling the U.S. stock rally.

U.S. companies have announced \$983.6 billion of stock buybacks this year, the best start to a year on record, according to Birinyi Associates data going back to 1982. They are projected to purchase more than \$1.1 trillion overall in 2025, which would mark a high.

The biggest repurchasers include tech giants Apple and Google parent Alphabet. Big banks such as JPMorgan Chase, Bank of America and Morgan Stanley also are leading the charge.

Strong earnings growth and tax cuts have helped fill corporate coffers, while powering stocks out of their tariff-driven April rout and lifting the S&P 500 and Nasdaq composite to records. At the same time, the confusion around trade has stalled many businesses' in-

Trump Secures A Cut of Chip Sales To China

Nvidia, AMD to give the government 15% in unusual deal for export licenses

By AMRITH RAMKUMAR
AND ROBBIE WHELAN

Nvidia and Advanced Micro Devices have agreed to give the Trump administration a portion of the sales from their artificial-intelligence chips to China, unusual agreements that deepen their relationships with the U.S. government.

The Trump administration will receive 15% of the sales as part of a deal to approve exports of Nvidia's H20 AI chip to China, according to people familiar with the matter. That could amount to billions of dollars given demand for the H20 chips and is the latest example of the White House employing unusual tactics to raise revenue.

The administration has reached the same agreement with AMD for its MI308 chip, the people said. Details of the arrangements and the financial structures were still being worked out.

The Commerce Department began issuing licenses for Nvidia to send its H20 chip to China Friday, following through on a July promise. Over the weekend, the agency started moving licenses for the AMD chip, some of the people familiar with the matter said.

Exports of both the H20 and MI308 were halted in April, when trade tensions between the U.S. and China were simmering. Huang has gone on a charm offensive since then, talking to officials in both countries about the need to do business with one another.

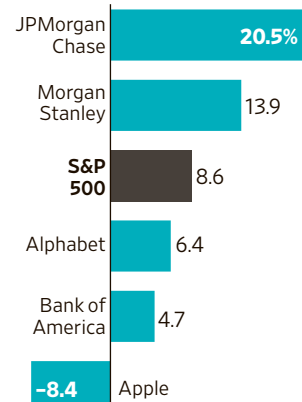
"We follow rules the U.S. government sets for our participation in worldwide markets," Nvidia said in a statement Sunday. "While we haven't shipped H20 to China for months, we hope export control rules will let America compete in China and worldwide."

The revenue agreement came after Huang met with President Trump Wednesday, the same day Trump announced tech companies that invest in the U.S. would be exempt from new chip tariffs. The Financial Times earlier reported on the agreements.

It is unusual for companies

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Share-price and index performance, year to date



Source: FactSet

vestment plans, making buybacks a more appealing use of incoming cash.

"Things are better than everyone makes them seem," said Jeffrey Yale Rubin, president of Birinyi Associates. "Companies are flush with cash. They were in healthy shape even before the better earnings."

Both companies and investors

Please turn to page A4

U.S. NEWS

THE OUTLOOK | By Paul Kiernan

Lessons From Argentina on Economic Data

Government statistician Graciela Bevacqua arrived at the office on a Monday to bad news from her boss: There was no easy way to say this, but the president wanted her head.

It was January 2007, and Bevacqua oversaw the consumer-price index at Argentina's national statistics agency, Indec. Rising inflation threatened the electoral hopes of leftist President Néstor Kirchner's wife, Cristina Fernández de Kirchner, who was running to succeed him. Bevacqua was unwilling to fudge the numbers, so Kirchner replaced her with a loyalist who did it.

Echoes of the Argentine saga have reverberated in the U.S. since President Trump fired Erika McEntarfer, commissioner of the Bureau of Labor Statistics, on Aug. 1 after big downward revisions to jobs data. He accused the bureau of rigging the data to make Republicans look bad but provided no evidence, and independent economists dismissed the allegation.

"This is the sort of thing only the worst populists do in the worst emerging economies," economist Phil Suttle said of McEntarfer's dismissal in a note to clients.

Although Argentina is an emerging economy, its statistics

agency was regarded as professional and independent, and governed by a solid legal framework. That makes its experience a useful lesson in what awaits the U.S. if new leadership politicizes economic data.

Following Bevacqua's removal, Argentina's officially reported inflation rate fell to 8.5% in 2007 from 9.8% in 2006. Fernández de Kirchner easily won the election, and the government initially saved billions of dollars in interest on inflation-linked bonds which could be spent on social programs and subsidies.

In reality, inflation had accelerated to around 25%, private economists estimated. The government faced lawsuits from unions and pensioners whose social-security checks were indexed to inflation. Some of the government's savings on inflation-linked bonds were offset by higher payments on debt tied to gross domestic product, which came in artificially high.

"It started to become a huge mess," said Alberto Cavallo, an Argentine economist teaching at Harvard University who created a website that tracked inflation based on publicly available prices to fill the void left by Indec. Users bombarded him with all



President Trump with Bureau of Labor Statistics jobs data.

sorts of questions over email, like how much to adjust settlement payments to an ex after a divorce. "The examples add up, and you end up realizing how important some of these statistics are," he said.

In the U.S., trustworthy economic data are central to determining how much people pay in taxes, receive in retirement benefits and earn on some investments. Along with an independent Federal Reserve, the data also underpin the dollar's reserve-currency status, as well as roughly \$120 trillion in stocks and bonds.

It is unclear how far Trump intends to go in overhauling the BLS or its sister

agencies. Kevin Hassett, Trump's National Economic Council director, has said the president "wants his own people there, so that when we see the jobs numbers, they are more transparent and reliable."

On Tuesday, the BLS will report the CPI for July, its first major release since McEntarfer was fired. Trump had told reporters Aug. 3 that he planned to announce a new BLS commissioner "sometime over the next three or four days," but hasn't yet done so.

"This is the most important selection in the history of the BLS," said William Beach, McEntarfer's Trump-ap-

pointed predecessor. Beach, who has called her firing "totally groundless" and a "dangerous precedent," said that to "heal this, you would have to have an appointment of a person whose reputation for honesty and integrity is beyond question. You would have to have a unanimous vote in the Senate for that confirmation."

If new appointees are perceived as partisan, that would likely erode the agencies' credibility. Market participants would take positive economic data with a grain of salt and presume negative data masked an even worse reality. The ability of the Fed and other policymakers to respond to changes in the economy would be compromised.

"You can't hide the fact that people are out of work and prices are changing, but without direct measurement of those things that are officially collected and that everyone has equal access to, it really would be sort of a Dark Ages situation," said Brent Moulton, a former associate director of the Commerce Department's Bureau of Economic Analysis, which calculates GDP, personal income and several other data series.

Institutional checks exist to guard against outright manipulation. Mishandling economic statistics or improperly

accessing the confidential information used to compile them is a felony. Dozens of career staff work on major releases like the monthly jobs report, inflation data and GDP who would likely blow the whistle if data were mishandled, former officials said.

Argentina had similar legal protections around Indec, which survived a military dictatorship, hyperinflation and economic meltdowns and was considered a model statistics agency in Latin America. More than 100 staffers worked on the inflation index, Bevacqua said.

"The index had so many safeguards, it seemed impossible to me that someone could manage to change the numbers," Bevacqua said. "Not only did that happen, but they stayed for many years, and part of the institution is still recovering."

Argentina stopped manipulating the data in 2015 after Fernández de Kirchner left office, and started a new inflation series that began in June 2016. It is now regarded as credible.

Bevacqua said it is too soon to compare the situation at BLS to Indec. "I think the U.S. has strong institutions," she said. "But it could be a sign. You never know."

U.S. WATCH



Rescuers helped people and pets from flooded homes Sunday in Wauwatosa, Wis., outside Milwaukee. Parts of Wisconsin saw as much as 13 inches of rain from Saturday into Sunday.

MIDWEST

Flash Floods Hit Several States

Flash flooding canceled the final day of the Wisconsin State Fair on Sunday as continued heavy rainfall in half a dozen Midwest states forced motorists to abandon their vehicles, cut power to thousands of households and closed busy roadways.

The National Weather Service issued flood watches and warnings for parts of Kansas, Iowa, Nebraska, Missouri, Illinois and Wisconsin. After rainfall began on Saturday in some areas forecasters predicted "repeated rounds of heavy rain," along with hail, damaging winds and isolated tornadoes into Monday.

Among the worst hit was the Milwaukee area, where as many as 12 inches of rain had fallen in some areas by Sunday, according to the National Weather Service, which also noted river flooding in Milwaukee and Waukesha counties.

—Associated Press

SPACE STATION

Four Astronauts Are Back on Earth

Four astronauts returned to Earth on Saturday after hustling to the International Space Station five months ago to relieve the stuck test pilots of Boeing's Starliner.

Their SpaceX capsule parachuted into the Pacific off the Southern California coast a day after departing the orbiting lab.

NASA's Anne McClain and Nichole Ayers, Japan's Takuya Onishi and Russia's Kirill Peskov launched in March as replacements for the two NASA astronauts assigned to Starliner's botched demo.

It was SpaceX's third Pacific splashdown with people on board, but the first for a NASA crew in 50 years.

The latest time NASA astronauts returned to the Pacific from space was during the 1975 Apollo-Soyuz mission, a détente meet-up of Americans and Soviets in orbit.

—Associated Press

BASEBALL

Pawol Makes Smooth Debut

Jen Pawol felt support from fans, family, peers and players as she made history as the first female umpire to work a regular-season game in the major leagues.

"It was amazing when we took the field," Pawol said.

Pawol's debut came as the first-base umpire for Saturday's first game of a doubleheader between the Atlanta Braves and Miami Marlins.

"She did a good job," Braves manager Brian Snitker said. "You can tell she knows what she does."

Pawol worked third base in the second game of the doubleheader Saturday. On Sunday, she called pitches behind the plate in the final game of the series.

Her rise came 28 years after the NBA gender barrier for game officials was broken and 10 years after the NFL hired its first full-time female official.

—Associated Press

CORRECTIONS & AMPLIFICATIONS

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Labor Bureau Critic Among Candidates to Lead Agency

BY BRIAN SCHWARTZ AND MERIDITH MCGRAW

The Trump administration is interviewing candidates to lead the Bureau of Labor Statistics, including at least one longtime critic of the agency, according to a senior administration official.

Administration officials are weighing candidates to take the top job after President Trump fired the BLS commissioner earlier this month following the release of a weak jobs report. One of the people being interviewed is E.J. Antoni, the chief economist at the Heritage Foundation, who has long criticized the agency's approach to collecting jobs data.

The interview process will include talks with a variety of candidates and is continuing, the official said. Trump has yet to announce who he will nominate to run the agency.

A White House spokeswoman said, "President Trump has selected the best and brightest individuals to lead the federal government. He will announce the next BLS Commissioner when he has made a decision." Antoni didn't return requests for comment.

The White House's interest in appointing a prominent critic speaks to the significant overhaul that Trump is looking

to make at the agency. Antoni has voiced concerns about revisions to the jobs data at BLS.

"There are better ways to collect, process, and disseminate data—that is the task for the next BLS commissioner, and only consistent delivery of accurate data in a timely manner will rebuild the trust that has been lost over the last several years," Antoni posted on X last week.

Economists have expressed concern that the personnel changes Trump is enacting at the top of the agency could undermine faith in America's economic statistics.

Antoni's supporters include former Trump White House chief strategist Steve Bannon, who has pushed for Trump to have a MAGA ally the president trusts running BLS. Antoni called for the removal of Erika McEntarfer as head of BLS on Bannon's show following the release of a weak July jobs report. Hours later Trump ordered his team to fire her.

"E.J. Antoni as the new head of Bureau of Labor Statistics—that's what we're pushing. He's the guy that almost single-handedly took it down by going through their numbers," Bannon said on his podcast.



E.J. Antoni, a candidate to lead the Bureau of Labor Statistics, called for the removal of the agency head hours before her firing.

Fed's Bowman Says Job Numbers Make Case for Interest-Rate Cut

BY MATT GROSSMAN

Dramatic downward revisions to recent job-growth figures underscore why the Federal Reserve should be cutting interest rates, Fed governor Michelle Bowman said.

In a speech at a bankers' conference in Colorado Springs, Colo., on Saturday, Bowman said a bleak jobs report last week reinforced the concerns that led her to dissent against the central bank's decision to hold rates steady in July rather than cut.

Bowman said that the apparent weakening in the labor market outweighs the risks of higher inflation ahead. She said she expects to support three rate cuts over the Federal Reserve's three remaining meetings this year.

"With economic growth slowing this year and signs of a less dynamic labor market becoming clear, I see it as appropriate to begin gradually moving our moderately re-

strictive policy stance toward a neutral setting," Bowman said, according to a published text of her speech.

At the Fed's latest meeting a week and a half ago, Bowman joined Fed governor Christopher Waller in arguing for a rate cut, yielding two dissents—the most contentious Fed voting result in years. Fed Chair Jerome Powell led a majority who voted to hold interest rates steady for the fifth straight meeting. He said in a news conference afterward that the possibility that tariffs will spark more inflation "is a risk to be assessed and managed."

Bowman and Waller have taken a different view. They have argued that in a slower consumer economy, companies will find it harder to raise prices, and the Fed should lean toward cushioning potential weakness in the labor market because hiring has turned sluggish.

The Fed's decision to hold

rates steady came July 30. Two days later, the government released a disappointing July jobs report.

Other Fed officials were less shaken by the weaker-than-expected report, arguing that the figures showed a gradual softening that may allow the Fed to keep rates on pause for now. But in financial markets, the jobs data have swung traders' bets heavily in favor of a rate cut at the Fed's next meeting, set for Sept. 16-17.

Waller and Bowman may soon have more company on the Fed's policy committee in calling for lower rates. Thursday, President Trump nominated a top economic adviser, Stephen Miran, to fill a vacant seat on the board following the resignation of Adriana Kugler.

Like Trump, Miran has argued for lower interest rates in recent months, although his confirmation to the Fed's board by the Senate may not come in time for the central bank's September meeting.

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U.S. NEWS



Some Cities Will Pay People To Move There

In effort to reverse years of brain drain, programs reach out to remote workers

By MAGGIE GRETHER

About six years after leaving central Indiana for Texas, Brandon Speece felt an itch to move back.

At first, the costs of moving felt like a possible deal breaker. Then the 30-year-old, whose data-engineering job went remote during the pandemic, stumbled upon an offer: The Indianapolis suburb of Noblesville would pay him \$5,000 to move there, and throw in perks like concert tickets, a membership to a shared workspace and access to a golf course.

Speece and his fiancée took the deal and moved in 2023. Last year, the couple bought a house, which would have been hard for them to pull off in

Austin's pricey housing market.

"The biggest benefit was the cash, which we just turned around and used to hire movers," said Speece. But "the co-working space was great, and the golfing didn't hurt."

What began as an experiment during the pandemic to attract people back to small towns and cities in the American heartland is, about five years later, becoming a widespread strategy.

MakeMyMove, a platform for worker-relocation programs that launched in 2020 with around 20 programs, now features over 178 programs covering hundreds of cities and towns, according to co-founder Evan Hock.

MakeMyMove relies on the continued prevalence of work that is fully remote, which peaked during the pandemic, but has remained stable since 2023, says Nicholas Bloom, a Stanford economist who stud-



Noblesville, Ind., above, a suburb of Indianapolis, has attracted 102 remote workers since 2022, including David and Devon Wellington, above left. The family moved to Noblesville from Washington, D.C., through its 'MakeMyMove' program.

ies the topic. According to Bloom, around 10% of the American workforce remains fully remote.

Local governments are hoping these workers can help reverse decades of brain drain, though such programs offer no quick fix. To succeed, cities must move enough workers to have an economic impact, and invest resources to make sure the movers stay long-term.

While some well-funded programs in larger cities have had success pulling in workers with economic heft, many newer programs in more isolated areas remain small.

"This needs a lot of hand-holding," said Prithwiraj Choudhury, a management professor at the London School of Economics who has studied the issue. "It's not just putting an incentive on paper and then people will come and stay."

On MakeMyMove, cities and towns vie to attract that pool of 17 million fully remote

workers. Examples include Terre Haute, Ind., Columbus, Ga., and Whitesburg, Ky., offering remote workers incentives ranging from \$5,000 to \$7,500.

The incentives are growing more elaborate. Alongside cash, programs offer gym memberships, park passes and coffee with the mayor.

Tulsa Remote, among the country's most established remote-worker programs, says it has brought over 3,600 people to Tulsa, Okla., since it began in 2018. Of the people who have completed the program since 2019, 70% are still living in Tulsa.

The program, funded through the George Kaiser Family Foundation, pays workers \$10,000 to relocate for at least one year. Twenty-three percent of the workers brought through Tulsa Remote work in tech.

A recent study funded by Tulsa Remote and conducted by the W.E. Upjohn Institute

for Employment Research, found that each dollar spent on the Tulsa Remote program returned over \$4 in local benefits, primarily through tax revenue and job creation. The study also found that the Tulsa Remote program was six times as efficient at creating jobs as traditional business incentives.

Noblesville, which runs one of the larger programs on MakeMyMove, has relocated 102 remote workers since 2022, bringing a total of 253 new residents. So far, the program reports a 90% retention rate, according to a city spokeswoman. The city projects that the program will have a \$37.6 million economic impact over the next five years. Those in the program average \$80,000 in wages, and the average price of the homes bought by movers is almost \$500,000.

Chris Jensen, Noblesville's mayor, sees population growth as an existential matter for

the city. "In Indiana in particular—and probably across the country—you're either growing or dying as a community," he said.

After David Wellington's Washington, D.C.-area job went remote during the pandemic, the 38-year-old and his wife began to research remote-worker incentive programs. Noblesville stood out for its affordable homes, well-regarded school system and proximity to family members living in Indiana.

Wellington and his wife, who runs a business shipping holiday decor, sold their three-bedroom townhouse in the D.C. area for \$640,000, and paid \$600,000 for a five-bedroom home nestled into a Noblesville cul-de-sac. The couple used the \$5,000 incentive to furnish their new home.

"I don't think we had ever imagined living in Indiana at all," Wellington said. "We're both coasters."

Families of 9/11 Victims See a Last Hope for Justice

By NATALIE ANDREWS

Days after the Sept. 11, 2001, attacks on the World Trade Center where her husband worked at the municipal-bond desk of Cantor Fitzgerald, Kai Thompson Hernandez got a strangely reassuring message from his boss.

Stop hoping for survivors. No one in the top floors made it out, the chief executive of the firm, Howard Lutnick, told anxious families waiting in a hotel ballroom. Lutnick, who lost a brother in the attacks, survived only because he was running late that day dropping his son off at kindergarten. Hernandez remembers some criticized the message as heartless, but the new widow found it necessary to begin the long process of mourning her husband Glenn Thompson.

Nearly 3,000 people were killed when terrorists crashed hijacked airliners into the World Trade Center, the Pentagon and, after passengers resisted, a Pennsylvania field. Trials of some of the hijackers' alleged co-conspirators have dragged on for decades, and two wars yielded few tangible wins. Instead, the families have channeled their ire into a multiyear lawsuit against Saudi Arabia, where most of the attackers were from.

Now, Lutnick is the commerce secretary, and Hernandez and other families who lost loved ones that day see him as



Kai Thompson Hernandez lost her husband Glenn Thompson on Sept. 11, 2001.

their last hope for justice.

More than 100 family members of Cantor Fitzgerald employees who were killed during the attacks sent a letter to Lutnick asking him to demand that the Saudi government "accept responsibility for the actions of their predecessors." They added in the letter, "Please help ensure our voices are heard and the truth finally comes out."

A Commerce Department spokesman said Lutnick has read the letter. "He deeply appreciates their thoughts and concerns," the spokesman said. The pain still feels raw for

Hernandez. One of the most difficult moments was when she turned 45, one year older than her husband when he was killed. A friend flew in to be with her, and she took a long walk on the beach and went for a swim, one of her husband's favorite activities.

The grief hits Lutnick too. He cried at his January confirmation hearing as he told the story of that day and losing 658 employees, including 36-year-old Gary Lutnick.

Lutnick himself is a plaintiff in the families' lawsuit against Saudi Arabia.

"The hardest part has been

waiting for justice that hasn't come," Hernandez said. The families found new hope in President Trump, who in 2016 blamed "the Saudis" for the attack on the World Trade Center.

Hernandez and other families of those killed that day are urging Trump and Lutnick to use their leverage with Saudi Arabia. They also hope the U.S. will use new evidence to charge and then push Riyadh to extradite Omar al-Bayoumi, a Saudi national, for his alleged role in helping carry out the terrorist attack almost 24 years ago.

Saudi Arabia has denied complicity in the attacks. Trump has cultivated close ties with Saudi officials since he first took office in 2017. At his golf course, he hosted the LIV Golf circuit, almost entirely funded by the kingdom's sovereign-wealth fund. White House officials have discussed hosting Mohammed bin Salman, Saudi Arabia's crown prince, in Washington later this year.

A judge could soon rule on whether the families' lawsuit should be dismissed or proceed on the merits, which could put pressure on Saudi Arabia to provide further information about its alleged role in the Sept. 11 plot, potentially leading to a public trial in the U.S. District Court for the Southern District of New York.

The Saudi government has filed a motion to dismiss the case. The Saudi embassy in Washington didn't respond to a request for comment on the case.

Saudi Arabia's involvement in the planning of the attacks is the subject of dispute. The 9/11 Commission said in its 2004 report it had seen "no credible evidence" that al-Bayoumi had knowingly aided extremist groups. But the FBI in 2021 released a memo the families had long sought, which showed that al-Bayoumi had checked into a Culver City, Calif., hotel a month before the hijackers' arrival, with a man whose phone

numbers were linked to a spiritual adviser to a lieutenant to the mastermind of the attacks, Osama bin Laden.

Among the evidence unsealed in federal court last year as part of the lawsuit was a pad on which al-Bayoumi had sketched an airplane in blue ink with an aeronautical equation written onto it, and a video that al-Bayoumi took of the U.S. Capitol building before the attacks.

Some who lost family members in the attacks say Lutnick isn't doing enough.

"He's negotiating trade deals with the Kingdom of Saudi Arabia at the same time he's on a lawsuit suing them for hundreds of billions of dollars," said Brett Eagleson, who lost his father in the terrorist attacks and leads a group of families organized as 9/11 Justice.

"How about you actually use your position to do something for these families and these people you claim are your family?" said Anne Wodenshek, age 60. Her husband, Christopher Wodenshek, worked for Lutnick at Cantor Fitzgerald and was killed in the attacks, leaving five small children.

It is the second time that families of those killed on Sept. 11 have written to Lutnick. They did so before he went to Saudi Arabia, where he took a picture and shook hands with bin Salman. They didn't receive an answer.

Intel CEO, Facing Trump Demand to Quit, Is Set for White House Visit



Intel CEO Lip-Bu Tan

By LAUREN THOMAS

Intel CEO Lip-Bu Tan is set to visit the White House Monday after President Trump called for his removal last week over ties to Chinese businesses, according to people familiar with the matter.

Tan is expected to have a wide-ranging conversation with Trump, with the intent of explaining his personal and professional background, the people said. He could also propose ways that the government and Intel could work together, they said.

Tan hopes to win Trump's

approval by showing his commitment to the country and pledging the importance of keeping Intel's manufacturing capabilities as a national security issue, one of the people said.

Trump has aggressively pushed U.S. companies to make changes ranging from eating the cost of tariffs to doing business with more conservatives and other political allies. Trump's singling out of Tan came the day after he exempted tech companies such as Apple from new tariffs on semiconductors—on the condition they increase their in-

vestments in the U.S.

"The CEO of INTEL is highly CONFLICTED and must resign, immediately. There is no other solution to this problem," Trump wrote in a post on Truth Social on Thursday. The post came a day after Sen. Tom Cotton (R., Ark.) published a letter he sent to Intel board chairman Frank Yeary expressing his concerns about Tan's China ties.

Tan is Malaysian-born and later became an American citizen. Scrutiny of his business dealings appears to be tied to a recent development involving Cadence Design Systems,

the company he led until 2021 as well as his venture-capital firm's investments in Chinese companies.

Cadence last week agreed to plead guilty and pay more than \$140 million to resolve Justice Department charges for selling its chip-design products to a Chinese military university.

Tan took over as CEO of Intel in March following the exit of Pat Gelsinger last year. Investors cheered Tan's arrival after Gelsinger had been unable to revive Intel's falling stock price, given Tan's experience having turned around

Cadence Design and his relationships across the tech industry.

But the first few months of his tenure have been marked by a clash with some members of the board, including Yeary, over the company's strategy, The Wall Street Journal reported.

Intel had already made plans to make significant U.S. investments under former President Joe Biden. It pledged to spend \$100 billion over five years to bolster U.S. chipmaking capacity as it became the biggest recipient of funding from Biden's Chips Act.

U.S. NEWS

Trump, in His Unorthodox Way, Inks Deals

BY BRIAN SCHWARTZ
AND GAVIN BADE

After a faltering start to his effort to remake global trade, President Trump wanted deals, and he wanted them quickly.

To deliver for their boss, senior administration officials embarked on an aggressive campaign beginning this spring to pressure trading partners into agreements that would allow Trump to declare victory.

On trips to Europe, a top economic adviser, Stephen Miran, delivered a warning to his counterparts: If they didn't start seriously negotiating and find a way to come to a deal with the U.S., then their countries would face high tariffs. Miran conveyed the message in May to France and Germany, and later in June to officials in Brussels, where the European Union's executive arm is based, according to a senior administration official.

The behind-the-scenes campaign was launched after

Trump paused a wave of tariffs he announced in April, according to people familiar with the matter. He had pulled the plug on his large-scale reciprocal tariff plans that were initially announced on "Liberation Day" as global markets faltered. The effort has resulted in a tariff truce with China and deals with some of the country's largest trading partners, including the EU, Japan and South Korea, as well as the highest overall U.S. tariffs since the Great Depression. On Thursday, higher tariffs on nearly 100 nations went into effect.

The private negotiations since the pause were largely led by Treasury Secretary Scott Bessent, Commerce Secretary Howard Lutnick and U.S. Trade Representative Jamieson Greer.

All three men used their own methods of trying to set up Trump with trade deals featuring promises of enormous investment in the U.S. by trading partners and a range of Trump's beloved tariffs.

"President Trump has assembled the best and most experienced trade and economic team in modern history, and their full-court efforts have delivered one historic trade deal after another to level the playing field for American industries and workers," White House spokesman Kush Desai said.

Trump's deals with the EU and others highlight a new type of accelerated negotiation strategy used by the administration with allies and adversaries alike. Instead of months or years of talks that arrive at extensive, legally binding trade agreements, Trump's team has sought broad, fast-tracked trade agreements in which enforcement relies on Trump's personal interpretation of emergency economic powers, rather than typical dispute-settle-

ment processes that often involve neutral arbitrators.

"This is not like a free-trade agreement, where there's a dispute-settlement system and we have to give consultations for 45 days and then select arbitrators," Greer told reporters after a recent round of talks with the Chinese officials in Stockholm.

"This is a situation where we are...trying to control our trade deficit" using an emergency measure and an International Emergency Economic Powers Act order that the president can modify as needed, he said.

While the administration has trumpeted initial successes from its aggressive approach, officials have left some important details unfinished in their rush to announce deals.

In Southeast Asia, the administration has said that nations will face higher tariffs—

double their normal rate or more—if their goods contain too much content from non-market economies, particularly China. But no information has been released on how much Chinese content would make goods subject to higher tariffs—a detail that will determine how the brunt of exports from nations like the Philippines, Vietnam or Malaysia are handled.

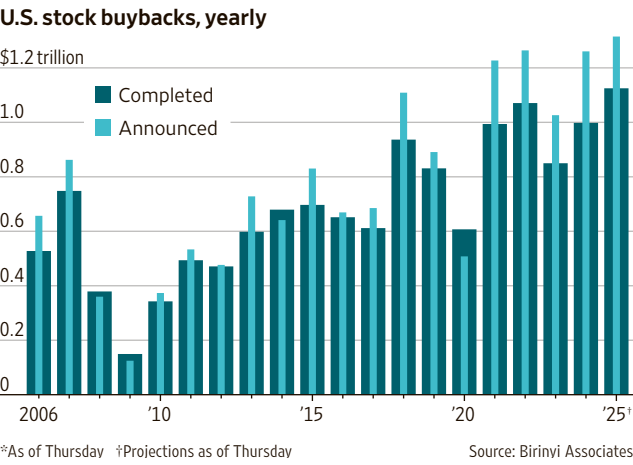
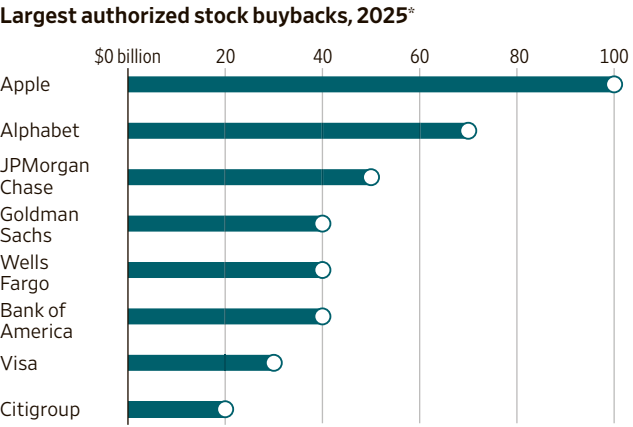
A senior administration official said the Trump team knows "what that rule of origin is going to be" for Chinese content, but isn't yet ready to implement it and declined to give more details. Major retailers are still in the dark, as are several Southeast Asian trading partners that haven't been notified of U.S. plans and haven't agreed to any rule of origin when it comes to the Chinese content, said people familiar with the discussions.

Elsewhere, the administration is still working through details of trade frameworks that it has already announced. The U.S. and U.K. are still ne-

gotiating the finer points of the trade pact they struck back in May, including details for U.K. steel exports. U.S. and Japanese negotiators met this past week to iron out how automotive tariffs would be treated under their deal. There are still open questions about how the Japanese government plans to fulfill its pledge to provide \$550 billion in funding for infrastructure—projects that Trump has insisted will be under his sole discretion.

The administration faces another self-imposed deadline on Aug. 12—the date that tariffs on China will climb to 80%-85% if the president doesn't extend a tariff truce with Beijing. Greer and Bessent concluded what they termed constructive talks with the Chinese recently in Stockholm, but Trump hasn't yet said whether he would extend the deadline.

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◆ Heard on the Street: Tariffs won't fix U.S. chip woes... B10



Record Buybacks Fuel Rally

Continued from Page One

tors often applaud buybacks because the practice reduces the number of shares available to trade, driving up earnings per share and often boosting stock prices.

But the practice is controversial in some quarters, with skeptics contending that repurchases serve to prop up the market amid already stretched valuations. Some analysts worry that the preference for buybacks over longer-term commitments like investing in factories or offering dividends suggests President Trump's trade war stands to weigh on growth over time.

Skeptics also say companies tend to repurchase shares when they are rising rather than when they are relatively cheap, making buybacks an inefficient use of extra cash.

Buyback announcements ramped up in July, when strong corporate earnings, a wave of trade deals and signs of economic resilience powered stocks to highs. U.S. companies announced \$165.6 billion of buying in July, above the previous July record of \$87.7 billion in 2006, according to Birinyi.

Companies did also buy when markets were weaker earlier in 2025. S&P 500 firms bought \$293.5 billion of their stock during the three months of this year, a quarterly record and up 21% from the end of 2024, according S&P Dow Jones Indices data.

Buybacks have been particularly concentrated at the top, with the 20 largest companies accounting for almost half of repurchases. This year's largest buyback authorizations are from big tech firms, the beneficiaries of the boom in artificial intelligence stocks, whose balance sheets have ballooned even as their market values have soared.

In May, Apple pledged to funnel as much as \$100 billion into buying its own shares while warning that tariffs

could add millions of dollars to the iPhone maker's costs. The company has \$36.3 billion in cash and cash equivalents, according to quarterly results reported in July.

Alphabet announced a \$70 billion stock buyback program this year and reported having about \$21 billion in cash and equivalents.

America's largest banks are also at the forefront of the surge. JPMorgan said in July that the company will buy back \$50 billion of stock. Bank of America announced a share repurchase program of \$40 billion, and Morgan Stanley reauthorized up to \$20 billion in buybacks.

Some analysts view the banks' recent shopping spree as a sign that a cooling economy hasn't hit Americans' ability to keep spending and borrowing.

"The buybacks would suggest that the consumer is in pretty good financial health at the moment," said Bill Fitzpatrick, managing director at Logan Capital Management.

Others question whether companies are using buybacks to boost share prices and pa-

per over the hit from Trump's tariffs on their balance sheets. Some note companies could also put off buybacks if tariffs strain their profits.

Warren Buffett isn't among those buying. Berkshire Hathaway revealed this month that it refrained from repurchasing any shares during the April-to-June period, marking the fourth consecutive quarter that it hasn't bought its stock. Berkshire's cash pile swelled to a record \$344 billion, including equivalents, at the end of June.

BlackRock's Larry Fink has warned against buybacks in his annual letter to chief executives, saying they can offer quick returns but should be balanced with longer-term growth investments.

But many analysts say they expect the buying binge to boost indexes, already lifted by solid corporate earnings, and fuel the stock rally for now. Of the 91% of companies in the S&P 500 index that have reported second-quarter results, about 82% have beaten estimates, according to FactSet.

"That bodes well for the broader market," Fitzpatrick said.

Haters Sour On Pickle Fixation

Continued from Page One

has to taste-test pickles every week for the store, and keeps a trash can on standby for when he does.

"I'm not happy I have to taste pickles as often as I do," he said. "Growing up, it would be my worst nightmare."

Pickles are virtually everywhere. Popeyes released a limited-time pickle menu in April, which featured pickle glaze sandwiches, wings and lemonade. Cup Noodles debuted pickle ramen in June, encouraging customers to pair the noodles with a crunchy pickle spear. Pringles, Cheetos and Goldfish are selling their own versions of pickle-flavored snacks.

The ubiquity has deepened America's divide over the already polarizing snack as haters find them harder to avoid. Austin brought this on himself by choosing to work at a pickle store. (He liked the positive atmosphere.) Others say they are unwitting victims of the craze, which is sparking arguments on social media and testing friendships.

To 25-year-old Trinity Jackson, pickles are an abomination. After a hot July day of playing volleyball in Houston, she sat at a table with two friends and started plucking pickles from her sandwich. Then one of her friends reached for the extra slices.

"You think you know a person and then you find out they like pickles," Jackson said. "And then it's like, 'Wow, you aren't even who I thought you were.'"

The three friends argued about pickle politics for about 10 minutes. Her friend who had taken the extra scraps proudly told the group that she had eaten seven pickles the week before. At that point,



Jackson started to re-evaluate their friendship.

"The idea of anything being pickle-flavored at this point in time is actually repulsive," Jackson said.

Bad news, pickle haters: You're losing.

Pickle-flavored snacks have existed for years, but companies keep finding new ways to lean into the sweet-and-sour flavor.

Yelp predicted the craze in its 2023 trend forecast, after searches for pickle-flavored

foods rose 55%. It shows no signs of abating. The company more recently recorded an upswing in the search for "pickle sandwiches." The term includes sandwiches that replace bread with two halves of a pickle, a product that Jimmy

Clockwise from top, pickles by the barrel at the Pickle Guys store in Manhattan's Lower East Side; jars of pickles at Sweet Pickle Books, a short walk away; customer Zac Moore making his selection. 'I know a lot of people that would die for pickles,' Moore said



John's released as the "Picklewich" for a limited time last year.

Some fast-food chains released offerings in July, national pickle month. Sonic rolled out a pickle menu featuring a sweet slushie with

boba-style pickle-juice-flavored bubbles. Del Taco debuted a fried pickle taco in select locations.

Pickle lovers are attending pickle festivals across the U.S. in places like Baltimore, Pittsburgh and Arlington, Texas. Another twist: pickle birthday cakes.

It's all been a beautifully sour boon for Sweet Pickle Books.

Located on Manhattan's Lower East Side just a short walk from the Pickle Guys, Sweet Pickle Books started out selling pickles alongside books. Now, the used bookstore also hosts a pickle-trading business as customers swap their used books for jars filled with pickles.

It's the pickle people who make the store a success.

They walk into the shop with pickle tattoos, shirts, hats and purses. They brag about their dog or cat named Pickle. One man, whose last name is Pickle, even showed his ID and asked for a discount.

"It's like their personality. It's like in their DNA," said Leigh Altshuler, the bookshop's owner. "If there's pickle anything, they're going to go out and see it."

Ashlee Prewitt-Crosby eats two to three pickles a day.

But the 37-year-old from Rhode Island said pickles have created a Facebook war between her family members.

Every couple of weeks, her mom and uncle argue on Facebook about pickle products. Her uncle will post the most outlandish recipes and then her mom, an avid pickle hater, will usually comment with vomit emojis under the post. Her uncle will fire back with an even crazier recipe.

Family members will tag the pair in posts featuring products like pickle ice cream, cupcakes, cotton candy and casserole, just to stir up a fight. The debacle has gone on for about two years.

"It's like pickle warfare on Facebook between the 60-somethings," Prewitt-Crosby said.

U.S. NEWS

RFK Jr. Brings Message Of Healthy Food to Alaska

By LIZ ESSLEY WHYTE

FAIRBANKS, Alaska—In a community of roughly 230 people about six hours by car from Fairbanks on a gravel road, Health Secretary Robert F. Kennedy Jr. heard from Alaska Natives about how hard it is to find fresh food. The king salmon that once sustained the village of Tanana are disappearing. Because of high fuel and shipping costs, a half gallon of milk at the local grocery store costs \$10.99. A greenhouse took millions of dollars to construct, according to Kennedy, but was never hooked up to water and electricity, making it unusable for most of the year.

The visit to Tanana was part of a three-day trek across the Last Frontier, where RFK Jr. was searching for ideas to help Alaska Natives eat more vegetables, salmon, moose, berries and other traditional foods.

In his latest quest to Make America Healthy Again, Kennedy met with populations who often have limited access to fresh food and higher rates of obesity and heart disease, representing a case in point for his attacks on ultraprocessed foods.

Diabetes has disproportionately plagued Alaska Native and American Indian communities, with adults almost three times as likely to have Type 2 diabetes as white adults, according to the Centers for Disease Control and Prevention.

“Processed food is poison,” Kennedy told reporters during a stop in Anchorage, recounting how tribes had gradually drifted from traditional foods. “Processed foods are literally killing them. They’re part of a genocide that is centuries old.”

As is the case with much of the secretary’s MAHA agenda, the headwinds are daunting.

Overfishing, climate change, a short northern growing season and the high cost of fuel and shipping across this vast state combine to make fresh food, or hunting for it, expensive and, for many, harder each year.

U.S. to Get Cut of China Chip Sales

Continued from Page One
to essentially pay for export licenses. The deals follow criticism from national-security hawks who fear the chips will boost China’s AI ecosystem and military.

Nvidia has said its chips don’t get diverted to U.S. adversaries in large quantities. Administration officials say the H20 isn’t a top-performing chip and that they want Nvidia to compete with China’s Huawei around the world.

The Nvidia licenses are some of the only ones being granted while the U.S. and China continue negotiating on trade. Access to semiconductors is one of the biggest priorities for the Chinese and advantages for the U.S.

Nvidia developed the H20 specifically for the Chinese market in 2023 after the Biden administration placed export restrictions on more advanced AI chips. The chip uses the company’s Hopper architecture, which allows for tens of thousands of cores, or processing units that can each handle simultaneous computations, and which is less powerful than Nvidia’s latest series, known as Blackwell.

The H20 chip isn’t advanced enough to quickly train large language AI models, but is useful for the processes by which models that have already been trained can draw conclusions from new data.

Chinese authorities have also raised concerns about H20 chips, cautioning that they aren’t environmentally friendly and could come with security risks. Nvidia said this month that the chips don’t have so-called “back doors” that allow them to be controlled or accessed remotely.

“The secretary is right in his message, but what he needs to appreciate is that it is expensive to do this,” Sen. Lisa Murkowski (R., Alaska) said in an interview. “It’s one thing to say, go out and eat more traditional food. You tell me how you’re going to do it with the cost of everything.”

In Tanana, grocery-store owner Cynthia Erickson said that last year she stopped selling fresh produce other than potatoes and onions, because too often other fruits and vegetables would arrive

frozen or rotten.

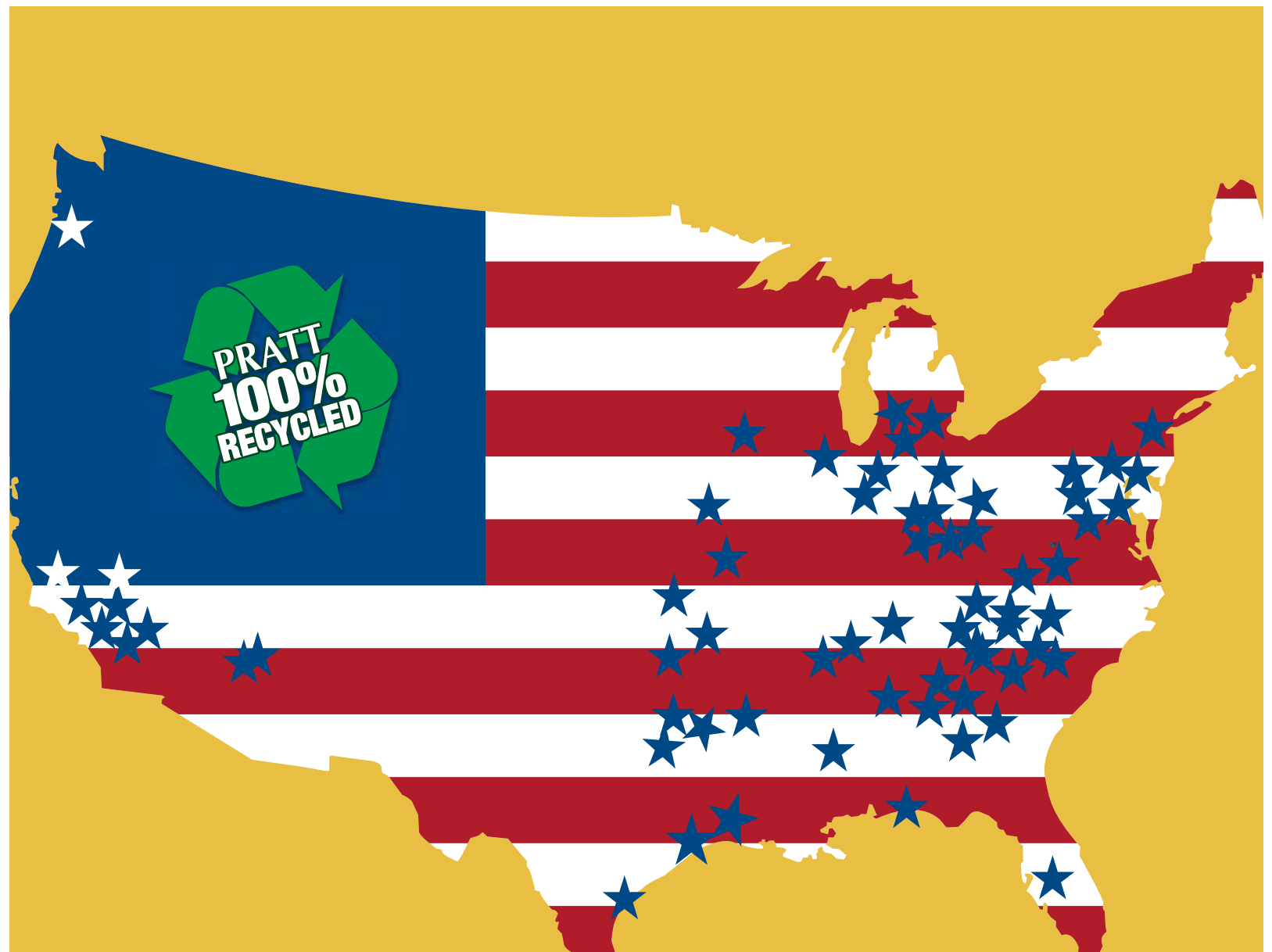
One idea Kennedy is weighing to help: pushing for people to be able to use food stamps to pay for gun shells and other hunting equipment. He plans to discuss that idea with Agriculture Secretary Brooke Rollins, he said.

Kennedy said he has long had a love for Native American tribes. During his career as an environmental lawyer, Kennedy for years represented tribes, he has written, against governments and mining and oil and timber companies.



Robert F. Kennedy Jr. tours the Kenaitze tribe’s hydroponics facility in Kenai, Alaska.

LIZ ESSLEY WHYTE/WSJ



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WORLD NEWS

Israeli Plan Targets Gaza Refugee Camps

Netanyahu, under pressure at home and internationally, reveals new objective

By Anat Peled

JERUSALEM—Prime Minister Benjamin Netanyahu said the new war plan approved by Israel’s security cabinet includes dismantling Hamas in Gaza’s central refugee camps in addition to Gaza City, a broadening that comes as he faces criticism internationally for expanding the war and from the far-right wing of his coalition for not going far enough.

The plan was approved just ahead of the weekend. Netanyahu discussed it with President Trump on Sunday, Netanyahu’s office said.

An announcement by the prime minister’s office had mentioned only that the military would prepare to take over Gaza City. Netanyahu revealed the previously undisclosed targeting of the central camps in comments to reporters Sunday.

The objectives announced last week—after Netanyahu had touted a takeover of the entire Gaza Strip—were criticized by far-right Finance Minister Bezalel Smotrich as too incremental.

“They decided once again to do the same thing and head for a military campaign that doesn’t aim for decisive victory, but just pressuring Hamas to go for a partial hos-



Palestinians displaced by the Israeli military have crowded into areas including this tent settlement in Gaza City, shown Friday.

tage deal,” Smotrich said in a video statement on Saturday. “Unfortunately, for the first time since the start of the war I feel I cannot stand behind this decision and back it.”

Israel also came under heavy pressure internationally over expanding the war as well as earlier moves limiting the flow of food into Gaza, which pushed many Palestinians

closer to starvation. Germany said last week it would restrict arms sales to Israel, while European countries and the U.K. criticized the war plan.

The prime minister’s ruling coalition relies on the support of far-right lawmakers like Smotrich and National Security Minister Itamar Ben-Gvir. Netanyahu has had to balance their demands with the views

of his military and pressure from international partners since the beginning of the war in Gaza, which was sparked by Hamas’s deadly attack on Israel nearly two years ago.

“Last Thursday, Israel’s security cabinet instructed the IDF to dismantle the remaining Hamas strongholds in Gaza City and the central camps,” Netanyahu told foreign jour-

nalists, using the abbreviation for the Israeli military.

Netanyahu offered few details of the new plan or how the central camps would fit. He said the military would first move the population to “designated safe zones,” where humanitarian aid would be provided. He declined to provide a timeline for the operation, but said Israel hoped

to complete it quickly. Israeli authorities say it will begin with the goal of seizing control of Gaza City—the biggest population center in the north of the strip. Military analysts said it could play out over weeks or months, reflecting resource constraints.

Under the plan, hundreds of thousands of Palestinians face further displacement and new fighting. More than 60,000 people have been killed in Gaza during the war, according to Palestinian health authorities, who don’t say how many were combatants.

Some analysts said Israel appears to hope the increased military pressure will bring Hamas back to the negotiating table on its terms.

Israel says it controls up to 75% of the Gaza Strip. Around two million Gazans are crammed into Gaza City, the seaside tent encampment at al-Mawasi, and the central camps. Invasion of those areas would squeeze the population into an ever-shrinking territory.

The new plan will require calling up a large number of soldiers. Manpower is already strained, and reservists are exhausted from almost two years of war in Gaza, Syria, Lebanon and the West Bank.

Polls show most of Israel’s population, including right-wingers, supports ending the Gaza war in exchange for freeing the remaining hostages. Tens of thousands of Israelis took to the streets on Saturday to protest expanding the war.

India Maintains Close Russia Ties Despite U.S. Push

By Shan Li and Thomas Grove

President Trump is using the threat of stiff tariffs to try to peel India away from Russia, as he attempts to boost pressure on Russian President Vladimir Putin to end the war in Ukraine.

But decades of close economic, political and military relations between New Delhi and Moscow mean Trump faces a challenge in persuading Indian Prime Minister Narendra Modi to drop a partnership that has survived great geopolitical turmoil.

Trump has blasted India for its heavy reliance on Russian oil imports, as well as its long-standing purchases of Russian military equipment. On Wednesday, the president slapped India with an additional tariff of 25% on its exports to the U. S.—doubling the existing 25% duty that went into effect this month—as punishment for its continued purchasing of Russian oil.

Despite tariffs that could inflict real damage on the Indian economy, Modi has stood firm in the face of rising American pressure—a sign of how important relations with Russia are for the South Asian giant.

India’s Foreign Ministry called the penalty “unfair, unjustified and unreasonable” and promised that India will “take all actions necessary to protect its national interest.” Kremlin spokesman Dmitry Peskov said earlier in the week that “sovereign countries should have and do have the right to choose their own trading partners.”

On Friday, Modi wrote on X that he had a “good and detailed conversation with my friend President Putin.”

“I thanked him for sharing the latest developments on Ukraine,” the prime minister wrote, adding that the leaders had “reaffirmed our commitment to further deepen the India-Russia Special and Privileged Strategic Partnership.” He said he expected Putin to



India has begun buying massive amounts of Russian oil in recent years. Above, a Bharat Petroleum oil refinery in Mumbai

visit India this year.

India has stayed neutral on the Ukraine war, abstaining from United Nations votes to condemn the invasion and declining to join successive waves of Western sanctions.

Meanwhile, as a net energy importer with a voracious and growing appetite for energy, it has benefited from a shift by Western countries away from Russian oil, as well as a price cap that the U.S. and its allies have imposed.

Over the past several years, India has begun buying massive amounts of Russian oil. Last year, India took in for more than one-third of Russia’s

oil exports, second only to China’s nearly 50%, according to the Observer Research Foundation. Steep discounts have saved Indian refineries \$17 billion over the past three years, credit-rating firm ICRA said.

While rival China has likewise bought crude and scooped up assets inside Russia, a creeping wariness in Moscow of overdependence on Beijing makes Russia’s relationship with India all the more important.

The cheap oil is critical for a country of 1.4 billion that is growing rapidly. The South Asian nation is the world’s fastest-growing consumer of

A Lengthy Charm Offensive

Since the Cold War, Russia has been one of India’s most constant partners in a relationship anchored by arms deals, economic cooperation and diplomatic support for New Delhi as it faces off with regional rivals China and Pakistan.

For its part, Moscow drew close to India after tensions grew in the 1960s between the Soviet Union and Beijing.

In the decades that followed, Russia extended more than a billion dollars of loans for the purchase

of Russian military and nonmilitary goods.

The charm offensive was further sweetened by Russian crude, which Moscow sold to New Delhi in the 1960s at a 10% to 20% discount to prevailing world prices.

The bonds grew closer after the U.S. backed Pakistan—a bitter rival of India—and imposed a slew of sanctions on New Delhi in 1974 after its first nuclear test and in 1998 when India again tested its nuclear weapons.

Kyiv, EU Counter Putin Offer

Continued from Page One

European leaders wrote.

European governments including those of Britain, Germany and France, as well as Ukraine, scrambled to respond to the peace proposal that came out of the past week’s encounter between Putin and U.S. special envoy Steve Witkoff at the Kremlin. Following these talks, Trump let lapse his self-imposed deadline for imposing stiff secondary sanctions on Russia and agreed to a summit with Putin in Alaska this coming Friday.

The European aim is to draw a common red line together with Ukraine that European officials say must apply to any potential negotiation with Russia.

The European proposal includes demands that a cease-fire take place before any other steps are taken. It also says territory can be exchanged only in a reciprocal manner—meaning that if Ukraine pulls out of some regions, Russia must withdraw from others.

Crucially, the European plan, which was presented to Vice President JD Vance, Secretary of State Marco Rubio, Trump’s Ukraine envoy Keith Kellogg and Witkoff, also stipulates that any territorial concession by Kyiv must be safeguarded by ironclad security guarantees—including potential NATO membership for Ukraine.

Finland’s President Alexander Stubb on Saturday afternoon called Trump to present the European initiative.

“Europe stands united with Ukraine,” Stubb posted on social media. “We will continue to work closely with President Trump and the United States.”

The meeting was an important step forward, he added.

“A fragile cease-fire would only serve the Russians, cementing their conquests and curbing Ukraine’s chances to fight back,” European Union foreign-policy chief Kaja Kallas said in a message to European officials after the meeting.

The European plan was drafted and presented to the U.S. side by chief aides to European leaders. Vance was present at the meeting, while most

other U.S. officials attended via a video link.

According to officials briefed on the proposal brought by Witkoff from Moscow, Putin has said he would agree to a cease-fire in exchange for Ukraine handing over roughly one-third of the eastern Donetsk region that Kyiv still controls. The front line would be frozen elsewhere, including in the Zaporizhzhia and Kherson regions that Russia also claims as its own.

Several European officials

briefed on the Wednesday meeting with Witkoff noted that Putin didn’t repeat his original, more hard-line position: that Ukraine must be demilitarized and its government replaced, and that all of Kherson and Zaporizhzhia, regions whose capitals are controlled by Ukraine, should be ceded to Russia. Putin annexed these three regions and a fourth, Luhansk, which is nearly fully occupied by Moscow, after sham referendums in 2022.

Some of the European officials said on Saturday that if Ukraine were to hand over the entire Donetsk region, Russia would have to withdraw from

Key regions on the Ukrainian front line

Russian forces in Ukraine



Note: As of Aug. 7
Source: Institute for the Study of War and AEI’s Critical Threats Project
ANDREW BARNETT/WSJ

the occupied parts of Zaporizhzhia and Kherson in the south.

The plan shocked Zelensky, who hasn’t been invited to Alaska, and European leaders. He described it, following Saturday’s conversation with the U.K.’s Starmer, as “a plan to reduce everything to discussing the impossible,” and said Ukraine wouldn’t give its land to anyone.

Germany’s Merz said in a TV interview on Sunday that European leaders hoped Zelensky would take part in the Alaska meetings as well.

A senior aide to a European leader said it was regrettable that Putin managed to avert the punitive measures sched-

uled by Trump that would have severely hurt Russia’s war economy and diminished its ability to escalate its invasion of Ukraine. Putin showed how vulnerable he was to U.S. pressure and Trump must use his leverage, the official said.

Any agreement Trump and Putin reach in Alaska wouldn’t be worth much without the participation of European leaders, another senior European official said.

In their meeting with Vance, European officials reiterated that the future of Ukraine can’t be discussed without Ukraine.

Russia has been on the offensive for more than two years, and in that time conquered less than 1% of Ukrainian territory, much of it in the Donetsk region, while losing hundreds of thousands of troops in pitched fighting dominated by brutal drone warfare.

Embroiled in battles for the towns of Pokrovsk and Chasiv Yar since early 2024, the Russian army is unlikely to seize the heavily fortified agglomerations of Sloviansk and Kramatorsk in the north of the Donetsk region soon, most military analysts said.

Handing over this strategic terrain, home to hundreds of thousands of Ukrainian citizens, in exchange for a cease-fire would mean that Putin, who has broken multiple cease-fires in

the past, would be getting a windfall in exchange for giving nothing, European officials from three countries involved in the talks said.

The European counterproposal comes after a week of frantic diplomacy triggered by Putin’s overture to Witkoff. Hours after the two men met at the Kremlin, Trump summoned a call with select European leaders and Zelensky to brief them on the proposal.

On the call, Trump suggested that Russia would be ready to withdraw from the southern region of Zaporizhzhia and Kherson in exchange for full control of Donetsk, according to European officials from three countries familiar with that conversation and two subsequent calls.

However, Witkoff walked back that claim the next day in a call with the chief aides of European leaders, suggesting that Russia would both withdraw and freeze the front line.

On Friday, European officials demanded a third call with Witkoff to clarify the confusion about what Putin had proposed. In that call, Witkoff said the only offer on the table was for Ukraine to withdraw unilaterally from Donetsk in exchange for a cease-fire. That proposal was rejected by Zelensky and European officials involved in the talks.

WORLD NEWS

China Diplomat Who Aided U.S. Ties Held

Detained envoy was seen as a potential foreign minister after visits to the West

By **CHUN HAN WONG**
AND **LINGLING WEI**

Liu Jianchao, a senior Chinese diplomat widely seen as a potential foreign minister, has been taken away by authorities for questioning, according to people familiar with the matter.

A veteran of China's foreign service who also fought corruption as a Communist Party graftbuster, Liu has most recently been serving as head of the party's International Department, which oversees relations with foreign political parties and socialist states.

Liu was taken away after returning to Beijing from a work trip overseas in late July, according to the people familiar with the matter. The reason for his detention couldn't be determined.

Liu, 61 years old, couldn't

be reached for comment. China's Ministry of Foreign Affairs, the International Department and the party's Central Commission for Discipline Inspection, its top internal watchdog, didn't respond to questions sent directly or through the Chinese government's information office.

Liu's most recent public engagements were visits to Singapore, South Africa and Algeria in late July in his capacity as head of the International Department, according to official disclosures. The department's website continued to list Liu as its minister as of Monday.

His absence could erode diplomatic expertise in Beijing, where leader Xi Jinping has increasingly favored political loyalty in personnel appointments, people close to China's foreign-policy establishment said.

Party enforcers have taken down scores of senior officials as part of Xi's relentless disciplinary purges, which have featured heightened scrutiny on party and state workers over national-security con-



Liu Jianchao, seen in July, was perceived as a rising star.

cerns. Since Xi took power in 2012, party inspectors have punished more than 6.2 million people for offenses that include corruption, bureaucratic inaction and the leaking of state secrets.

During a trip to Washington and New York in early 2024, Liu drew praise for his engaging delivery of messages on the need for steady U.S.-China relations, according to people who attended meetings with him at the time. Some American par-

ticipants noted Liu's willingness to both listen to and address concerns over China's policies, including a clampdown on Western firms assessing investment risks in the country.

During that trip, Liu interacted with American think tanks such as the Asia Society, investors such as Blackstone Chief Executive Stephen Schwarzman and Ray Dalio, the founder of Bridgewater Associates, as well as Biden administration officials, in-

cluding then-Secretary of State Antony Blinken.

"The Chinese were basically telling us that he's going to be the next foreign minister," a U.S. official said at the time. "They were saying, 'He's going on to bigger things.'"

But the same trip raised eyebrows back in Beijing, where it would have been seen as politically incorrect for Liu to present himself as the foreign-minister-in-waiting before any formal announcement that he would be taking that role.

Liu has spent the bulk of his career in the foreign service, with notable stints in party and state agencies that spearheaded Xi's crackdown on corruption.

A fluent English speaker, Liu joined China's Communist Party and the Foreign Ministry in the 1980s, when he also spent time studying international relations at Oxford. He gained prominence as a ministry spokesman—a post he held during the 2008 Beijing Olympics.

China subsequently appointed him as its ambassador to the Philippines and then In-

donesia, before promoting him to assistant minister of foreign affairs in 2013.

Liu made an unusual switch to anticorruption work in 2015, when he was assigned to lead the international-cooperation office at the Communist Party's Central Commission for Discipline Inspection. He became a key figure in Xi's "Operation Fox Hunt," a global effort to hunt down Chinese fugitives accused of graft who had fled abroad.

In 2017, Liu helped pilot a new government antigraft agency—known as a supervisory commission—in the eastern province of Zhejiang, where he was named the region's top discipline enforcer. The agency was established at the national level the following year, with a mandate to police conduct and enforce party-style discipline among all government workers.

Liu returned to the foreign service in 2018, when he became a senior official at the party's Central Foreign Affairs Commission, a Xi-led body that directs diplomatic policy.

AFGHANISTAN

Death Threats on U.N. Women Probed

The Taliban are investigating explicit death threats against dozens of Afghan women working for the United Nations, the U.N. mission to the country reported Sunday in its latest update on the human-rights situation there. Severe restrictions have been placed on women since the Taliban seized power in 2021. The report said the threats, made in May by unidentified individuals, related to the women's work with U.N. agencies, funds, and programs.

An Interior Ministry investigation is under way, the report added. The Interior Ministry spokesman, Abdul Mateen Qani, said no such threats had been made.

—Associated Press

LEBANON

Depot Explosion Leaves Six Dead

Munition in an arms depot in south Lebanon exploded Saturday as army experts were dismantling them, killing six of them and wounding several others, the army said.

The depot is believed to have been used by militant group Hezbollah. The blast was south of the Litani River in an area where the group withdrew its fighters under the terms of a cease-fire that ended a 14-month conflict with Israel in November. Lebanese troops and U.N. peacekeepers have been taking over Hezbollah posts in the area. On Thursday, the Lebanese cabinet voted to disarm the group. Hezbollah and its supporters have responded with protests.

—Associated Press

NEPAL

Pride Rally Is First Since Funding Cut

Members of the Nepal's LGBTQ+ community and supporters rallied Sunday in the annual pride rally, the first since a major cut in funding after the U.S. government ceased financial aid. Hundreds of people took part, in the heart of Kathmandu.

Nepal's LGBTQ+ campaign has been hit by the dismantling of the U.S. Agency for International Development, which was responsible for humanitarian aid. Most support centers have closed because of a lack of funds.

The nation was one of the first in Asia to allow same-sex marriage. The constitution adopted in 2015 bars discrimination on the basis of sexual orientation.

—Associated Press

WORLDWATCH



SHAKEN: A magnitude 6.1 earthquake struck Turkey's northwestern province of Balikesir on Sunday, causing the collapse of about a dozen buildings, including this one in Sindirgi.

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FROM PAGE ONE



Clockwise from top left, Russian oligarch Roman Abramovich; Alexei Navalny in a video still from January 2024; Roger D. Carsten, a special envoy for hostage affairs under President Biden.

Tragedy
Cuts Short
Rescue

Continued from Page One

The hostage envoy had been on the ground in six wars but joked the most combat he'd ever seen was wearing a suit and tie in Washington, "trying to get anything done." He had a plan to free Navalny and the Americans but the White House didn't think the time was right to move on it. He often joked that he felt like Gulliver, tied down by Lilliputians.

His perceived adversaries: senior White House and State Department officials who had been working, albeit more cautiously, toward the same end, and were weighing the geopolitical and moral risks of trading prisoners with Putin. Carstens complained to colleagues he was stuck reporting to decision makers who, in his view, had never been to combat, never smelled cordite and who sat at their desks, offering reasons why his proposals wouldn't work.

This time, the former Green Beret wasn't going to give anyone enough time to tell him no. On Nov. 30, he shot off an email to Washington, where the day was still young, saying he was poised to sit with Abramovich. Minutes later, he walked into a hotel chosen for the meeting. Sitting opposite, the billionaire said he could see prisoner talks—between the Central Intelligence Agency and Russia's FSB spy service—were stalled.

"I'm not sure the FSB is passing on our messages," Carstens said. He reiterated the latest offer from the White House: a mix of prisoners that included neither Navalny—whom Germany wanted—nor Russia's own must-have, an FSB officer named Vadim Krasikov, who was serving a life sentence for murdering a Putin opponent in downtown Berlin. Carstens felt that proposal was never going to fly.

"But let me run another idea by you," he ventured, "Not officially, but just to get your view."

Carstens pitched an idea he called "enlarging the problem." Germany would free Krasikov, if Russia freed Navalny. As an add-on, the U.S. and European allies could return various deep-cover sleeper spies in their possession, and Russia would release two Americans held on espionage charges the U.S. government strongly denied: former Marine Paul Whelan, and Wall Street Journal reporter Evan Gershkovich.

It sounded intriguing, Abramovich said, but added that he couldn't imagine Putin would free Navalny. After 30 minutes, Carstens left, reopening his phone to see cascading messages ordering him not to hold the meeting. A few days later, Carstens heard back from Abramovich, who seemed as surprised as anybody.

Putin, he said, was willing to free Navalny.

That same week, guards bundled the 47-year-old dissident onto a prison train and locked the door with no word of where he was heading. Hours turned to days as Navalny read the books he'd been allowed to take from the IK-6 prison camp. He couldn't see the towns passing outside, but the train was snaking across the Ural Mountains, then north toward the Arctic Circle to the "dead railway," built by political prisoners under Stalin.

It took two weeks to reach his ice-covered destination, known as "Polar Wolf."

"I am your new Santa Claus," he wrote in his first letter home to his wife, Yulia. "Unfortunately, there are no reindeer, but there are huge, fluffy and very beautiful German shepherds."

A few weeks after he arrived, German Chancellor Olaf Scholz logged on to a private videoconference with Joe Biden, officially to discuss the war in Ukraine. Unofficially, the prisoner trade was on the agenda. Hours earlier, the Journal's editor in chief, Emma Tucker, had met with Scholz's top aides in Switzerland. Biden had just met Paul Whelan's sister, Elizabeth, a portrait painter who struck up an easy rapport with the president. Sullivan had been in constant contact with his opposite number in Berlin ahead of the meeting. The idea was so delicate Scholz was too nervous to mention specifics over the call.

"I will fly to see you," Scholz said. "I would be happy to."

The chancellor traveled without telling his own cabinet, giving such short notice that the only plane the German government could book was a medium-haul Airbus A321, which had to refuel in Iceland. There were no aides and no note-takers in the Feb. 9 meeting, just Biden and Scholz. Hours earlier, Tucker Carlson aired an interview with Putin at the Kremlin, where the former Fox host pushed the Russian president to release Gershkovich. Putin, chastened by Carlson, looked embarrassed. The pieces all seemed to be clicking into place.

In the Oval Office, Scholz agreed to free the assassin Krasikov as the centerpiece of a broader deal. The chancellor would rescue Navalny from his Arctic prison—and, he hoped, boost the aging U.S. president's chances in what was certain to be a bruising re-election campaign.

"For you, I will do this," Scholz told Biden.

Motorcades

On Feb. 15, 2024, the narrow streets of Munich were lined with black motorcades delivering the West's most important leaders to the Bavarian city's annual security conference. Carstens wasn't registered as a

speaker or panelist, but he quietly slipped out of Washington on a red-eye flight bound for Germany. By now, the administration was accelerating the Navalny trade toward completion, but preferred to keep Carstens on the periphery of any Russia prisoner talks.

Christo Grozev was already there, waiting anxiously in a cafe close to the venue's security perimeter. The Bulgarian investigative journalist and spy-hunter felt the deal was almost done, yet he and Carstens wanted to be as close as possible to the West's top security officials to spot-check that nothing would derail it. Odessa Rae, the "Navalny" film producer, was texting from Dubai in route to Ukraine after meeting their Russian contact, Stanislav Petlinsky.

Vice President Kamala Harris was flying in on Air Force Two, officially to deliver a keynote address, while more

speech castigating the world order in which America was "one master, one sovereign," a diatribe considered the starting gun of his war against the West. Now, within touching distance of the biggest East-West prisoner swap since the Soviet collapse, the memory of that speech was like a specter.

As the evening wrapped toward a close, Pevchikh raised a question, like a terrible premonition: "What if they kill him?" After years studying Russian intelligence services, Grozev was confident her concern wouldn't come to pass. There was a protocol, he reassured her, a methodology for prison swaps upheld since the Cold War. The Journal even had prewritten articles, ready to go, the moment Navalny walked free.

The next day, Federal Bureau of Investigation Director Christopher Wray was sitting down for lunch with the chiefs of Britain's MI6 and Ger-

and came back with the number for Grozev.

Weaving through the tightly controlled security corridors, European and American officials were scrambling to find each other and confer on what would happen next. The news spread through the hallways and coffee line where a German diplomat blurted out in full earshot of reporters, "Oh no! We were working on getting him out!"

Grozev guided Navalny's ashen-faced widow through the hotel gates to the secretary of state's suite. The two embraced, then sat down, and Yulia delivered a powerful message: Putin must be punished for the misery he has wrought. Minutes later she walked down toward the lectern in the shellshocked conference hall with delegates standing to applaud, or crying in their seats, her eyes filled with tears and anger.

"I want Putin, his entou-

friend, had just died.

Recalibration

Jake Sullivan was on his office sofa when a delegation from The Wall Street Journal stepped in. Their meeting, pre-scheduled, was meant to deliver good news, but word of Navalny's death, hours earlier, lent it the air of a wake.

Sullivan had a habit of looking toward the floor, or to one side, as he deliberated the angles of a problem. After a long pause, he spoke: "I never thought a deal with Navalny would work." But he also hadn't expected Putin to kill him, and still wasn't sure if he would ever know the truth behind the dissident's death.

Navalny's supporters had lost everything—the man they were trying to save and Russia's dreams for a democratic future. And the Journal, whose reporter, Gershkovich, had now spent 323 days in the Moscow jail where Stalin's henchman once executed purged officials, was no closer to freeing him than in the first hours of his arrest.

But in the cloud of grief and disorientation, the national security adviser could also glimpse a new possibility. Germany had crossed the psychological threshold of agreeing to free a murderer—and perhaps they would accept other political prisoners in Navalny's place. The question hanging over that analysis was whether Putin had come to the same fatal conclusion.

In the weeks to come, CIA officials would fly to meet their Russian counterparts in Saudi hotels, booked under false names, carrying eyes-only hard-copy lists of prisoners the West could trade with the Kremlin.

The world would finally see the fruits of their labor when, on Aug. 1, 2024 six planes delivered 24 prisoners and two children to an exchange point outside a Turkish air terminal, a mix of Russian spies, hackers, cybercriminals—and Krasikov—traded for Russian dissidents, German convicts, and Americans including Whelan, Gershkovich, and other journalists.

That trade, the largest East-West swap in modern history, would cement a cold, inescapable fact about the emerging world order: taking and trading prisoners, and bending the justice system to do it, is now what powerful countries do, a transactional order of statecraft encapsulated by Navalny's arrest, the campaign to free him, and his tragic death.

Drew Hinshaw and Joe Parkinson are leaders on The Wall Street Journal's World Enterprise Team. This piece is adapted from their new book, "Swap: A Secret History of the New Cold War," which will be published on Aug. 19 by HarperCollins (which, like The Wall Street Journal, is owned by News Corp).

► Part 2 of 2



Scan this code to read the first article, 'Could the U.S. Have Saved Navalny?'



'I want Putin, his entourage, Putin's friends, and his government to know they will pay for what they have done to our country, to our family, and my husband.'

Yulia Navalnaya, widow of Alexei Navalny

quietly representing Biden at a meeting with Slovenian leaders to confirm the trade could include two Russian sleeper spies in their custody: a married couple posing as Argentine nationals. Germany's foreign minister, Annalena Baerbock, was at the conference, and still uneasy about the moral line her country was inching toward, but Secretary of State Antony Blinken was set to meet her and soothe any concerns. Navalny's wife, Yulia, was also in Munich, on hand to address lingering doubts.

Next to Grozev, messaging contacts to try to piece together the state of play, was Maria Pevchikh, Navalny's friend and head of investigations. Their location felt ominous. Seventeen years earlier, at the same Munich gathering, Russia's president delivered a

many's BND intelligence agency. Their discreet and thankless work was about to pay off in the very real gift of freedom not only for Navalny but also for Gershkovich, whose reporting Wray admired.

But as the meal unfolded, dignitaries began reaching for their phones, buzzing with news from Russia. The most powerful security czars in the Western alliance turned to each other in horror and bewilderment. "Alexei Navalny has died in prison," the Kremlin's state newswire announced. "The cause of death is being established."

The guests rose one by one to start fielding calls. Wray rushed upstairs to confer with Blinken. America's top diplomat immediately shot back: "Get me Yulia." An aide struggled to reach Navalny's wife

rage, Putin's friends, and his government to know they will pay for what they have done to our country, to our family, and my husband," she said.

Chancellor Scholz wanted to see Yulia but wasn't sure if the woman who had minutes earlier discovered she was a widow would want time with her family. "I want to meet," she responded and arrived, somehow still composed, in the hotel suite where the chancellor was waiting.

"I have one request," Yulia said, before turning to the question of Krasikov. "Do not release that man."

In Los Angeles, Journal publisher Almar Latour was visiting a museum exhibit of art made by prisoners from Soviet gulags, and wondering if a dark gray pencil sketch was drawn in the same camp as Navalny, when his phone rang. It was Carstens, who had landed in Munich just in time to learn it was all for naught.

The U.S. could have brought Navalny back alive if it had acted with more urgency, Carstens said. "If only I had moved faster."

The special envoy was blaming himself for not putting more pressure on the White House. "We could have wrapped this up in August!" Rae, on her way to Ukraine, was boarding a flight, talking to a fellow passenger about her film, neither of them aware until she glanced at her phone that its subject, her



Russian President Vladimir Putin, right, greeting Vadim Krasikov on his return.

PERSONAL JOURNAL.

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THE WALL STREET JOURNAL.

Monday, August 11, 2025 | **A9**



CARRY ON
DAWN
GILBERTSON

The phone in my ocean-view suite rang at 8:37 a.m. “Good morning, ma’am, this is Alejandro to tell you your service is in the secret box.”

The eggs Benedict, bacon and french toast I ordered were waiting in my private delivery closet, no hefty room-service bill to sign. The night before, a butler drew a bubble bath in the soaking tub on the balcony while I was dining at a French restaurant sans pricey check.

It was my first taste of the all-inclusive resort life on steroids. Big U.S. hotel brands like **Hyatt** and **Marriott** are betting that affluent travelers will consider these one-price-covers-it-all vacations—often derided as cruises on land—if they promise better food, drinks, service, rooms and pools.

The upgrades don’t come cheap. Room rates can top \$1,000 for two at top-of-the-line resorts.

Marriott just opened its first all-inclusive W resort, in Punta Cana in the Dominican Republic, following last year’s debut of its first Marriott-branded, all-inclusive in Cancún, Mexico. There are even preliminary plans for an all-inclusive Ritz-Carlton.

Hyatt has become a major all-inclusive player in Mexico and the Caribbean thanks to big acquisitions, and it now has 10 all-inclusive brands including Hyatt Ziva, Hyatt Zilara, Secrets and Breathless. The company opened its first all-inclusive in Aruba this summer.

Of course, all-inclusive can mean many things, as I discovered during my cheapo \$129 all-inclusive stay in Las Vegas in June. To size up this crop of newer entrants, I booked a short all-inclusive adventure in Mexico in late July. Tough duty, I know. But it was so hot and humid I didn’t need the clothes steamer in the room. The wrinkles just melted away.

I spent one night at the Marriott All-Inclusive Cancún (\$500 for one, \$650 for two) and two nights at Hyatt’s top of the line Impression Moxché by Secrets an hour south of Cancún in Playa del Carmen (\$900 a night for up to two people), home of the secret box and butler. Marriott was all ages; the Hyatt was adults only. Neither resort knew I was a reporter.

The real deal

All-inclusives and Cancún aren’t usually my jam, but I love a sprawling beach resort for a laid-back vacation. Both resorts I tried included, well, just about everything promised. Multiple restaurant options, unlimited drinks, nonstop activities that weren’t all cheesy (well, there was bingo and a casino night), spas and, at Secrets, pools galore, including infinity pools with views and free cabanas.

The rooms were plush (at Secrets it was the biggest suite I’ve stayed in) with great views. I listened to pop-music covers from my patio and sipped espresso martinis,



My First Taste of a Luxury, \$900-a-Night Inclusive Resort

Hyatt, Marriott and other chains upgrade pay-one-price getaways to lure affluent travelers



▲ At Marriott’s branded all-inclusive in Cancún, Mexico, guests can choose beach or infinity pool.

frozen and straight up. I even danced at a pharmacy-turned-speakeasy at Secrets (before the youngsters arrived.)

And I didn’t spend extra at either place, except for tips. In other words, these places are the real deal.

And they offer real value if you want an upscale getaway where the toughest decision you make is where to eat and sunbathe, and

you hate checking out with pages and pages of charges. (Looking at you, resorts with overpriced kids’ smoothies, \$20 frozen cocktails and \$30 poolside burgers, fries extra.)

At my swank Secrets tower, there was a nonstop spread of goodies at the lobby bar through the day if you wanted a pre-meal snack. On the menu: chia pudding, green juice and pastries in the morning, a charcuterie plate and irresistible chocolate bark later on.

My favorite meal of the trip, possibly because of the beachside setting at sunset, was lobster ri-

sotto at the Mediterranean restaurant at the Marriott.

At the Hyatt, I ate almost exclusively at the two restaurants reserved for guests staying in the high-end Impression tower. (It’s nearly double the cost of staying in the other tower and also includes the butler, a private pool with complimentary cabanas and a signature spritz.) I ate my weight in homemade chips, guacamole and pico de gallo and enjoyed the shrimp ceviche and mini lobster roll.

A quibble or two

Not that there weren’t upsells, though nothing like I’ve seen on cruise ships. The Marriott’s lobby had an “elevated experiences information desk.” It offered romantic dinners on the beach and mescal tastings. Hyatt offered a seven-course tasting menu at its AAA Five Diamond restaurant for an extra \$75 per person unless you were staying more than five days.

But there were more than enough complimentary choices for every meal and snack plus free room service. There’s a 24-hour outlet at the Marriott that doubles as the morning coffee and pastry shop and nighttime pizza go-to.

There were things to critique. The daytime butler at Secrets wasn’t at our beck and call all day except through WhatsApp and started at 9 a.m., not 7 as advertised. (Another guest from Illinois had the opposite experience; she said her butler was always around.)

The fully stocked minibars weren’t all they’re cracked up to be. Just a few cans of beer, soda and grocery-store snacks.

I was particularly disappointed in the wine list at Impression by Secrets, a hotel-within-a-hotel that is ranked as high as Park Hyatt in Hyatt’s loyalty-program hierarchy. I opened the lunch menu to find every wine had a price tag. The upcharges weren’t exorbitant, but it felt like nickel-and-diming.

What was free: house wine like you would find at your neighborhood happy hour.

These are, admittedly, first-world problems. And what I’ll really remember are the rooms, the views, the pools and service, especially at Secrets. I don’t know what kind of training employees receive, but almost every request was met with “my pleasure,” “a pleasure” or “with pleasure.”

Lost? An employee doesn’t just talk but walks you there. They remember your name, even on a short stay.

Call me an all-inclusive convert—with the right amount of pampering.

Job Hunters Spend More To Land Spots

Continued from Page One

him land a job faster. “I’m in a fortunate position to be able to do it.”

Two converging forces are driving up the cost of finding a job for many Americans. One is the exploding cottage industry of networking and job-search subscriptions, career-coaching services and artificial-intelligence tools—all capitalizing on job seekers’ frustrations in a stalled hiring market. The other is the growing length of the average job search as companies slow recruiting and leave positions unfilled.

It now takes the average worker 24 weeks to find a job after losing one, nearly a month longer than a year ago, according to federal data for July. And the number of long-term unemployed is rising.

The longer people have to pound the pavement looking for work, the more the costs climb.

“I wasn’t anticipating this much of an investment,” said 28-year-old Kyle Talley, a former audio technician who started looking for a job in coding or cybersecurity last year.

Talley has since spent more than \$200 on LinkedIn Premium for networking and about \$900 on coding



Josh Morgan paid a company about \$10,000 for help in finding a job, while Mialy Jacky is seeking a business or engineering internship.

classes to show employers he is up to speed on the latest tech. He paid \$50 for a career coach and more than \$700 for paid AI tools like Grok and ChatGPT Plus to improve his résumé and sharpen his coding skills. Another \$500 went toward study materials for certifications that mentors and professors said were must-haves to land work.

What Talley has shelled out for the job hunt doesn’t count everything he has invested in training for a new career. He spent \$17,000 last year for an eight-month coding boot



camp and now plans to attend college for cybersecurity.

James Finley, a software engineer in Glen Carbon, Ill., became so frustrated from three months of searching that he explored putting his website URL on a digital billboard for \$100 a week. He nixed the plan after getting a job offer recently.

“It’s trying to be louder than anyone else,” said Finley, 39.

Looking for a business or engineering internship, Mialy Jacky, a 26-year-old graduate student, has been traveling to networking events. In the process, she has spent more than \$1,000 on conference registrations and lodging, plus transit and

food, and about \$75 to join national associations for mentorship.

Jacky briefly had an internship offer last summer but had to keep looking when the program was canceled. Some of her costs come from not wanting to miss any opportunity: After an unexpected flight delay in Dallas, Jacky bought a \$50 networking outfit from T.J. Maxx, then drove to corporate-office suites, distributing her résumé—without success.

She is now gearing up to find a full-time job after her November graduation and budgeting \$200 to travel to an August networking event in San Antonio.

“I’m not sure what else to do, what other resources I haven’t thought of,” said Jacky, who lives in West Monroe, La.

Sometimes it is the least-expensive moves that yield results.

Andrew Yates, 43, tried for 10 years to break into the human-resources field without success. He took out \$22,000 in loans to earn a master’s in HR from Colorado Christian University to get an edge. Then he spent \$225 to take a test through SHRM, an industry group, to get a “certified professional” designation.

What ultimately worked? He mentioned to a man he met at the gym that he was job hunting, and his new workout buddy gave him a referral to his company. Yates got hired and moved to Dallas for the role.

That \$20 monthly gym membership ended up paying dividends, he said: “I guess that was a job expense, unknowingly.”

FROM TOP: JACK RICHARDSON; DAWN GILBERTSON (WSJ)

FROM LEFT: MIALY JACKY; JOSH MORGAN

PERSONAL JOURNAL.



ON THE
CLOCK
CALLUM
BORCHERS

You probably haven't looked for a job in a newspaper's classified pages since the Bush administration—possibly the first one. It could be worth re-

viewing this old-school strategy because many of the listings offer a way to bypass those dreaded online application portals. Clicking "apply" for an online job posting can feel like tossing your résumé into a digital abyss. A lot of employers disdain the process because so many job seekers use artificial intelligence to apply en masse.

Companies fed up with the low-quality, sometimes fraudulent submissions that flood applicant-tracking systems are reaching back in time for hard-to-hack recruiting methods. Classified ads are just one tack.

Others include: leaning harder on references; making application forms so cumbersome that only serious candidates will complete them; and posting openings on niche job boards instead of the most popular ones.

The bottom line is many businesses don't want an AI-powered fire hose of applications, especially as hiring slows across much of the U.S. economy. The jobs report out Aug. 1 featured worse-than-expected figures for July and reduced tallies for May and June.

For job seekers, the bad news is that the application environment is likely to get more difficult. The good news is that qualified applicants may have a better chance of being seen, possibly breaking today's spray-and-pray application cycle.

Finding a human

I recently leafed through the Sunday print edition of my local broadsheet, wondering who still advertises open roles this way. Turns out companies in tech, finance and life sciences sometimes

How to Navigate Online Job Postings

Companies are rethinking their recruitment strategies amid a flood of applications, seeking to woo quality over quantity



abilities, says Rod McDermott, chief executive of McDermott + Bull Executive Search.

Bad experiences like these show a frictionless application process can be risky, says Vinda Souza, chief marketing officer of RefAssured. Her company performs uncommonly thorough reference checks on job applicants. These include verifying people's identities and asking former co-workers to grade candidates' soft skills.

Collecting others' views of an applicant's curiosity, empathy and ability to handle uncertainty is an extra step. But "those are the things that will age gracefully in this new world of AI," Souza says.

Too many options

Application spam may be particularly annoying, but a glut of strong candidates can be its own kind of problem. Applicant-tracking systems are supposed to get the kinks out of recruiting and, in a way, they work too well.

While they help companies cast wider nets, the challenge is sorting all the additional fish.

Users of Huntr, a popular tool for job seekers to manage their searches, typically wait 68.5 days to receive an offer. That's 22% longer than in April.

"You have employers now sifting through not just hundreds of applicants but hundreds of good applicants," says Sam Wright, Huntr's head of operations and partnerships. "They're splitting hairs, and it's taking longer."

Huntr guards against candidate surplus in its own hiring process by posting openings on smaller job boards. Wright says the company found a listing on LinkedIn might attract 700 applications of wide-ranging quality in a couple of days. But a role posted on the lesser-known Wellfound would generate 100 mostly good ones.

It isn't quite a classified ad, but the idea is similar: Tuck a job opportunity where fewer people and bots will look. Job seekers may need to turn over different rocks and focus on personal touches as companies reintroduce hurdles in recruiting.

post six-figure jobs there.

While some instruct candidates to apply online, others include the name of a recruiter or hiring manager—a human!—and invite applicants to email résumés directly to this person.

"It can make a big difference if you can get the name of the hiring manager and their email address," says Anita Jenke, executive director of the Career Transitions Center in Chicago. "You are less likely to be eliminated."

David Head co-founded an AI recruiting company, Endorsed, and even he suggests contacting a hiring manager directly if you can. He recommends applying online and following up with an email.

"A lot of the job-seeking process comes down to ensuring your application simply gets a thorough look," Head says.

In addition to pulling you out of the online black hole, a personal email shows you made the effort to find out who is screening applications. That's the kind of initiative that makes a good first impression.

I should note some companies' primary reason for posting classified ads is to meet legal or collective-bargaining requirements.

Harder on purpose

After years of smoothing the application process, certain businesses are adding speed bumps.

At Digitalis Education, a Bremerton, Wash., company that makes portable planetariums, the online-application portal is a decoy. To get in the running for an open role, you have to read the job description, which contains a link to the real application form.

Only about 10% of people who

start the application follow the directions.

Digitalis President Rob Spearman says he put up this barrier in response to "a tsunami of auto applications." Seemingly promising candidates were routinely bombing their interviews, which suggested to Spearman that they had relied on AI to throw their résumés in the candidate pool and make them sound more qualified than they really were.

"All these tools for applicants to get seen are backfiring, forcing me to go to longer and longer lengths to filter out the noise and AI fraud," he says.

Businesses are often too embarrassed to talk openly about being duped by bad actors. But at industry events, human-resources professionals swap stories about hiring remote workers who faked their identities or oversold their

Superdog Krypto Prompts A 'Superman' Controversy

By HELENA GETAHUN-HAWKINS

Kelly Woods can't stand Superman's canine sidekick, Krypto. The 58-year-old retired truck driver grew up watching the Superman cartoons in the 1970s.

"When Krypto first came into the cartoons, it ruined it for me," said Woods. He felt the creators were trying too hard to add unnecessary characters.

His 26-year-old daughter, Jackie, brought Woods along to see the new "Superman" movie a few weeks ago. She figured the unruly dog would make only a couple of appearances, maybe toward the end. But within the first few minutes, Krypto was zooming through a snowy plain.

"I looked over at him and I was like, 'I am so sorry,'" said Jackie, a cybersecurity consultant in Vista, Calif. "I didn't know that he was going to be in the very first scene of the movie."

Then came a scene of Krypto, a scruffy white dog with a perked ear, chasing a flying orb. Then he was biting Superman's feet. Then he saved Superman from the brink of death, again. By the end of the movie, the computer-generated dog rises from supporting character to a lead.

"At the end of the day, he's a dog. This isn't a 'Marley and Me' situation where the dog's supposed to be the main character," said Jackie.

The film, directed by James Gunn, has prompted fierce debates: Some conservative commentators have complained about pro-immigrant messages from cast and crew, and other moviegoers have said the story is a metaphor for the Israel-Gaza war (a connection Gunn

has denied). In the midst of these controversies, another passionate debate has emerged: Viewers either love the dog's goofy antics or deplore his constant high jinks. Gunn didn't respond to a request for comment.

While Krypto has made cameos in previous comics and cartoons, Gunn's "Superman" is the first live-action film where the superdog appears. The filmmaker has said that Krypto was inspired by his rambunctious rescue dog, Ozu.

Many viewers said they loved watching Krypto precisely because he reminds them of their dogs.

Killian Morlaes, a 22-year-old student from Pau, France, said he became emotional watching Krypto. His Maltese-Westie mix, Casper, who died in May, not only looked like him but also shared his mischievous personality.

"He was always crazy. When we got home, he was always jumping



on us," he said.

Krypto captures everything Kasey Dixon, 38, loves about rescue dogs. Dixon is a volunteer for Rescue Coop, a South Carolina-based rescue organization that provides medical care and second-chance adoptions to dogs in high-kill shelters. While the superdog is not explicitly a rescue, she noticed that he embodied the defining traits of one:

▲ 'Superman' viewers either love Krypto's goofy antics or deplore his constant high jinks.

a bit naughty, very distracted and high energy but loving and loyal.

"Do you have a friend that would jump in the way of a flying orb for you?" she joked about those annoyed by his misbehavior. "Because that kind of love and loyalty is extremely rare."

Those moments of humorous misbehavior weren't funny for Dan Cuddihy, 52. "They kind of beat you over the head with this dog being uncontrollable," said the engineer, who lives in Houston.

He says he understands what the filmmakers were trying to do with Krypto, creating a deus ex machina figure to swoop in when Superman needed saving, but it didn't work.

"The feeling that I had was less comic relief and more like, 'My God,

this dog is dangerous,'" said Cuddihy.

Meara Brady, 36, an email marketer in Chicago and self-described "casual superhero fan," said she had been rooting for the movie to be good, but it ended up feeling jumbled to her. Her opinion of the dog is one, she joked, her friends would hate her for.

"Listen, I love a CGI [computer-generated imagery] dog, we love dogs," said Brady. But "it just didn't add anything for me."

Stepping out of a late-night showing in New York City, Lasana Akachi, who works with Superhuman Works Studios, a graphic arts and comic-book company, said Krypto was a bit more wild than in the books, but that didn't detract from the movie for him.

"I initially was a little apprehensive about how they would play him [Krypto], but it worked for the movie," Akachi said.

Krypto may be sparking a wider interest in dog adoption. According to the dog-training app Woofz, following the premiere weekend of the film, Google searches for "adopt a dog near me" increased by 513%.

Rescue Coop, where Dixon volunteers, has seen an increase in the number and quality of applications during the month of July, which she said was unusual because the summer months were usually slow. While she warns against drawing a causal relationship between "Superman" and applications, she isn't ruling out a link between media portrayals of pet stewardship and an uptick in applications.

Her organization is paying homage to the movie. They recently rescued an emaciated, flea-ridden dog. His new name? Krypto.



◀ Within the first few minutes of 'Superman,' Krypto is zooming through a snowy plain.

ELENA SCOTT/WSJ, ISTOCK

WARNER BROS./EVERETT COLLECTION (2)

ARTS IN REVIEW

ART REVIEW

An American Travelogue In Photographs

The Saint Louis Art Museum chronicles the relationship between the camera and the road

By WILLIAM MEYERS

St. Louis
In the 1960s, as a child, Eric Lutz went on road trips with his family in a red Volkswagen bus; his father, an artist, drove. Now, as associate curator of photographs at the Saint Louis Art Museum, Mr. Lutz is responsible for “In Search of America: Photography and the Road Trip,” conjured up in part by his memories of those youthful travels. There are over 100 prints in the exhibition; the 53 in the first half are all by Emil Otto “E.O.” Hoppé. Phillip Prodger, who preceded Mr. Lutz at SLAM, organized an exhibition of Hoppé’s portraits at London’s National Portrait Gallery in 2011; he piqued Mr. Lutz’s interest in a photographer who, after great success in his lifetime, is now chronically under-appreciated.

Hoppé (1878-1972) was born in Munich, educated in Vienna, began a career as a banker, and in 1900 settled in London, where he married, bought a camera, and eventually became a British citizen. In 1907, after gaining attention as a talented amateur photographer, he abandoned banking, became a professional photographer, and soon became as famous as the celebrities whose portraits he took. In 1926, Hoppé was commissioned to produce a travel book on America. He visited more than 120 cities and 35 states, the first known instance of a photographer taking so extensive a road trip. His book, “Romantic America,” was a triumph; it sold nearly 100,000 copies.

“Skyline and Waterfront, New York City,” shot during a visit in 1921, is a moody work; docks are silhouetted in the foreground, above them is a river and on its other side a dark metropolis with tall buildings reaching up to an overcast sky. The “Scene at Valley Forge, Pennsylvania” (dated 1926, as are all his other pictures here) captures some Revolutionary War re-enactors. Hoppé showed his interest in engineering in “Ohio River From the Point, Pittsburgh, Pennsylvania”; the city, with its industrial smokestacks, is seen through the steel parts of a bridge. And in “Ford Factory, Detroit, Michigan” the gigantic plant is an arrangement of geometric shapes. Automobiles and the facilities that accommodate them are a recurring subject.

Clockwise from right: Esther Bubley’s ‘Pittsburgh’ (1943); Robert Frank’s ‘Chicago’ (1956); and Russell Lee’s ‘Untitled (Men in Truck)’ (c. 1936).



The exhibition shows us arid landscapes, city skylines, motel rooms and more.

He found the landscapes and peoples of the Southwest particularly fascinating. “The effect upon me was one of wonderment and awe,” he said. The buttes and other formations in “Monument Valley, Arizona” take up only the bottom third of the image while majestic clouds float overhead. Two women draped in black shawls walk with a child down a dirt road in “Acoma Pueblo, New Mexico.” In “Half Dome From Glacier Point, Yosemite,” the formation that Ansel Adams showed in a dramatic close-up is seen in a hazy distance. There is a clarity of intention in Hoppé’s pictures—we see what he wanted us to see.

Hoppé’s reputation eroded by the end of the 20th century, probably because his archive was so



mishandled it was hard to find prints. But curators like Mr. Prodger and Mr. Lutz are reassembling his work and fame. Fittingly, “From the Museum, St. Louis, Missouri” (1926), a picture of the statue in front of SLAM, is in the current show.

The picture used to advertise the second half of “In Search of America” is “Untitled (Car on Road),” a vista from the 1950s with distant mountains and, in the foreground, a curved segment of

road with a car about to drive out the right side. An interesting image of unknown provenance, it is a stand-in for all the amateur pictures taken by all the anonymous Americans on all their adventurous road trips. There are other such works here, as well as many by famous road-trippers.

Robert Frank had to be included; his “Beaufort, South Carolina” (1955) is a tender picture of a black woman sitting on a chair in a treeless field, her left arm akimbo and her head turned away from the camera. Compulsive traveler Lee Friedlander has three pictures; “Galax, Virginia” (1962) was shot in a hotel room, a Coca-Cola truck seen outside the window. “Greek Temple Building, Natchez, Mississippi” (1935), from Walker Evans’s celebrated “American Photographs,” is an austere structure with four Ionic columns, reduced in status from bank to sign shop. Stephen Shore frequently concentrated on the minutiae of travel; his “Harbor View Motel, Kenora, Ontario” (1974) shows the rug and a corner of the bed from his place for the night.

Dorothea Lange, Russell Lee, Ben Shahn and Marion Post Wol-

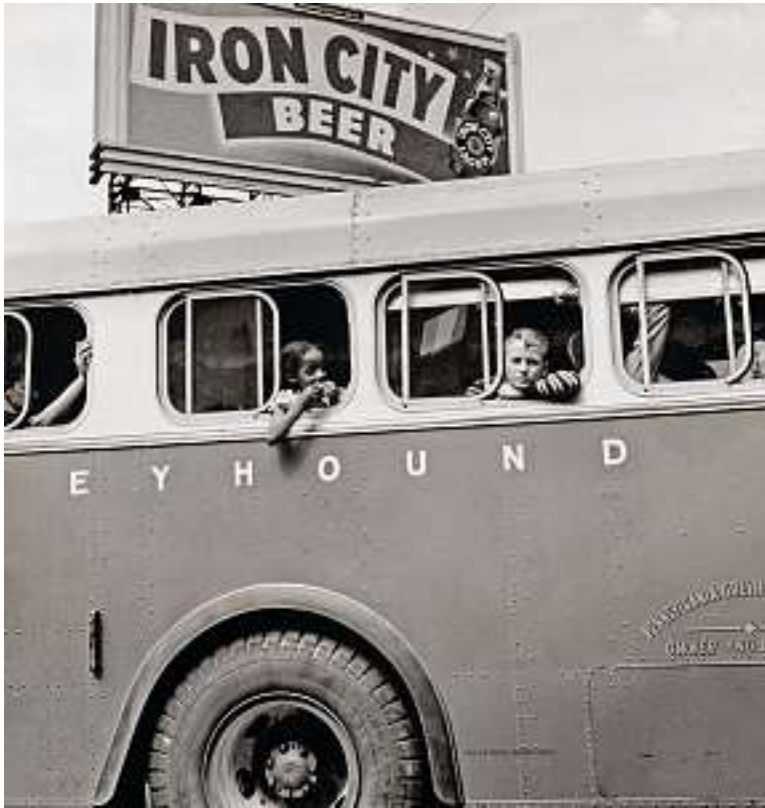
Clockwise from above: ‘Untitled (Car on Road)’ (c. 1952), by an unidentified photographer; ‘Philadelphia, Pennsylvania’ (1926), by the Munich-born E.O. Hoppé; and ‘Acoma Pueblo, New Mexico’ (1926), also by Hoppé.

cott are represented by photographs they took while traveling to document the Depression. Of less social significance, but important in the development of color photography, is Joel Sternfeld’s “Page, Arizona” (1983). Is the woman posing on a hill with a town and vista in the background a companion, or a stranger he met en route?

There is a rapture between Americans and the road. Gas is affordable this summer; there will be photographs.

In Search of America: Photography and the Road Trip
Saint Louis Art Museum, through Oct. 19

Mr. Meyers writes on photography for the Journal. See his photographs at www.williammeyersphotography.com.



SPORTS

JASON GAY

A Dramatic QB Twist in Cleveland

It was just one preseason game for Shedeur Sanders. It means nothing. Or does it? Hang on for the hype machine.

Good grief, am I really going to do this? Is this what journalism is coming to?

Two Shedeur Sanders columns in a row?

Eh, why not. Call the hotline at the Columbia School of Journalism and rat me out, I don't care. It's the middle of August, and you're not reading this column, anyway.

You're not reading anything! Summer's in the home stretch, and you've got better stuff to do, like burn sweet corn on the grill, relax in a hammock for 90 seconds, or, like me, discover that school is fast approaching, and my children don't have a single item of clothing without holes.

Besides, this Cleveland Browns quarterback thing is actually starting to turn into a legit story.

On Friday night Shedeur—Deion Sanders's much-scrutinized scion, who plunged into the fifth round at this year's NFL draft—got a surprise start in Cleveland's preseason debut against Carolina.

And Sanders was good. Very good. Not great, let's not start bronzing the bust for Canton—but the rookie was impressive and professional. He finished 14-for-23 with 138 yards passing and 19 yards rushing in the Browns's 30-10 defeat of the Panthers.

Two touchdown passes. No turnovers. Sanders looked steady. He looked in control.

My panicked television kept asking: *Are you really trying to watch a Cleveland Browns-Carolina Panthers preseason game?*

I was, and I have no regrets. I watched the birth of NFL Shedeur mania. Just wait for the hype machine to kick in over the next few days. Just kidding! It kicked in last April. ESPN can't believe its luck. Tebowmania 2.0 is ready to go. Hang on to your hat.

Again, and it's important: These are the doldrums of August. An exhausted America always warms to a fun, low-stakes story at this time of year, like a math whiz who sailed to the Bahamas in



Browns quarterback Shedeur Sanders threw two touchdown passes in a preseason win over the Panthers.

DAVID JENSEN/GETTY IMAGES

Dillon Gabriel, clearing a path for Shedeur to start, should get their shot. Old man Joe Flacco is considered the likely Week 1 starter, and that's probably the safest call.

But...

But...

After such a comedown at the draft, where absolutely everyone had something to say, Shedeur went out and played very well! It's a dramatic twist. You can't really argue it!

You can't argue it because you know what would have happened if he *hadn't* played well. At the ready was a grinchy chorus of Shedeur eye-rollers eager to throw a big bucket of ice water on the hype.

Nothing would have given them more joy than a two-interception, two-fumble night where they could smugly say: *see?*

This is a happy problem to have. I feel good for Browns fans. They'll take a little positivity any time. The universe tends to work in strange ways. For Browns fans, the universe usually intercepts a pass in the end zone, ending the game.

I do think the Cleveland brass might be a little naive to think the world is going to be patient and sit around for them to make a decision. I chuckle when people lecture that this isn't a quarterback controversy.

It already is a quarterback controversy! It is because not one of the Browns candidates exactly screams out as a QB1 Super Bowl franchise saver. The team walked into camp with an odd jumble of talent, a bunch of it unproven.

You don't think fans are going to be yelling for Sanders the first time one of his colleagues is picked off? Did you see all those Sanders jerseys in the crowd Friday night? In North Carolina?

It's only August, but this is fun. America is suddenly intrigued by the 2025 season of the Cleveland Browns. Try and compete with *that*, giant squash that looks exactly like Clint Eastwood.

a canoe he built out of Fanta cans, or a giant squash that looks exactly like Clint Eastwood.

This is the part where I do all the boring due diligence—I explain that this was a preseason game, by definition meaningless, and that Sanders's performance, while solid, has been preceded by many, many, many wondrous preseason performances by quarterbacks who have come and gone and are

long forgotten.

I'll do it for you: Remember the time _____ looked like Johnny Unitas in the preseason and everyone lost their mind? Whatever happened to him?

Preseason success mostly measures...preseason success. There's strong evidence that young quarterbacks benefit by time on the bench, watching experienced pros, and there's no need to rush Sand-

ers or anyone. The Browns are ably led by two-time coach of the year winner Kevin Stefanski, who surely has a process he wants to adhere to, and isn't going to get goaded by the media into making a premature decision.

The Browns need time. They deserve time—and Sanders doesn't benefit by being rushed. The Cleveland quarterbacks who were injured, Kenny Pickett and

The WSJ Daily Crossword | Edited by Mike Shenk

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- 25 Poker declaration
- 26 Partners of hinds
- 27 Check for purity
- 28 Idaho's capital
- 29 *Dice deuce
- 31 Grimace, and what you can do by putting the ends of the starred answers together
- 32 Leaning
- 33 "Keen!"
- 40 Purr producer
- 43 Laundry problems
- 45 Drinking vessel in an old tavern
- 47 Last year's jrs.
- 49 Item in a pod
- 51 Its chemical symbol is Pb
- 52 Sexual appetite
- 53 May honoree
- 54 Gorilla or orangutan
- 55 Do the wrong thing
- 56 Vote from a supporter
- 57 Clumsy fellow
- 58 "___ all good"
- 59 Negating word

WHAT'S BEHIND THE MASK? | By Guilherme Gilioli

- Across

1 Havana inhabitant

6 Deadly reptile

11 The decimal system

13 Went berserk

15 Perform surgery

16 Fuming, say

17 Gave a good twist to

18 Letter container: Abbr.

20 Hung out on the clothesline

21 Place for a flag pin

22 Ruby of "Jungle Fever"

23 Battery units

24 Wide-brimmed straw headgear

27 Attendance record notation
- 30 Macho type

34 Abel, to Adam

35 Spam buy

36 Middle-earth monster

37 Feasted

38 "Cheap Thrills" singer

39 Formally declaim

41 Seller of Sorentos and Sportages

42 Is inquisitive

44 Future attys.' exams

45 Pool table surface

46 Throws, slangily

48 Biblical verb ending

49 Student of Socrates

50 British noble

52 Part of a book, table or tree

- 53 Question at the end of a pleasant date

60 Ready for customers

61 Regions

62 Eight: Prefix

63 Disorder

64 Annual NFL event

65 Spot for eggs
- 9 Some tablet reading

10 Thesaurus pioneer

11 Ramen vessel

12 *Handy type of pliers for tight spaces

13 *Delta's location

14 Casual sneaker brand since 1916

19 "The Matrix" hero

Previous Puzzle's Solution

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The contest answer is COCA-COLA CLASSIC.

Suggested by reparsing the answer at 65-Across as "C LINK," find the letters linking the five C's in the grid. Those letters spell the contest answer.

'Just Go!' The Two Words Inspiring the Tigers' Run

By JARED DIAMOND

Around this time a year ago, the Detroit Tigers were going nowhere.

They had just arrived in Seattle for an early-August series against the Mariners, playing out the string of what seemed like another doomed season for a moribund franchise.

That's when Joey Cora, the team's newly hired third-base coach, called a meeting. The Tigers, he thought, weren't aggressive enough. Too often, they ran the bases like they were on a Sunday morning jog through Belle Isle Park—and the players needed to hear it.

"I can't say the exact words he said," recalled star outfielder Riley Greene. "But something along the lines of, 'Just go.' That's what we started doing—we just started going."

The Tigers heeded Cora's advice. What came next has been beyond even Cora's wildest expectations. With their newfound abandon, the Tigers compiled the best record in the major leagues from that point forward to surge into the playoffs in one of the most improbable turnarounds in baseball history. They did it by replacing every stop sign in the vicinity of their dugout with a blindingly bright green light.

And they haven't stopped treating the base paths like their personal sprint track since.

No longer a group of surprise upstarts, the Tigers have been atop the standings all summer long. And despite a recent cold streak, they are on their way toward their first division title since 2014.

Some of the reasons are easy to see: Ace left-hander Tarik Skubal has been more dominant than ever, solidifying his place as the American League's premier starting pitcher. Top draft picks like Greene and first baseman Spencer Torkelson have developed into key contribu-

tors. Winter acquisition Gleyber Torres has earned every penny of his \$15 million free-agent contract.

But perhaps the most important explanation for the Tigers' roaring success is harder to spot. Because their inspired baserunning happens to involve one of the most nebulous and underappreciated aspects of the sport.

The simplest way to understand the Tigers' prowess on the base paths is by "extra bases taken," a metric that calculates how often their runners advance more than one base on singles or more than two bases on doubles. Detroit's XBT percentage is 54%. That isn't just the best in the major leagues this season by a wide margin—their closest competitor is at 47%. It also happens to be the best of any team in a half-century.

That squad, the 1975 Oakland Athletics, had an XBT

percentage of 55% and finished with 98 wins before losing in the AL Championship Series. The Tigers hope they can go even further.

"You run the bases for your teammates, and when somebody takes that first-to-third in front of a left fielder, it gets the guys going," said Tigers infielder Zach McKinstry, who leads the majors in XBT with 77%. "It helps the team win games."

The craziest part about the Tigers' baserunning is that they aren't a particularly fast group by most traditional measures. Their average sprint speed, according to data from Statcast, is in the middle of the pack. They rank at the bottom of MLB in stolen bases.

"It's our identity," Tigers manager A.J. Hinch said earlier this season. "I think what the Detroit Tigers are about is being opportunistic and being aggressive."

The Tigers aren't a particularly fast group by most measures.



KEVIN JARAU-IMAGI IMAGES/REUTERS

Tigers infielder Zach McKinstry leads the majors in XBT.

OPINION

Make Cars Beautiful Again



INSIDE VIEW
By Andy Kessler

Tired of ugly cars and SUVs that all look the same? Check out crossovers like the Honda CR-V, the Ford Escape and the BMW XM—the last with a staggering \$160,000 price tag. The three vehicles look almost identical—an unintended consequence, believe it or not, of 50-year-old Corporate Average Fuel Economy standards. But gasoline-mileage rules were effectively tossed in July’s One Big Beautiful Bill Act, which could usher in a new era of big, beautiful auto design.

Most didn’t notice CAFE’s demise. It turns out that you can’t kill mileage standards in a reconciliation bill, so Congress quietly zeroed out its penalties via Section 40006, which “eliminates the civil penalty for a violation by a manufacturer of the Corporate Average Fuel Economy standards.” Clever.

Fuel-economy standards were enacted in 1975 after the oil embargo. The auto industry immediately complained that future fuel-efficient trucks and buses would be underpowered and never make it up hills. So in June 1976, Congress provided exemptions by defining “a non-passenger automobile” via Title 49 of the Code of Federal Regulations.

What exactly is a “non-passenger automobile”? The first test is if it can “transport more than 10 persons.” Yes,

only our government can classify buses and vans as “non-passenger.” In addition to RVs, cargo vans and trucks, an exemption was also provided for vehicles “capable of off-highway operation”—a loophole big enough to drive through.

To be considered “off-highway,” a vehicle must have four-wheel drive or weigh more than 6,000 pounds. Other characteristics include an approach angle of more than 28 degrees. Approach angle? Think of it as the steepest angle you can drive up (there’s a 20% descent angle) without scraping your bumper. It’s measured as the angle from the ground at the bottom of the tire to the lowest part of the bumper. Clearance requirements to avoid scraping were also included.

Check out compact SUVs and crossovers on the streets today. You don’t need a protractor to see these bumper-to-tire angles and clearances—all to avoid fuel economy and safety standards. No wonder every auto company loves to sell suburban assault vehicles (to paraphrase Bill Murray in “Stripes”). But complying with off-road rules to get a CAFE exemption leaves almost no room for design creativity. Hence the sameness. And most of these “off-road” vehicles probably never leave pavement.

What about passenger cars? Their similarities come from engine hoods required to protect pedestrians—or, in industry-speak, vulnerable road users. There are under-hood clearances between the engine and hood. Add front crumple

zones between the bumper and the engine. Also, add bumper height requirements of 16 to 20 inches, along with child and adult head-impact areas and hood height and slope rules. Cars and most “non-passenger vehicles” may soon be required to comply with new international pedestrian safety standards, including a head-to-hood impact test while going up to 25 miles an hour. These all severely limit design choices.

Congress quietly axed the fuel-economy standards that help drive the ugliness.

Are these requirements needed anymore? No. Pedestrians are precious, but much like blind-spot detection and lane-departure warnings, technology now exists to avoid almost all pedestrian collisions. Pedestrian fatalities from vehicles going in reverse tragically show 31% of victims are children under 5, and 26% are over 70. That’s why vehicle backup cameras have been mandatory since 2018. And to limit front and rear collisions, the National Highway Traffic Safety Administration has smartly mandated automatic emergency braking systems by 2029.

The technology exists. In 2013 Volvo rolled out “Pedestrian and Cyclist Detection,” which “detects and automatically brakes for cyclists swerving out in front of the car” on

many of its cars and SUVs. Since then, technology has gotten far better and cheaper. Heck, my Nest doorbell camera recognizes humans. Artificial intelligence is ideal for constant improvements in collision detection.

With all this new technology, why even have hoods? Teslas and other electric vehicles still have gasoline-engine-like compartments and hoods (used as front trunks, or frunks) because of these soon-to-be-outdated safety rules. Many EVs, like Rivian Quad trucks, use four electric motors placed near the wheels. No need for an engine compartment, yet they still have one—we gotta have that frunk. Look at the Amazon electric trucks in your neighborhood. Their front end goes almost straight up from bumper to windshield top. That’s the future in automobiles.

My suggestion: Companies should be able to design any shape vehicle they want, provided each is equipped with front and rear automatic collision avoidance systems. That way, when self-driving cars become ubiquitous, they won’t all look like Toyota Camrys.

CAFE is dead. Energy prices and free markets will drive fuel-economy choices. So get rid of those uglyfying, design-conforming rules. I’m not saying bring back tail fins, but let auto designers flex their creativity and offer more individuality in our transportation. Let’s modernize and make obsolete 50-year-old rules defunct. And then un-frunk.

Write to kessler@wsj.com.

BOOKSHELF | By Ronald C. Rosbottom

The Port Of Exit

Marseille 1940

By Uwe Wittstock
Polity, 240 pages, \$29.95

The author of “Marseille 1940” suggests by his title that we focus on a specific place and time. The events that unfold in his book occur mainly from May to July 1940 in Marseille, the second-most populous city in France. It was then the largest port on the European Mediterranean and a short trip to North Africa and Spain, destination points for all those, both French and others, fleeing Europe. During a brief period, this coastal metropolis was the most important port in Nazi-occupied Europe.

The Wehrmacht invaded France in May 1940 and within a month had defeated the Continent’s largest and most admired army. The rest of Europe was stunned, and all anticipated that the United Kingdom would be the next victim of this ferocious dictatorship. The U.S. was especially anxious, for it had believed that France and the U.K. would keep the Atlantic safe from the German navy.

The German invasion had succeeded so quickly and definitively against the French army that thousands upon thousands of French citizens, along with refugees from a dozen other nations threatened by Adolf Hitler, sought immediate safety in Marseille. Uwe Wittstock, a German journalist, has done extensive research in the latest available archives and

explains in his book how chaos replaced order in what had previously been a confident nation. The Germans soon realized that they could not occupy all of France bureaucratically and militarily, so they established a collaborationist government, with Marshal Philippe Pétain, the famed hero of the Great War, as its leader. Pétain was allowed a small armed force to police resisters, mostly communists, who had immediately formed in response to the Nazi occupation. It had taken the Vichy police and the Gestapo weeks to control the port, and many saw Marseille as their last option for escape.

Mr. Wittstock’s book, ably translated by Daniel Bowles, is replete with examples of those persons—both domestic and foreign—who felt they had to flee France in 1940 or else be arrested by the Gestapo. Paris proper had a population of two million; about half that number had already fled. These included Jews and others who believed they might be targets of German oppression. Many of the latter eventually returned to their homes but, for the first few months after the invasion, the bombed railroads and major thoroughfares prevented Paris from being repopulated.

The Germans as occupiers did not intend to harm the capital city itself. They preferred to have it serve as a show place, a site of rest and relaxation for its soldiers, and to let the world appreciate that they would protect this beloved city. Hitler visited Paris for a full day, traveling in an open car to its most famous monuments—the Opéra, the Invalides, the Champs-Élysées and, of course, the Eiffel Tower, where he had photographs taken that appeared on the front pages of every major newspaper in the world.

If there is a hero in this chilling saga, it is, Mr. Wittstock argues, an American from New York named Varian Fry, 32, who was the director of an Emergency Rescue Committee (soon to be combined with other agencies as the International Relief and Rescue Committee). The organization was instrumental in finding solutions to the refugee problem, even before the U.S. entered the war in late 1941. Fry volunteered to invent escape strategies that resembled the Underground Railroad that had spirited slaves to the Northern U.S. and Canada during the Civil War. He would similarly whisk away hundreds of refugees, both notables and others, to the port of Marseille. He arrived in France in 1940 with \$3,000 taped to his leg (about \$75,000 in today’s money) and a list of more than 200 artists, writers and other intellectuals likely endangered by the new German regime. (Hence the book’s subtitle, “The Flight of Literature.”) Three very wealthy American women, Peggy Guggenheim, Miriam Davenport and Mary Jayne Gold were instrumental in providing advice and funds to help Fry facilitate the escape of targeted French citizens.

A 32-year-old American, with the help of some wealthy women in the U.S., facilitated the flight of intellectuals targeted by the Nazis.

The Nazi cultural bureaucracy had announced that the presence of “degenerate art,” by such artists as Max Ernst and Pablo Picasso, needed to be controlled, if not erased. Well-known writers were threatened, among them the political philosopher Hannah Arendt, the novelist Anna Seghers and the cultural critic Walter Benjamin.

The “Jewish question,” though, remained a conundrum for both Allied and Axis governments. President Franklin D. Roosevelt and Prime Minister Winston Churchill were wary of abetting the emigration of Jews, for fear of raising more anger and threats from the Germans, as well as firing up the prejudices of their own citizens. In Moscow, Joseph Stalin worried that too much attention on the Jews would distract the U.S. from providing him with the materiel and weapons he needed to discourage Hitler from invading the U.S.S.R., and, should he indeed invade, to fight the German army.

Considered an unfriendly busybody by the risk-averse U.S. State Department, Fry was eventually removed as director of the Emergency Rescue Committee because administration officials believed he drew too much attention to the refugee dilemma, weakening the military efforts of those confronting the Germans. Fry worked diligently until he was expelled by the Vichy government in August 1941 (months before the U.S. entered the war) and returned to New York, where he continued to write and give speeches on the horrors of Hitler’s reign. Many German citizens supported Hitler’s regime up to, and even beyond, its ignominious end. They swore after the war that they had not known of the concentration camps spread throughout occupied Europe. The evidence amassed in “Marseille 1940” gives us another reason to reject such affected obliviousness.

Eventually, Fry’s message was believed, only too late to mitigate the horrors of the Holocaust. Just before his death in 1967, the French government awarded Fry the Legion of Honor, and in 1994 he was named “Righteous Among the Nations” by the Holocaust Remembrance Center Yad Vashem in Jerusalem, the first American to be so honored.

Mr. Rosbottom, a professor emeritus of French and European studies at Amherst College, is the author of “When Paris Went Dark: The City of Light Under German Occupation, 1940-1944.”

A Supreme Court Coup d’Etat in Brazil



AMERICAS
By Mary Anastasia O’Grady

Liberty in the Americas faces a degree of peril not seen since the Cold War. The biggest risk isn’t, as it was in the 1970s and ’80s, the sudden seizure of power by the military. Twenty-first century strongmen are copying Hugo Chávez, who consolidated his rule by seizing control of democratic institutions while he was popular and then put his opponents in jail or drove them into exile.

El Salvador’s President Nayib Bukele has fashioned his own version of *chavismo*. He fired and replaced all members of the country’s highest constitutional court in 2021. Due process, free speech and freedom of assembly are no more. Mr. Bukele now controls the electoral tribunal. In 2024 it certified congressional elections, although they were marred by irregularities and lacked transparency. Last month Congress, under a long shadow of doubt about its legitimacy, changed the constitution to allow indefinite presidential re-election. RIP Salvadoran democracy.

It isn’t too late to rescue Brazil from a similar return to dictatorship. Recent developments offer hope that a gradual power grab, six years in the making, might be reversed.

The trouble in Brasilia started in 2019 when the Supreme Court claimed it was

the victim of slander and threats and invoked an internal rule giving it the power to open secret “inquiries” into alleged crimes against its members. First it launched the “fake news inquiry,” making itself the initiator, investigator and judge. This was a violation of the constitutional rights of Brazilians, who are entitled to have their criminal cases tried in local and state courts, with charges brought by local and state prosecutors.

Justice Alexandre de Moraes, who had a reputation for his opposition to then-President Jair Bolsonaro, was handpicked by then-Chief Justice José Antonio Dias Toffoli to handle the inquiry even though justices are supposed to be assigned at random. Investigators surveilled the social-media accounts of the politically incorrect, criminalized their opinions and jailed them pre-emptively. Some legal scholars complained that the court was violating impartiality, free speech and the adversarial system of justice. But the Senate shirked its duty to discipline the court.

The Supreme Court’s March 2021 decision to annul former President Luiz Inácio “Lula” da Silva’s 2017 corruption conviction, which had been upheld twice on appeal, further inflamed the Brazilian right. The deplorables took to social media. The court tried to shut them up, but some popular opinion-makers were outside the country and beyond the reach of the justices. So in July 2021 they launched a “digital militia in-

quiry,” targeting tech companies and their platforms. It forced them to censor content and demonetize Brazilians who held opinions that the court found unacceptable. Failure to comply meant the companies could no longer operate in Brazil.

Justice de Moraes is censoring critics and jailing opponents with no political check.

Justice de Moraes also headed the Supreme Electoral Tribunal during the 2022 presidential campaign, which pitted Mr. da Silva against the incumbent Mr. Bolsonaro. The justice made the tribunal notably more political than it had been by actively monitoring the speech of parties, candidates and citizens and censoring those with whom he disagreed.

When Mr. da Silva was declared the winner of the election, the bitter polarization escalated. Some supporters of Mr. Bolsonaro refused to accept the results. They wanted the military to intervene and for months staged peaceful protests in front of barracks around the country.

Mr. da Silva was inaugurated without incident on Jan. 1, 2023. But a week later a contingent of *bolsonaristas* marched on federal buildings in Brasilia. Some people got inside, where there was violence and vandalism. The court called it an attempted

coup. But most of those involved seemed to be yahoos in tennis shoes wandering the grounds without weapons. Not a single soldier left military installations.

Justice de Moraes launched three new secret inquiries. Around 1,500 suspects were rounded up and some kept in prison for up to a year awaiting trial. Some were hit with severe sentences for minor transgressions. In a country where violence from the left is met with understanding, the punishments seemed in many cases unduly harsh. The court alleged a conspiracy and initiated investigations aimed at uncovering misinformation spread by intellectual authors and instigators of the Jan. 8 riot. Mr. Bolsonaro and his inner circle still face trials for allegedly plotting a coup.

No matter what you think of Mr. Bolsonaro, it’s clear that politics have taken over the court. The right in the Brazilian Senate is trying to marshal the votes necessary to impeach Justice de Moraes and restore judicial impartiality. Elites are starting to complain about justices drunk on power. Unfortunately President Trump’s 50% tariffs on Brazilian imports have boosted nationalism and support for Mr. da Silva. But the U.S. Treasury’s decision last month to impose sanctions on Mr. de Moraes seems to have gotten the attention of the other members of the court, who undoubtedly understand that there could be more to come if Brazil fails to find a way to restore the rule of law.

Write to O’Grady@wsj.com.

The Agenda Behind the BLS Head’s Firing

By William L. Silber

Commerce Secretary Howard Lutnick in February disbanded the Federal Economic Statistics Advisory Committee, a group that advised the government on producing accurate economic statistics. In an email announcing the decision, Mr. Lutnick explained that the committee’s mission “has been fulfilled.” At the same time, the Commerce Department disbanded another group concerned with the accuracy of economic releases by the government: the Bureau of Economic Analysis Advisory Committee.

Mr. Lutnick’s explanation for terminating the Federal Economic Statistics Advisory Committee made no sense. Input from disinterested experts drawn from across industry and academia is a good idea.

But now it seems that Mr. Lutnick was taking marching orders to fulfill his boss’s desire to control economic data. On Aug. 1 President Trump fired the head of the Bureau of Labor Statistics, the agency that releases the government’s monthly employment report.

Trump may be less concerned about the jobs numbers than the consumer-price index.

The president claimed the most recent numbers were “phony” and “rigged” to make him and Republicans look bad.

Mr. Trump’s assertion that the numbers are rigged has no basis in fact. The employment data are often revised, like all numbers based on surveys,

but no evidence impugns the objectivity of the government’s statistical releases. It may be that Mr. Trump cleared the way to appoint a BLS director who might help manipulate a politically more important statistical target.

Unlike the president’s coming appointment to replace Federal Reserve Chairman Jerome Powell, the head of the Bureau of Labor Statistics doesn’t have to contend with a 12-member board. A politicized director could easily question the accuracy of the data in a BLS news release, an insider’s disclaimer that would add risk and uncertainty to investor decisions. This is especially worrisome for the consumer-price index, which the BLS calculates and releases.

Mr. Trump may have the CPI in his crosshairs for several reasons. Over the coming months, the CPI will record

the effect of his tariffs on the cost of living. A friendly set of eyes interpreting the data could help the president’s agenda. The CPI adjusts payments on Social Security and on the principal owed to investors in Treasury inflation-protected securities. Higher numbers for the CPI increase the government’s obligations and swell the federal deficit. Mr. Trump has suggested that the Federal Reserve lower interest rates to 1% to reduce the federal deficit. He could lower it more easily with a compliant BLS director overseeing CPI calculations.

Fake economic news may arrive sooner than you think.

Mr. Silber is the author of “Volcker: The Triumph of Persistence” and, more recently, of “The Power of Nothing to Lose: The Hail Mary Effect in Politics, War and Business.”

OPINION

REVIEW & OUTLOOK

Who Is Stephen Miran?

President Trump likes to stir things up, and he's done it again with his choice of Stephen Miran to fill an open seat on the Federal Reserve Board of Governors. We can't recall when a President nominated to the Fed someone whose abiding policy conviction is to weaken the U.S. dollar.

Trump nominates a weak dollar advocate for the Federal Reserve.

Mr. Miran has been chairman of the White House Council of Economic Advisers in Mr. Trump's second term. He's an ardent promoter of the President's economic policies, especially tariffs. For Mr. Miran, this is a matter of conviction. Before his White House days he offered a detailed case for rewriting the rules of the global trade and financial system.

He summed up his central argument in a widely cited November 2024 essay: "From a trade perspective, the dollar is persistently overvalued, in large part because dollar assets function as the world's reserve currency." Foreign central banks hold huge dollar reserves and most of the world's goods are traded in dollars. He says this global demand for dollars results in an overvalued greenback that leads to trade imbalances and harms Americans.

His solution? Manage a decline in the dollar's value over time by reducing the global demand for the U.S. currency, or at least mitigate the effects of its overvaluation. Tariffs do the latter in his view by forcing foreigners to pay for the fact that their currencies are undervalued and boost their exports to the U.S.

But his ambition goes beyond tariffs. In that 2024 essay he laid out other policy options for negotiating a weaker dollar and diminishing its reserve-currency status. One idea is to tax foreigners who hold U.S. Treasury debt as an incentive to hold less of it. This would amount to a de facto default on current debt.

More ambitiously, Mr. Miran floats a "Mar-a-Lago Accord" in which leading nations would negotiate a new global financial system to rebalance currency values. This echoes the Plaza and Louvre accords of the 1980s that coordinated monetary policies to arrest the surging

dollar amid the rush of capital and goods into the U.S. during the Reagan economic boom. Mr. Miran says his essay wasn't "policy advocacy," but when you land something like this after an election it's intended to get the attention of policy makers. It did, and Mr. Miran got the White House job.

One question is whether Mr. Miran has talked to Mr. Trump about all this. The President likes a weak dollar for protectionist purposes, but he also likes the dollar's reserve-currency status. That status lets the U.S. borrow more cheaply to fund its deficits and gives him leverage to impose sanctions to pursue U.S. security interests.

China and Russia in particular want to break the dollar's hold on global trade so U.S. sanctions won't matter. Mr. Trump has gone out of his way to impose higher tariffs on countries that are trying to diminish the dollar's global status—see Brazil.

Others have written on these pages about the burden of being a reserve-currency country, notably Lewis Lehrman and John Mueller. But their answer is a global monetary reform that links the dollar to gold. Their goal is a stable dollar, not a weak one.

This is a debate worth having, as improbable as such a reform is. But Mr. Miran gives no indication he has given any thought to such a global monetary reform. His preoccupation is devaluing the dollar to reduce the flow of capital and imported goods to the U.S.

None of this is at stake any time soon, since Mr. Miran would for now only fill the remaining term of Adriana Kugler, who resigned Friday and whose term ends in January. Mr. Miran would be only a single vote on the Federal Open Market Committee.

But Mr. Trump is also looking to replace Fed Chair Jerome Powell, and as Chair Mr. Miran would have a global platform and influence. Senators can do the country a favor by exploring Mr. Miran's views and whether a dollar devaluationist at the Fed is in the U.S. national interest.

Texas Wins on Mail Ballots and State IDs

Is mass mail voting here to stay? It certainly looks that way: Last year 30.3% of voters cast ballots by mail, down from 43% in 2020, but higher than before Covid. That's according to a recent report by the U.S. Election Assistance Commission, which also says 580,000 mail ballots, or 1.2%, were rejected, half for signature problems.

That's an argument for voting in person, as well as for states to button up their absentee rules. Yes, Democrats will shout "voter suppression," but then they'll likely lose in court. Last week a panel of the Fifth Circuit Court of Appeals upheld a 2021 Texas law that generally requires mail voters to verify identity via a state ID number or the last four digits of a Social Security number (SSN4).

As Judge James Ho writes for the unanimous panel, Texas reserves mail voting for people who are elderly, disabled, incarcerated, or out of state. Before 2021, a voter requesting a ballot merely needed to sign an application and give a name and registration address. It was hardly secure, Judge Ho says, since that information is in the public voter file and "easily available to anyone who simply requests it."

A federal judge blocked the new ID rule in 2023, citing the 1964 Civil Rights Act, which forbids denying the franchise based on paperwork errors that are "not material" in determining voter eligibility. "It is self-evident that a voter's ID number is not material," the

judge said. "A person's SSN4 does not change when he turns 18, registers to vote, moves into or out of the state of Texas, is convicted of a felony or judged mentally incompetent, or even dies."

Well, a person's signature also doesn't change the day he turns 18 or becomes a felon. By that logic, does it violate the Civil Rights Act to make voters sign their ballots? The Fifth Circuit panel rejects this logic.

"The number-matching requirements are obviously designed to confirm that every mail-in voter is indeed who he claims he is," Judge Ho says. "And that is plainly material to determining whether an individual is qualified to vote." How could it be otherwise? Administering any election requires setting rules for where to vote and how to cast a valid ballot. As long as those procedures are neutral and de minimis, they are usually taken as a given.

A similar legal dispute in Pennsylvania was whether the state could reject mail ballots if voters neglected to date them. After years of inconclusive litigation, a Third Circuit appellate panel said yes in 2024, holding that the "materiality" provision applies to voter-registration documents but not ballot-casting processes. Judge Ho calls that analysis "persuasive."

Unless the Supreme Court weighs in, lower-court judges might continue to seize on "materiality." But states that want better mail-ballot rules can always follow Texas to legal victory.

Cuomo Campaigns Against Cuomo

One reason Andrew Cuomo lost the Democratic primary for New York City mayor is that voters had no idea what he really believes about anything. He's now reinforcing the point with his criticism of socialist Democrat Zohran Mamdani for taking advantage of a rent-control expansion that Mr. Cuomo signed when he was Governor.

He blames Mamdani for exploiting a rent-control law he signed as Governor.

Mr. Cuomo, who is now running for mayor as an independent, seems to think his best shot is to mimic Mr. Mamdani's class warfare. "Somewhere last night in New York City, a single mother and her children slept at a homeless shelter because you, assemblyman @ZohranKMamdani are occupying her rent controlled apartment," Mr. Cuomo tweeted Friday.

He then criticized his socialist opponent for growing up wealthy and marrying an "even wealthier woman." Mr. Cuomo's father was a former Governor, he was married to Kerry Kennedy, and his longtime paramour was TV chef Sandra Lee. If Mr. Cuomo believes affluence is disqualifying, he shouldn't run.

Mr. Cuomo also claimed Mr. Mamdani is "very rich" because "you make \$142,000 a year plus stipends, and your wife works too, meaning you together likely make well over \$200,000." Few in New York City who make \$200,000 feel rich. By the city government's definition, two earners who make \$200,000 are "middle-income."

Here's the amusing part. Mr. Cuomo says Mr. Mamdani should move out of his rent-stabilized apartment in Astoria where "you and your wife pay \$2,300 a month." Why? Because, Mr. Cuomo says, "millions of low income New Yorkers need

this apartment and an apartment like it. Yet your apartment remains rented to rich people who don't need it."

Well, everyone needs housing, and there's not enough of it in the city. That's why rents are so high. Laws that Mr. Cuomo signed as Governor last decade exacerbated the housing shortage by expanding rent restrictions. Those controls on rents enable Mr. Mamdani and others who aren't poor to live in rent-stabilized apartments forever.

Before 2011, apartments subject to rent caps could be deregulated if rents exceeded \$2,000 a month and household income rose above \$175,000. That meant landlords could recoup their investment as incomes and rents naturally rose. After Mr. Cuomo's legislation, apartments that are rent stabilized remain so no matter how much a household earns.

A 2019 law also sharply limits how much landlords can raise rents to compensate for apartment improvements. Because landlords lose money on rent-stabilized units, they have left tens of thousands of them vacant. They have also raised rents even higher for other tenants to compensate.

If Mr. Cuomo wants to expand the housing supply and make housing more affordable for more people, he could campaign to repeal his rent-control expansion. What's another backflip? He's already reversed himself on the state's modest pension reforms, among other policies that he championed as Governor.

In any case, he's unlikely to beat Mr. Mamdani with a socialist-lite campaign. New Yorkers deserve a choice, not a left-wing echo.

LETTERS TO THE EDITOR

Scrapping AI Export Controls Is Self-Defeating

Aaron Ginn's op-ed "China's Z.ai and America's Self-Defeating AI Strategy" (Aug. 6) mischaracterizes the purpose and effectiveness of export controls. The policy was never intended as a brick wall but as a strategic speed bump—one essential tool among many for maintaining America's lead in artificial intelligence while limiting China's military capabilities.

The controls on Nvidia's H20 chips appear to have been working until CEO Jensen Huang's lobbying secured a reversal that handed Beijing exactly what it wanted. DeepSeek's founder admitted that the chip controls were his company's biggest constraint. As AI's compute demands soar, export controls allow America's hardware advantage to deliver compounding benefits. Reversing course cedes those gains to China.

Mr. Ginn's notion that "each Nvidia chip sent abroad is a new point on the board for American software and values" assumes vendor lock-in works in Leninist dictatorships as it does in free-market democracies. The Chinese regime isn't a normal client—it's a rival with a decades-old policy of replacing U.S. vendors with indigenous alternatives.

Beijing's playbook should be obvious by now: It requires foreign vendors to surrender their trade secrets, then scales up domestic competitors and displaces foreign suppliers—first in China, then abroad. Xi Jinping was backing efforts to replace Nvidia long

before Washington moved to restrict its chip exports. Our permissiveness gets him one step closer to that goal.

Ironically, soon after the White House approved selling H20s to China, Beijing summoned Nvidia for questioning about chip "safety." Beijing surely has two goals in mind: Signal to domestic companies that they ought to shun American technology as soon as possible, and manipulate Nvidia to reveal how it designs its chips so that Chinese GPU-makers can replace Nvidia even faster.

Mr. Ginn also unfortunately shrugs off national-security risks. This year the People's Liberation Army sought H20 chips for military AI systems. We've seen this pattern before: U.S.-based Cadence Design Systems last month pleaded guilty to criminal violations of export controls and was fined \$140 million after its semiconductor design technology, diverted through Chinese entities, powered PLA hypersonic missile simulations.

Mr. Ginn, whose company is a Nvidia partner, is right that America needs a strategy beyond export controls—including streamlined energy approvals and faster reindustrialization. But these initiatives would complement, not replace, export controls.

MATT POTTINGER and LIZA TOBIN
Palo Alto, Calif., and Washington
Mr. Pottinger was deputy national security adviser (2019-21). Ms. Tobin was China director of the National Security Council, (2019-21).

What Spiked Crime in the Pacific Northwest?

Charles Fain Lehman flouts the basic rule that correlation isn't causation by linking short-lived drug decriminalization in Oregon and Washington to rising violent crime ("This Is the Pacific Northwest on Drugs," op-ed, Aug. 7). But there's no plausible reason that people who use drugs nonviolently would suddenly turn violent simply because they're no longer jailed for possession. Even the study Mr. Lehman cites doesn't blame drug use itself. Its authors suggest other causes: weakening social cohesion, failure to jail chronic offenders and broader "de-policing." None point to drug use as the driver. Portugal's drug decriminalization in 2001 didn't cause an increase in crime; nor did the Czech Republic's nine years later.

Mr. Lehman also blames the rise in overdoses on decriminalization. Yet a recent study from Brown University and RTI International researchers finds

no link between Oregon's Measure 110 and the state's rise in overdose deaths. The authors accounted for fentanyl's arrival, which moved east to west and hit the Pacific Northwest around 2019-20, causing the same overdose spike seen elsewhere. Once fentanyl was factored in, the association between decriminalization and overdose deaths disappeared. The real driver was the shifting drug supply.

Rather than imprison peaceful residents for using a substance the government disapproves of, Portland and Seattle should have enforced public nuisance laws, which the Supreme Court recently affirmed in *Grants Pass v. Johnson* (2024). Such statutes have roots in English common law and ought to be administered rationally and nonviolently.

JEFFREY A. SINGER, M.D.
Cato Institute
Washington

Our Aluminium Is a Boon to American Workers

Mark Duffy writes that "Canada's Aluminum Subsidies Hurt the U.S." (Letters, July 28). But let's review the numbers. Each year, Canada exports 2.7 million tons of aluminium to the U.S., a process that consumes 40 million megawatt-hours of electricity, equivalent to the output of at least four Hoover Dams. With the U.S.'s deregulated energy market, producing the same volume domestically would be prohibitively expensive—especially today, as data centers compete for the same power supply.

That only four of the original 23 U.S. aluminium smelters remain has little to do with Canada and everything to do with the effects of energy deregulation in the 1980s. Canada remains the U.S.'s most secure and reliable source of aluminium because our industry reinvests hundreds of millions annually into world-class operations powered by low-cost hydroelectricity, a strategic advantage that U.S. industrialists have recognized for decades.

Successive Canadian governments have acknowledged aluminium's strategic importance, especially during wartime, and crafted London Metal Ex-

change-linked contracts open to any foreign investor on equal footing. Our nation's 9,000 or so aluminium industry workers supply responsibly produced, low-carbon metal at global market prices to more than 120,000 American workers through a streamlined and efficient cross-border supply chain. The billions of dollars invested in Canada's aluminium sector over the years have been mirrored by comparable investments in the U.S. downstream industry. Isn't that the blueprint for growing Fortress North America, standing strong against the nonmarket-driven players of the world?

JEAN SIMARD
Aluminium Association of Canada
Montreal

The Sorry Sugar Status Quo

Regarding "Trump, Coke and the Sugar Cartel" (Opinion, July 24): In 1988, while working at the Commerce Department as an entry-level economist, I co-authored the study "United States Sugar Policy: An Analysis." It demonstrated the detrimental effect on U.S. consumers of an unholy alliance between the high fructose corn industry and a small group of sugar growers, primarily in Florida, who received an average subsidy of roughly \$260,000 per farm. Nearly 40 years later, nothing appears to have changed.

If the president wants to demonstrate true courage, he would abolish the sugar tariff-quota regime and let the free market reign. My guess is that we'll sooner see pigs fly.

JOHN HURLEY
Annandale, Va.

Pepper ... And Salt

THE WALL STREET JOURNAL



"I don't think the stock exchange has put a curse on you."

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OPINION

How Humanitarian Aid Feeds War Machines

By **Netta Barak-Corren**

The pictures are heart-breaking: convoys of United Nations-marked trucks inching toward bomb-scarred cities, desperate children clamoring for supplies. These images seem to prove that the international system is, at the very least, trying to help. Yet in every conflict I have studied—Somalia, Afghanistan, Iraq, Syria, Yemen, Sudan, Ethiopia and Gaza—the same trucks double as cash machines for warlords, militias and authoritarian regimes. Aid diversion is a widespread problem in humanitarian operations. Unless the U.S. and other donors rewrite the rules so that aid can't be separated from accountability, they will keep subsidizing the conflicts they abhor.

Donors need better rules to stop warlords, militias and authoritarian regimes from stealing assistance.

Somalia shows how thoroughly diversion can be built into routine. Three clan cartels win most World Food Program transport contracts, skim 30% to 50% of the cargo, and then split the spoils with those who transport the food and those who control the displacement camps. Based on U.N. reports and monitors, my coauthor and I estimate in our study that barely one-eighth of donated food reaches intended households.

In Syria, former President Bashar al-Assad insisted that all aid be converted at a government-set rate to roughly half the market price, enabling the regime to pocket at least \$60 million in 2020 alone,

while blocking aid from reaching the opposition by designating it as “unsafe.”

In Ethiopia, U.S. Agency for International Development workers discovered that their implementing partner, the U.N.'s World Food Program, was aware of industrial-scale theft by the Ethiopian military but failed to stop it. Large quantities of wheat were diverted to private mills to make flour for the army.

Gaza presents the longest-running case of diverted aid. The U.N. Relief and Works Agency, with a \$2.48 billion annual budget in 2024 and 13,000 local staff, effectively provides most public services in Gaza. That frees Hamas to use its resources for tunnels and rockets. In regions under its control, it taxes incoming aid and places loyalists on the payroll. A donor freeze after evidence that Unrwa personnel joined the Oct. 7, 2023, attack lasted only months; services resumed with no vetting reforms because, donors said, “there is no alternative.”

Diversion persists for several reasons. First, the moral considerations are difficult: When officials weigh “people will die tomorrow” against “fighters will grow stronger next month,” tomorrow always wins. Second, people give priority to institutional survival: The humanitarian sector employs some 570,000 people and until 2025 spent about \$35 billion a year, and agencies that refuse armed groups' terms lose access, budgets and jobs. Third, adversaries are able to adapt: Warlords remain in place while aid workers rotate; they open businesses posing as nongovernmental organizations and bill the U.N. for delivering cargo. Add fear of donor backlash and the result is a continuing lack of accountability. Those who break the rules hold more leverage than those sworn to enforce them.

But accountability is still within



Humanitarian aid awaiting entry to the Gaza Strip.

reach if donors step up and put pressure on humanitarian organizations. When donors finally cut funds because they find the scale of diversions unacceptable, even hard-line actors bend. When Washington paused food aid to Ethiopia in 2023, diversion plunged, and the government grudgingly accepted QR-coded tracking.

The U.S., the European Union and Gulf states combined supply more than 70% of global humanitarian budgets. Together, they could enforce five conditions on every grantee:

- **Create sunset clauses.** Missions longer than 10 years shut down unless donors unanimously extend them after a public review.
- **Fund innovation.** Create dedicated funding streams for fintech tracking, QR-coded commodities and other tools that make diversion more difficult.
- **None of this requires rewriting international law.** It's simply about enabling donors to use the one lever they control: money. Every diverted dollar undermines U.S. counterterrorism goals, fuels migration pressure on Europe, and forces Gulf monarchies to spend twice—first on aid, then on arms. Conditional funding flips those incentives. Regimes that want to look legitimate on the global stage must choose: guns or food, not both. Boosting accountability would also blunt the common critique that Washington preaches good governance while financing bad actors through humanitarian back doors.
- **Critics say pausing aid is immoral, as civilians would starve.** This

risk is real but not as definite as how it is often presented. Typically, there isn't enough data to infer the effect that a pause will have. The June 2023 Ethiopia pause triggered dire warnings of widespread famine. While some people no doubt suffered, the warnings didn't materialize. Acute food insecurity and child malnutrition went down in 2023 compared with 2022. In Yemen, food-security analyses during the suspension were limited to southern Yemen, where the pause in aid didn't occur. Acute food insecurity did rise in these areas, which were unaffected by the halt but where multiple other forces were at work: currency collapse, wage arrears, siege tactics.

Against the immediate risk of human suffering, donors must consider that allowing aid diversion could extend that risk for years. A cross-country analysis of 621 leaders in 123 countries from 1960 to 1999 showed that large, unconditional aid inflows help autocrats survive. World Bank data show that unconditional aid correlates with higher corruption and weaker rule of law.

Nothing obligates donors to bankroll the fighters causing the suffering. Setting conditions on aid to prevent diversion aligns humanitarian spending with humanitarian intent.

Climate shocks, urban sieges and pricier grain will likely push humanitarian budgets beyond \$50 billion within a decade. Without reform, much of that money will feed armies before children. Worse, each scandal makes future interventions politically toxic, putting civilians in real need at risk of not receiving help. The choice is stark: tighten the taps now or watch the well run dry.

Ms. Barak-Corren is a law professor and the Haim H. Cohn Chair in Human Rights at Hebrew University of Jerusalem.

Scientists Are Finally Making Progress Against Alzheimer's



LIFE SCIENCE
By **Allysia Finley**

Buck up, baby boomers. Sixty may not be the new 40, but 80 could soon be the new 60. A trove of new Alzheimer's research suggests that medicines and lifestyle changes can not only slow but prevent, even reverse, the debilitating disease.

Alzheimer's is characterized by a buildup of amyloid plaque and tangles of tau proteins in the brain. They trigger inflammation, which in turn causes cognitive decline and neuron death. Scientists don't know exactly what causes this destructive cascade. The disease's complexity stymied the quest for treatments for decades, but no more. Scientists are learning quickly.

The only two approved treatments for Alzheimer's that can slow progression—developed by Eli Lilly and Biogen-Eisai—work by removing amyloid plaque. They reduce cognitive decline by 25% to 36% over 18 months compared with a placebo group in clinical trials. Those in the earliest stages of the diseases saw bigger benefits, and nearly half of those in the Lilly trial showed no progression after a year.

Some back-bench scientists who don't treat Alzheimer's patients dismiss such benefits as not meaningful. But the medications could mean more years when your mother recognizes you. Who wouldn't find that meaningful?

Recent follow-up studies have also shown that the benefits grow over time—doubling over three years for Eli Lilly's treatment and quadrupling over four years for Biogen-Eisai's. Drugmakers are studying whether eliminating amyloid can ward off Alzheimer's in preclinical patients—those without cognitive symptoms—as statins can prevent cardiovascular disease.

Lifestyle changes can augment the benefits. A recently published randomized trial found that a “treatment” of regular physical and cognitive exercise, nutritious diet and social engagement improved cognitive performance among previously sedentary older adults at risk of dementia. A smaller study earlier this summer found such lifestyle interventions improved metal acuity of early-stage Alzheimer's patients, as well as physiological measures of brain health. The treatment group in the latter study also showed an increase in beneficial bacteria in their guts.

Why is this notable? Studies

have found that microbiomes of Alzheimer's patients differ from those of healthy seniors. For one, Alzheimer's patients have lower levels of *Akkermansia muciniphila*, a bacterial strain that produces the short-chain fatty acid propionate from dietary fiber.

Propionate helps regulate appetite as well as brain inflammation and amyloid buildup. In one study, propionate was found to reduce brain inflammation and amyloid in mice

New drugs show promise, and research finds value in vaccines, antivirals, exercise and probiotics.

with the rodent version of Alzheimer's disease. So perhaps a probiotic cocktail or more fiber in the diet could slow progression, much like anti-amyloid treatments.

Another potential antidote: lithium salts. A study published last week in the journal *Nature* found that amyloid can trap lithium, resulting in a deficiency of the mineral. Lithium protects neurons. Mice given a lithium-deficient diet had more amyloid, damaged neurons and

impaired learning and memory. A low dose of lithium orotate reversed cognitive problems and restored memory.

How the microbiome and lithium affect Alzheimer's is the sort of basic scientific research that deserves more government attention and funding. Ditto the effects of viruses and vaccines. Take herpes viruses, which cause chickenpox, shingles and cold sores. Most seniors have been infected by at least one type of herpes virus. After an initial infection, the virus lies dormant in cells, including in the brain. Reactivation of the virus has been linked to increased amyloid buildup, brain inflammation and risk of dementia.

Vaccines and antivirals may be able to help prevent Alzheimer's. A quasirandomized control trial earlier this year found that people vaccinated for shingles were 20% less likely to develop dementia. Recent research has also found that head injuries increase amyloid and brain inflammation by reactivating herpes viruses. So perhaps administering herpes antivirals after concussions could help protect the brain.

Alzheimer's tends to run in families, and the APOE4 variant is the biggest genetic risk factor. Women with one copy, inherited from mom or dad, are at four times as much

risk. Those with two, one from each parent, have 10 times the risk. Men with one variant show no increased risk, and those with two copies are at fourfold increased risk.

You can't change your genes, but an experimental cholesterol drug was recently found to reduce Alzheimer's hallmarks in APOE4 carriers in a late-stage trial. Perhaps that's because APOE4 can cause cholesterol to build up in the brain. All these studies underline the potential to stop Alzheimer's dead in its tracks—as long as the Food and Drug Administration doesn't get in the way.

The Health and Human Services Department on Saturday announced that Vinay Prasad was returning as the FDA head of biologics and gene therapies. Dr. Prasad stepped down late last month after a public backlash over his scuttling of a gene therapy for Duchenne muscular dystrophy. He's shown similar hostility to Alzheimer's treatments.

In a tweet last summer referencing Biogen-Eisai's anti-amyloid treatment, he wrote that paying “someone to come to an Alzheimer's patients house and help with the dishes” would do more good than “funding these garbage drugs.” Tell that to the poor souls afflicted by Alzheimer's and their families who have years more of quality life together.

By **Hal Scott**
And **John Gulliver**

President Trump issued an executive order last week directing the Labor Department to consider enabling holders of 401(k) and other defined-contribution retirement plans to invest in alternative assets—including private equity, real estate and digital assets such as bitcoin. This would allow them to achieve better returns on their savings.

Defined-contribution plans are a primary method of saving for retirement. The employers that sponsor these plans are fiduciaries obligated to act in the best interests of account holders. As of this March,

more than 90 million Americans collectively had \$12.2 trillion invested through 401(k) plans, with their assets held in a mix of debt and equity from publicly traded companies.

Unfortunately for these investors, investment opportunities in public markets are shrinking. In 1996 there were roughly 8,000 public companies, but that number has since declined by half. Why? Because public companies are subject to increasingly burdensome disclosure obligations, compliance costs and litigation risk, while private companies aren't.

It's time for the Securities and Exchange Commission to turn back the clock and reduce burdens on public companies. But there is also an opportunity for retirement sav-

ers in private markets. The number of private-equity-backed companies in U.S. markets has grown from 2,000 to more than 11,500 in the past 20 years. Net assets under management of U.S. private-equity funds and private-credit funds have skyrocketed from roughly \$3 trillion to more than \$8 trillion over the past decade.

The growth in private funding sources means that private companies don't always need to go public to raise capital and grow. Today, America has more than 700 private companies, often called “unicorns,” that have reached \$1 billion valuations. SpaceX's latest valuation is around \$400 billion, and OpenAI's is \$500 billion. Both have remained private.

At present 401(k) plans don't usually invest in private markets or other alternative assets—primarily because employers that have included investments in private-equity funds in their plans have been subject to a string of lawsuits claiming poor performance and high fees. Even though employers have won these cases, the threat and cost of litigation is sufficiently high to deter companies from offering alternative assets.

As a result, holders of 401(k) plans are missing out on potential strong returns. Buyout funds, a subset of private equity, have delivered net-of-fee returns that have beaten public market returns by roughly 2% each year on average over the past 30 years. This includes recent

years when public market performance has been particularly strong. Private credit has also outperformed public debt by at least 2% over the past 10 years, and it has remained steady as the growth of private credit has accelerated.

Take defined-benefit plans. Unlike 401(k) plans, these plans guarantee an annual payout to retirees. To meet these obligations, sponsors invest heavily in alternative assets,

His order on alternative investments will make it possible to realize much stronger returns.

which have helped them outperform 401(k) plans by nearly 30% over a 30-year period. Their best-performing investments include private-equity and private-credit funds. Only 31 million Americans, however, have access to private defined-benefit plans, so most are missing out.

Mr. Trump's executive order opens the door to a solution. The Labor Department should enact a rule establishing a regulatory safe harbor for 401(k) plan fiduciaries that protects them from lawsuits. To qualify, they should be required to comply with certain best practices for selecting investment options designed to protect retirees. Adequate liquidity for 401(k) plans with alternative investments should also be required,

which can be achieved by limiting investments in alternative assets to one-third of a 401(k) investment option. And sponsors should be required to determine reasonably that the expected returns of investments in alternative assets justifies higher fees.

The SEC also has a role to play in expanding access to private markets to the \$16.7 trillion held in individual retirement accounts and to all investors. Chairman Paul Atkins recently announced the SEC's intention to do so through registered closed-end funds that invest in private-equity and private-credit funds. These funds can be traded on an exchange, so retail investors can get liquidity if they need it. They're also managed by registered investment advisers and subject to extensive disclosure obligations to protect retail investors under.

Further Mr. Trump's recent order that the Labor Department investigate 401(k) investment in alternative assets, the government has the chance to help account holders while providing them the protections that they need. Private markets are here to stay, and it's time that employees, retirees and other retail investors have safe access to the strong returns from this thriving sector of our capital markets.

Mr. Scott is an emeritus professor at Harvard Law School and president of the Committee on Capital Markets Regulation. Mr. Gulliver is the committee's executive director.

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Honoring a Remarkable Leader & Friend

All of us at Blackstone extend our sincerest thanks for the outpouring of support in the wake of the tragic incident at 345 Park Avenue.

We are heartbroken by the loss of our beloved colleague and friend, Wesley LePatner. Wesley was an extraordinary leader, a devoted mentor and a tireless advocate for women. Her brilliance, warmth, generosity and unwavering commitment to others left an indelible mark on our firm and the countless lives she touched. Wesley exemplified the very best of Blackstone. Her absence is a profound loss and she will be sorely missed. Our thoughts and prayers are with Wesley’s husband, children, parents, extended family and friends during this unimaginably difficult time.

We also honor the other innocent victims: Didarul Islam, Aland Etienne and Julia Hyman, who lost their lives during this senseless act of violence.



BUSINESS & FINANCE

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THE WALL STREET JOURNAL.

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Target Staff Vents Its Frustration

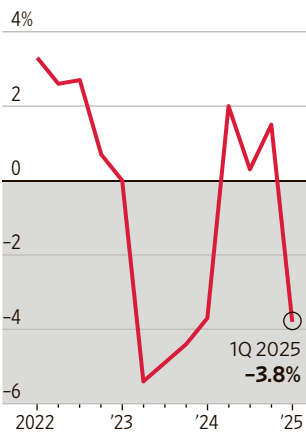
Retailer searches for next leader, needing to revive sales and boost morale

By SARAH NASSAUER

Many **Target** shoppers are frustrated with the retailer. Many Target employees are too.

In early June, a company-wide survey showed that roughly half of Target's employees didn't think the company was making the changes necessary to compete effectively. About 40% of the roughly 260,000 staffers who replied said they didn't have confidence in the company's future. The scores—which declined from a year ago—were even lower for those staffers at Target's headquarters in Minneapolis.

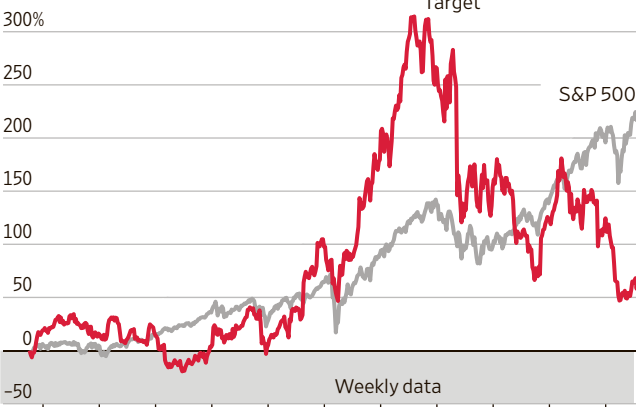
Target's comparable-store sales, change from a year earlier



Note: Latest quarter ended May 3

The worker-sentiment data reflect the challenges ahead for the company as it prepares to navigate a leadership change and turn around 10

Share-price and index performance since Brian Cornell took over as CEO in August 2014



Sources: the company (sales); FactSet (performance)

quarters of flat or falling sales in an increasingly complex consumer environment.

In an internal video on Aug. 6, Chief Commercial Officer

Rick Gomez acknowledged that the worker survey showed that “we need to do a better job of empowering you to do your best work.” He asked leaders

to remove obstacles and simplify the way teams work.

Target has lost its footing as shoppers turn to other retailers that are perceived to have lower prices at a time of high inflation and better selection or in-store experience, according to internal data and former and current executives. Target has also been ensnared in culture-war issues surrounding its gay Pride product selections and corporate diversity, equity and inclusion policies.

For more than two years, Chief Executive Brian Cornell has said the company will turn things around with a focus on unique products, good values and improving fundamentals like better stocking its shelves. So far that strategy hasn't produced much sales growth. Target reports its latest quarterly results Aug. 20.

Please turn to page B2

New Funds Tied to AI Bring in Billions Of Dollars

By PETER RUDEGEAIR

Leopold Aschenbrenner emerged last year as a precocious artificial-intelligence influencer after publishing a widely read manifesto. Then he decided to try his hand at stock picking.

The 23-year-old with no professional investing experience quickly raised more money for a hedge fund than most pedigreed portfolio managers can when they strike out on their own.

As valuations of Nvidia, OpenAI and other artificial-intelligence companies continue to soar, so do investments in hedge funds hoping to ride the AI wave.

Aschenbrenner's San Francisco-based firm, Situational Awareness, now manages more than \$1.5 billion, people familiar with the matter said. He has described the firm as a “brain trust on AI.”

His strategy involves betting on global stocks that stand to benefit from the development of AI technology, such as semiconductor, infrastructure and power companies, along with investments in a few startups, including Anthropic. He told investors he plans to offset those with smaller short bets on industries that could get left behind.

Situational Awareness gained 47% after fees in the year's first half, one of the people said. In the same period, the S&P 500 gained about 6%, including dividends, while an index of tech hedge funds compiled by research firm PivotalPath rose about 7%.

Aschenbrenner, a native of Germany, briefly worked as a researcher at OpenAI before being pushed out. He named Situational Awareness after the 165-page essay he wrote about the promise and risks of artificial superintelligence. He recruited Carl Shulman, another AI intellectual who used to work at Peter Thiel's macro hedge fund, as director of research.

The firm's backers include Patrick and John Collison, the billionaire brothers who founded payments company Stripe, as well as Daniel Gross and Nat Friedman, whom Mark Zuckerberg recently recruited to help run Meta Platforms' AI efforts. Graham Duncan, a well-known investor who organizes the Sohn Investment Conference, is an adviser.

“We're going to have way more situational awareness than any of the people who

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Airlines Duel for Seattle Overseas Business

By ALISON SIDER

Alaska Air is building out its Seattle hometown hub, envisioning a top-tier global gateway that lets it serve hot spots in Europe and Asia.

There is just one problem: **Delta**.

Alaska Air in June announced a major step toward its goal: a nonstop flight to Rome, its first European route and a city no other airline served nonstop from Seattle. Chief Executive Ben Minicucci, the son of Italian immigrants, unveiled the new flight with a video call to his mother.

“Do you remember when we threw the coin into the Trevi Fountain?” she asked, in Italian. “Because that's what fate says—next year you will return.”

Three weeks later, Delta said it would match Alaska's Rome flights and upped the ante, announcing a new nonstop flight to Barcelona. All the flights will start in May 2026.

A decade-plus-long turf war has been reignited. Delta and Alaska have been duking it out for market share in the Emerald City since Delta pushed to expand there and designated it a hub in 2014.

Seattle's tech industry, including corporate headquarters for Microsoft and Amazon.com, has made the city a draw for airlines, along with its growing population and concentration of affluent, globe-trotting residents.

Alaska Air has more than twice as many flights out of Seattle as Delta. But for years, Delta has been able to offer access to international destinations that were out of reach for Alaska, except through its



Alaska Air plans daily flights to London's Heathrow year-round, an important corporate-travel market that Delta serves.

partnerships with other carriers, such as **American Airlines**.

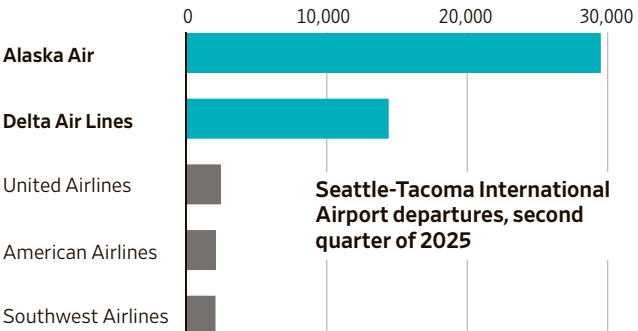
That changed last year, when Alaska Air bought Hawaiian Airlines. The roughly \$1 billion deal expanded Alaska's fleet to include wide-body jets suitable for long-haul trips, with more on order. Now it can go global.

“This is our hub. This is where we grew up. This is our city to serve,” Andrew Harrison, Alaska Air's chief commercial officer, said. “We never had the airplanes to do

this, and now we do.”

Alaska Air last week said it would offer daily flights to London's Heathrow Airport year-round, taking on a key corporate-travel market already served by Delta and its partner Virgin Atlantic. Alaska also will start flying to Reykjavik, Iceland, during the popular summer season. It started flights from Seattle to Tokyo's Narita airport in May and plans to launch service to Seoul in September—both initially operated by its Hawaiian

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Note: Departures include domestic and international flights. Alaska flights includes Hawaiian Airlines.

Source: Cirium

Riding Along on Dimon's Bus Tour

By ALEXANDER SAEEDY

BIRMINGHAM, Ala.—Jamie Dimon wants **JPMorgan Chase** to become the biggest bank in the American South. So he summoned his top executives, chartered a bus and set out to explore Dixie.

On a scorching-hot day in Birmingham, cheering bank employees at a new Chase branch were corralled outside with bedazzled cardboard signs and a five-man drumline to greet the celebrity bank chief.

Dimon ran out of the bus and entered the branch through a “tunnel of love” formed by his employees' raised arms, before he quizzed staff on what wasn't working for the bank's customers.

The pep rally-like entrance has become a tradition on Dimon's summer bus tours—annual trips in which he and his top lieutenants visit some of JPMorgan's nearly 5,000-branch empire and scope out

where the bank might extend its reach. This year they cut through Mississippi and Alabama for the first time as well as traveling to Georgia, North Carolina and South Carolina.

“You see your home team in action, how they meet people, talk to people,” said Dimon, 69 years old, riding on JPMorgan's bus as it traveled on Interstate 65 in Alabama. Executives sat nearby, nibbling on gummy bears and swiping through their phones. “We have a bit of fun, too,” Dimon added.

JPMorgan Chase has raked in an average of around \$14 billion in profit every quarter over the past year, more than any bank in America. While a rebound in trading and corporate dealmaking is giving it some extra fuel, keeping the engine going requires a continuous stream of new loans and deposits through Chase Bank's credit cards and bank accounts.

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Meta group spearheads work on the latest version of language model. **B3**



HEARD ON THE STREET

Trump's tariffs won't solve U.S.'s chip dilemma. **B10**

Warby Parker Has Kept Price Of Glasses at \$95 for 15 Years

By HALEY ZIMMERMAN

Many things have gotten pricier in the past 15 years. Not **Warby Parker's** most affordable glasses, which have cost \$95 since the brand's inception in 2010.

Warby Parker's strategy breaks from other buzzy brands that adopted the eyewear company's model during the 2010s-era direct-to-consumer boom, like mattress maker Casper and Naadam, which sells cashmere sweaters. Marketing for Naadam's basic sweater once prominently featured its \$75 price; now the same crew neck retails for \$98. A twin mattress at Casper cost \$500 in 2014 and now starts at \$749.

Trump's trade offensive is now putting Warby Parker's price strategy to one of its biggest tests yet. The company, which plans to keep its \$95 option intact, is betting it can help mitigate rising costs with recent increases on its more expensive frames and

lenses and by catering to older consumers who need pricier progressive lenses.

That is a departure from other eyewear brands, which have raised prices on their base offerings as tariffs, inflation and rising optometrist salaries push their own costs higher. “Seventeen years for one price is a long time,” the chief executive of competitor **National Vision** told investors after the brand increased the price of its flagship 2-for-1 deal by \$10 to \$79.95 in 2022. It raised the price this year again, to \$89.95.

Warby Parker's control over much of its supply and sales channels—it owns two optical labs in the U.S. and operates its own stores and online distribution—have helped it avoid some tariff costs, said Co-Chief Executive Neil Blumenthal.

And Warby is shifting production away from China, where it makes some of its frames. At the beginning of 2025, 20% of Warby Parker's

cost of goods sold originated in China—a figure it said it aims to bring under 15% by the end of the year.

Warby Parker's second-quarter revenue climbed 14% to \$214.5 million from a year earlier, the company reported Thursday. It said “tariff-related headwinds” contributed to a drop in its quarterly adjusted gross margin, to 54.3% from 56.1% a year ago.

On its website, about 60% of the 296 eyeglasses currently available still cost \$95 with basic prescription lenses. Yet the company's average revenue per customer has increased every year since the company went public in 2021.

That is because plenty of Warby shoppers buy at higher price points for both medical and style reasons, Blumenthal said.

Warby announced a one-time price bump on some of its more expensive offerings in April. In recent years, the company has also introduced

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Airlines Battle In Seattle

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subsidiary.

With at least 12 new international destinations added by 2030, Alaska said it would soon be Seattle's top international airline, taking Delta's crown.

"There's always room for a No. 2," Harrison said.

Delta, which already flies from Seattle to Tokyo and Seoul, along with Paris and Amsterdam, has more than doubled its departures from there since 2014. Delta was initially drawn to the city as a launching point for flights to Asia. Then it saw the city's potential as a rich domestic market, said Joe Esposito, Delta's senior vice president of network planning, pricing and revenue management.

Even though Alaska Air is

The deal for Hawaiian Airlines expanded Alaska's fleet.

bigger in Seattle, Esposito said, Delta has other western hubs that connect travelers in the region to a wider range of destinations.

"If I was them, that would be the aspiration, too," Esposito said of Alaska's ambitions to be No. 1. "We're well ahead in international. We're going to continue to grow, too. So, I feel very good."

For Alaska Air, the new flights are part of a makeover as the fifth-largest U.S. airline looks to burnish its bona fides as a major player.

Its Boeing 787 wide-body jets, currently outfitted in Hawaiian's colors, are getting a new paint job inspired by the northern lights to present a more cosmopolitan, premium image.

While its footprint in the U.S. East Coast and Midwest is smaller, Alaska is a powerhouse in the Western U.S. For Seattleites, having the Alaska co-branded credit card in their wallet is as ubiquitous as drinking coffee and carrying a raincoat, said Rachel Smith, CEO of the Seattle Metropolitan Chamber of Commerce.

Still, Smith and other airport officials see the competition as a win for consumers and businesses, bringing

more options and helping keep prices lower.

"We feel very fortunate to have two major carriers call Seattle their hubs," said Port of Seattle Commissioner Sam Cho.

Alaska Air executives have said the ability to serve far-flung international cities was an arrow missing from its quiver. Not having those destinations put the airline at a disadvantage with frequent fliers who aim to build up status through devotion to a single airline, said Eric Bailey, a former corporate travel manager for Microsoft in Seattle.

Alaska Air hopes that its expanded international presence will appeal to big corporate travelers who had been splitting their spending or flying Delta. And the chance to redeem points for trips abroad makes Alaska's credit card more alluring.

"We believe there's going to be significant change in behavior—a lot of our loyal members are going to come back to us for the international part," Harrison said.

Still, he said Alaska Air will have to make some changes to compete for globe-trotters. Delta recently opened two new lounges in Seattle, including its top tier One Delta lounge for international business class. It is also rolling out free Wi-Fi across its fleet.

Alaska has popular airport lounges with features like pancake printers and make-your-own pho. But premium international passengers expect amenities like showers and high-end food before their flights, Harrison said.

Alaska is planning to open a Seattle "flagship" lounge in 2027 to serve them.

Alaska also plans to add a new international premium economy section to its wide-body planes.

While the Dreamliners it inherited from Hawaiian don't currently have Wi-Fi, Harrison said they would be equipped with Starlink internet by the time the airline's new service to Europe launches next year.

Harrison said the challenge from Delta has pushed Alaska to take more risks and grow more aggressively over the years.

Delta isn't backing off. "We're not afraid of competition," Esposito said.

Target Frustrates Staffers

Continued from page B1
"While we recognize the hard work and progress under way, we're not where we want to be," Cornell said in a statement Saturday.

"Across the organization, we're focused on building on our strengths," the CEO said. "Backed by strong assets, proven capabilities and a talented team, we're confident in our path forward."

Cornell, 66 years old, is preparing to step aside as CEO after more than a decade in the role. In 2022, the board eliminated its mandatory retirement age of 65 and said Cornell had committed to stay approximately three more years.

The board has been running a CEO succession process and among the candidates is one of his top deputies, Michael Fiddelke, the current chief operating officer, said people familiar with the situation.

Fiddelke, 49, has worked his way up the ranks since joining Target as a finance intern in 2003, including a five-year stint as chief financial officer. Earlier this year Fiddelke was named to lead a new effort to improve operations. Longtime executive Christina Hennington, also considered a possible next CEO, left the company.

Some investors prefer an outsider to take the helm. In a June survey sent to medium and large investors by Mizuho Securities, 96% of the 51 that responded said they would prefer an external candidate as Target's next CEO.

Those investors are saying that "Target has gone off the rails basically," said David Bellinger, a senior research analyst with the firm. "A way to promote wholesale change is to go with an external guy."

The internal employee survey shows that "our team is not happy with the current performance," said a Target spokesman, "but the team wants to see Target succeed."



The retailer has lost market share in apparel and home goods.

Around 80% of headquarters workers said they plan to stay with the company, he said.

Target executives have said they are trying to bring back the momentum of Target's heyday, when it was known for fashionable, affordable items and partnerships with high-end designers. Executives have said some recent partnerships have driven sales, including an exclusive deal to sell a Taylor Swift book this past holiday season and a partnership with the Kate Spade brand this year.

"In a world where we operate today, our guests are looking for Tar-zhay," Cornell said at an investor meeting in March, using the nickname customers gave Target decades ago to describe its combination of trendy items and slightly elevated everyday goods.

In the past that formula worked well because it differentiated Target from larger competitors at the time such as Kmart and Walmart which were offering basic goods at low prices, said Bob Ulrich, who led Target as CEO from 1987 to 2008, a time of soaring sales for the retailer.

"We just built these fun, great things at a hell of a price," said Ulrich. "And we had some really great marketing people."

Today's environment is harder because more retailers have tried a similar approach and Target has made some missteps, said Ulrich.

"I think people would celebrate if Target comes back and return to shop if it got fixed," he said.

Target is producing significant profits and investing those back into the business to create growth, including \$4 billion this year, said the Target spokesman. Target's digital business is profitable and digital sales have tripled since 2019, he said.

Shoppers' perception of why they should come to Target has eroded in recent years, according to internal data and executives. For example, even as Target invested to lower prices on thousands of items, shoppers perceived prices as higher than some competitors, said some of these people.

Target's rebuke of gay Pride merchandise in 2023 and some DEI policies earlier this year has hurt sales and angered some investors and workers. In January, Target said it would stop using the term DEI and wind down some diversity-focused programs as conservative activists and the Trump administration condemned the policies at companies broadly.

Ann and Lucy Dayton, daughters of one of Target's founding family members, wrote letters to the editors of national newspapers that said they were "shocked and dismayed" by the changes. The Dayton family has no involvement in the company. Organizers of Target's hometown Pride parade banned the company as a sponsor this year in response.

In May Cornell said shopper backlash to the DEI announcement ate into its most recent quarterly sales, just as changes around its Pride collection in 2023 had hurt sales.

The retailer has lost market share in categories it had long dominated, including apparel and home goods, according to estimates from investment firm Bernstein, which recommended investors sell the company's stock in May.

For the next CEO, Target could benefit from a leader with broad merchandising, turnaround and digital retail experience, Bernstein said in its report, adding, "A steady hand, and an ability to work under pressure, will be required."

Warby Parker Holds Firm

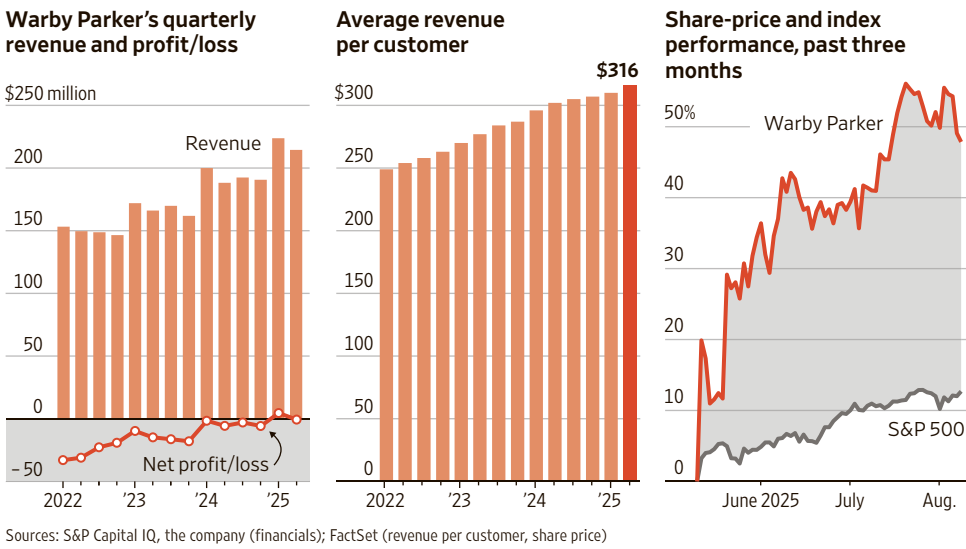
Continued from page B1
higher-grade progressive lenses, as well as new styles and add-ons—like clip-on sunglasses that attach to some of its most popular frames

Alana Meraz, 28 years old, bought her first pair of Warby Parker glasses—Montague frames with blue light-filtering lenses for \$195—a few weeks ago. "I was leading more with style and look than I was with price," Meraz said. Still, "I was definitely pleasantly surprised by the price."

Warby's long-held strategy is to remain under the price umbrella of its competitors. This year, it told investors that the markups of name-brand competitors were so large that Warby had room to raise some prices while remaining more affordable.

Would Warby ever budge from \$95? Blumenthal won't say never.

"We may have to increase that price at some point, but we're going to do everything possible for as long as possible to not," he said.



Warby Parker co-founder Neil Blumenthal won't say never on a price hike from \$95.

THE TICKER | MARKET EVENTS COMING THIS WEEK

Monday Short-selling reports Ratio, days of trading volume of current position, at Jul 15 NYSE 3.6 Nasdaq 2.0 Earnings expected Estimate/Year Ago AST SpaceMobile (0.19)/(0.51) Barrick Mining 0.46/0.32 Franco-Nevada 1.12/0.75 monday.com 0.86/0.94 Oklo (0.11)/(5.17) Roivant Sciences (0.25)/0.12	Tuesday Consumer price index All items, Jun. up 2.7% Jul., expected up 2.8% Core, Jun. up 2.9% Jul., expected up 3.1% Treasury budget Jul., '24 \$244.0 bil. deficit Jul., '25, exp \$227.7 bil. deficit Earnings expected Estimate/Year Ago Cardinal Health 2.04/1.84 Caris Life Sciences (0.22)/n.a.	CAVA Group 0.14/0.17 CoreWeave (0.23)/n.a. H&R Block 2.83/1.89 Lumentum Holdings 0.81/0.06 Wednesday EIA status report Previous change in stocks in millions of barrels Crude-oil stocks, down 3.0 Gasoline stocks, down 1.3 Distillates down 0.6 Mort. bankers indexes Purch., previous up 2.0% Refinan., prev. up 5.0% Earnings expected Estimate/Year Ago Brinker International 2.47/1.61 Cisco Systems 0.98/0.87	Coherent 0.92/0.61 Elbit Systems 2.41/1.76 Performance Food Group 1.46/1.45 StandardAero 0.21/0.02 Thursday EIA report: natural-gas Previous change in stocks in billions of cubic feet up 7 Initial jobless claims Previous 226,000 Expected 229,000 Freddie Mac mortgage survey Previous weekly averages 30-year fixed 6.63% 15-year fixed 5.75% Producer price index All items, Jun. up 0.0% Jul., expected up 0.2%	Core, Jun. up 0.0% Jul., expected up 0.3% Earnings expected Estimate/Year Ago Advance Auto Parts 0.56/0.75 Applied Industrial Technologies 2.63/2.58 Applied Materials 2.36/2.12 Deere 4.58/6.29 SanDisk 0.04/n.a. Tapestry 1.01/0.92 Friday Import price index Jun., previous up 0.1% Jul., expected up 0.0% Empire Manufacturing Jul., previous 5.5 Aug., expected 1.8 Retail sales, ex. autos Jun., previous up 0.5%	Jul., expected up 0.3% Retail sales Jun., previous up 0.6% Jul., expected up 0.5% Capacity utilization Jun., previous 77.6% Jul., expected 77.6% Industrial production Jun., previous up 0.3% Jul., expected up 0.0% Business inventories May, previous up 0.0% Jun., expected up 0.2% U.Mich. consumer index Jul., final 61.7 Aug., prelim 62.5 Earnings expected Estimate/Year Ago Flowers Foods 0.30/0.36
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Listen to a Podcast: Space Trucks? One Startup's Plan for Business on the Moon

Scan this code for a podcast with Justin Cyrus, founder and CEO of Lunar Outpost, who is betting there will be a commercial rush to tap into the moon's resources, including critical minerals.

BUSINESS NEWS

Investor in Avantor Presses for Change

By Ben Glickman
and Lauren Thomas

Activist investor Engine Capital has built a stake in Avantor and plans to push the life-sciences company to sell itself or make other changes, according to people familiar with the matter.

The investment firm could reveal its roughly 3% stake in Avantor on Monday, the people said.

Radnor, Pa.-based Avantor sells lab equipment and supplies used by life-sciences companies and others. The company has a market value of about \$7.8 billion after its shares fell nearly 50% so far this year.

Engine said it believes the company should either pursue an immediate sale or make changes that could include a board refresh, increased stock buybacks, cost cuts or selling noncore parts of its business,

the people said.

Engine says the entire company could sell for between \$17 and \$19 a share, according to the people. Shares closed Friday at \$11.50.

Engine also believes shares could trade as high as \$26 apiece by the end of 2027 if the company were to make the necessary changes on its own, the people added.

Demand for Avantor’s products has dropped, especially in the government and education sectors, due to research funding cuts by the Trump administration.

Its shares were already on a downward slide when the company announced the departure of its longtime chief executive in April, which caused them to drop further.

Avantor made its debut on the public market in 2019 after being owned by private-equity firm New Mountain Capital.

‘Weapons’ Tops the Movie Rankings



Julia Garner stars as a teacher in the horror film.

Estimated Box-Office Figures, Through Sunday

Film	Distributor	Sales, In Millions		
		Weekend*	Cumulative	% Change
1. Weapons	Warner Bros.	\$42.5	\$42.5	-
2. Freakier Friday	Disney	\$29	\$29	-
3. The Fantastic Four: First Steps	Disney	\$15.5	\$230.4	-60
4. The Bad Guys 2	Universal	\$10.4	\$43.4	-53
5. The Naked Gun	Paramount	\$8.4	\$33	-50

*Friday, Saturday and Sunday in North American theaters

Source: Comscore



A Meta executive spoke at LlamaCon 2025, an AI developer conference, in Menlo Park, Calif., in April.

Meta’s TBD Lab Tackles New Version of LLM Llama

Superintelligence AI group ramps up research and work with other teams

By Meghan Bobrowsky

About one month in, Meta Platforms’ much-hyped new team devoted to building machine superintelligence has a name, an initial project—and a fast-growing list of employees poached from other artificial-intelligence labs.

Earlier this summer, the company placed all its AI efforts under a new umbrella group, Meta Superintelligence Labs. Charged with a mission to “bring personal superintelligence to everyone,” in the words of Chief Executive Mark Zuckerberg, MSL is overseen by Chief AI Officer Alexandr Wang, who joined the company as part of a \$14 billion

deal for a stake in his former startup, Scale AI.

At the forefront of the push to build a computer mind smarter than any human’s is a team dubbed TBD Lab, which houses many of the researchers the company has lured from rival labs, in some cases with pay packages of tens or hundreds of millions of dollars.

TBD Lab, as in “to be determined,” is spearheading work on the newest version of Llama, the company’s large language model, according to people familiar with the matter.

Wang sent a memo to employees recently that was viewed by The Wall Street Journal. Wang wrote that TBD Lab would be working alongside Meta’s other AI teams on a variety of projects, including coming model releases, the extension of models’ reasoning capabilities and development of AI agents.

“Already in the past month, I’ve seen meaningful progress in each of these collaborations,” he wrote in the memo. “This enables us to be more technically ambitious, parallelize across several separate efforts and ultimately achieve frontier results more quickly.”

The new Llama project is being led by Jack Rae, a hire to TBD Lab from Alphabet’s Google. Members of Meta’s existing Llama team and TBD Lab are working together on it, according to people familiar with the matter. The new model doesn’t yet have an official name, but internally has been nicknamed Llama 4.5 by some and Llama 4.X by others.

Zuckerberg has described superintelligence as a revolutionary technology that “will improve all our existing systems and enable the creation and discovery of new things that aren’t imaginable today.”

To fuel its ambitions, Meta

has been hiring aggressively from its rivals, offering researchers hundreds of millions of dollars and in at least two cases \$1 billion pay packages over several years. The company has to date poached at least 18 researchers from OpenAI and a number from Google, including two recent additions, Tong He and Yuanzhong Xu, according to people familiar with the matter.

Nine people from one of Meta’s internal infrastructure teams were moved to the superintelligence unit after some of them got job offers from Thinking Machines Lab, a startup run by former OpenAI executive Mira Murati, according to people familiar with the matter.

Dave Arnold, a Meta spokesman, said the company had already been planning to move those people to TBD Lab and adjust their compensation regardless of recruitment offers they might have received.

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Funds Tied To AI Draw Billions

Continued from page B1

management money in New York,” Aschenbrenner told podcaster Dwarkesh Patel last year. “We’re definitely going to do great on investing.”

In another sign of the demand for Aschenbrenner’s services, many investors agreed to lock up their money with him for years.

Other recent launches include an AI-focused hedge fund from Value Aligned Research Advisors, a Princeton, N.J.-based investment firm founded by former quants Ben Hoskin and David Field. The fund, launched in March, has amassed about \$1 billion in assets, a person familiar with it said. VAR also manages about \$2 billion in other AI-focused investment strategies.

VAR’s investors have included the philanthropic foundation of Facebook co-founder Dustin Moskovitz, according to regulatory filings reviewed by fund-data tracker Old Well Labs.

Veteran hedge-fund firms

are entering the fray, too. Last year, Steve Cohen tapped one of his portfolio managers at Point72 Asset Management, Eric Sanchez, to start an AI-focused hedge fund that Cohen planned to stake with \$150 million of his own money. Assets at the fund, called Turion—after AI theorist Alan Turing—now exceed \$2 billion, people familiar with the matter said. Turion is up about 11% this year through July after it gained about 7% last month, the people said.

It is no surprise that thematic funds are springing up to capitalize on the AI frenzy. In years past, hedge funds that specialized in the transition to

clean energy and investing with an environmental, social and corporate-governance lens proliferated in response to client demand.

The market swoon that followed the January release of an advanced, low-cost language model from Chinese company DeepSeek showed the fragility of the valuations of AI winners, though the market has roared back since.

AI-focused investors argue the long-term trend of development and adoption are inevitable, even if there are bumps along the way. With only so many publicly traded companies that operate in the AI-adjacent economy, stock-picking

funds often pile into the same positions as one another and more generalist hedge funds. Vistra, a power producer that supplies the juice to AI data centers, was a top-three U.S. position of both Situational Awareness and VAR Advisors as of March 31, according to their most recent securities filings.

Other hedge-fund managers are introducing funds to make investments in privately held AI companies and startups. Gavin Baker’s Atreides Management teamed up with Valor Equity Partners to launch a venture-capital fund this year that has raised millions from investors including Oman’s sov-

ereign-wealth fund. Each firm separately invested in Elon Musk’s xAI.

At least one portfolio manager is planning an AI hedge fund as a comeback vehicle. Sean Ma wound down his Hong Kong-based firm, Snow Lake Capital, after it agreed to pay about \$2.8 million to settle Securities and Exchange Commission charges last year that the firm participated in stock offerings of companies that it had also bet against. Ma took over an investment firm called M37 Management in Menlo Park, Calif., earlier this year. He is currently fundraising for a hedge fund focused on AI software and hardware.

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CLASS ACTION

UNITED STATES DISTRICT COURT
FOR THE NORTHERN DISTRICT OF CALIFORNIA
SAN FRANCISCO DIVISION

SEB INVESTMENT MANAGEMENT AB, and WEST PALM BEACH FIREFIGHTERS' PENSION FUND,
Individually and On Behalf of All Others Similarly Situated,

Plaintiffs,

v.

WELLS FARGO & COMPANY, CHARLES W. SCHARF,
KLEBER R. SANTOS, and CARLY SANCHEZ,

Defendants.

Case No. 3:22-cv-03811-TLT

SUMMARY NOTICE OF PENDENCY OF CLASS ACTION

TO: ALL PERSONS AND ENTITIES WHO PURCHASED OR OTHERWISE ACQUIRED WELLS FARGO & COMPANY COMMON STOCK BETWEEN FEBRUARY 24, 2021 AND JUNE 9, 2022, INCLUSIVE, AND WERE DAMAGED THEREBY.

YOU ARE HEREBY NOTIFIED, pursuant to Federal Rule of Civil Procedure (“Rule”) 23 and by Order of the United States District Court for the Northern District of California, that the above-captioned action (“Action”) against Wells Fargo & Company (“Wells Fargo”) and its executive officers Charles W. Scharf, Kleber R. Santos, and Carly Sanchez (together with Wells Fargo, “Defendants”), has been certified as a class action on behalf of the following Class:

All persons and entities who purchased or otherwise acquired Wells Fargo common stock between February 24, 2021 and June 9, 2022, inclusive, and were damaged thereby.

The Court has appointed SEB Investment Management AB and West Palm Beach Firefighters’ Pension Fund as Class Representatives and Kessler Topaz Meltzer & Check, LLP as Class Counsel. The Action has not been adjudicated or settled. This notice is not an admission by Defendants or an expression of any opinion by the Court as to the merits of the Action, or a finding by the Court that the claims asserted by Class Representatives in the Action are valid. This notice is not a settlement notice and is intended only to inform members of the Class that the Action is currently in progress.

IF YOU ARE A MEMBER OF THE CLASS, YOUR RIGHTS WILL BE AFFECTED BY THE LAWSUIT. This notice provides only a summary of the information contained in the detailed, long-form Notice of Pendency of Class Action (“Notice”). You may obtain a copy of the Notice from the case website, www.WellsFargoSecuritiesAction.com, or by contacting the Administrator.

SEB Investment Mgmt AB v. Wells Fargo & Company
c/o A.B. Data, Ltd.
P.O. Box 173025
Milwaukee, WI 53217
(866) 905-8128
info@WellsFargoSecuritiesAction.com

If you are a Class member, you should receive a Postcard Notice regarding the Action by mail. If you are a Class member and you do not receive a Postcard Notice by mail, please send your name and address to the Administrator so that you will receive any future notices disseminated in connection with the Action.

Inquiries, other than requests for the Notice, may be made to Class Counsel:

KESSLER TOPAZ MELTZER & CHECK, LLP
Sharan Nirmul, Esq.
280 King of Prussia Road
Radnor, PA 19087
Telephone: (610) 667-7706
- or -
Jennifer L. Joost, Esq.
One Sansome Street, Suite 1850
San Francisco, CA 94104
Telephone: (415) 400-3000
info@ktmc.com
www.ktmc.com

If you are a Class member, you have the right to decide whether to remain a member of the Class. *If you choose to remain a member of the Class, you do not need to do anything at this time other than retain your documentation reflecting your transactions and holdings in Wells Fargo common stock.* You will automatically be included in the Class, and you will be bound by the proceedings in the Action, including all past, present, and future orders and judgments of the Court, whether favorable or unfavorable to you. If you are a Class member and do not wish to remain a member of the Class, you must take steps to exclude yourself.

If you timely and validly request to be excluded from the Class, you will not be bound by any orders or judgments in the Action, and you will not be eligible to receive a share of any money which might be recovered in the future for the benefit of the Class. To exclude yourself from the Class, you must submit a written request for exclusion by mail or email by **no later than September 30, 2025**, in accordance with the instructions set forth in the Notice. Pursuant to Rule 23(e)(4), the Court has discretion as to whether a second opportunity to request exclusion from the Class will be allowed if there is a settlement in the Action.

Further information about the Action may be obtained by contacting the Administrator or by visiting the case website www.WellsFargoSecuritiesAction.com.

Please Do Not Call or Write the Court with Questions.

DATED: August 11, 2025

BY ORDER OF THE COURT
UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF CALIFORNIA

¹ Excluded from the Class are Defendants and their families, the officers, directors, and affiliates of Defendants, at all relevant times, members of their immediate families and their legal representatives, heirs, successors or assigns, and any entity in which Defendants have or had a controlling interest.

COMMERCIAL REAL ESTATE

NOTICE OF PUBLIC SALES UNDER UNIFORM COMMERCIAL CODE

PLEASE TAKE NOTICE THAT, on October 17, 2025 (the “Auction Date”), at 2:30 p.m. Eastern Time, or as soon thereafter as practicable, LCP Hollywood Lender LLC, a New York limited liability company, and/or its successors and assigns (“Secured Party”), will hold a public sale in-person at the address set forth below and virtually via online video conference pursuant to Section 9-610 of the Uniform Commercial Code as enacted in the State of New York (the “UCC”), to sell to the qualified bidder with the highest or otherwise best bid, subject to the governing terms of sale, all of the right, title and interest of 6417 Selma Hotel Mezz, LLC, a Delaware limited liability company (“Pledgor”), in and to (i) its 100% limited liability company interest in 6417 Selma Holdings LLC, a Delaware limited liability company (“Hotel Borrower”) (such interests, the “Hotel Equity Collateral”) and (ii) its 100% limited liability company interest in 6421 Selma Restaurant LLC, a Delaware limited liability company (“Restaurant Borrower”) (such interests, the “Restaurant Equity Collateral”, and the Hotel Equity Collateral and the Restaurant Equity Collateral, collectively, the “Equity Collateral”). The Equity Collateral secures indebtedness owed by Borrower to Secured Party under a loan to Borrower in the outstanding principal amount of \$30,300,000.00 plus unpaid interest, attorneys’ fees and other charges, including the costs to sell the Equity Collateral (the “Loan”).

Pledgor owns 100% of the limited liability company interests in Hotel Borrower. Hotel Borrower owns the fee simple interest in and to that certain real property commonly known as 6417 Selma Avenue, Hollywood, County of Los Angeles, California and certain other personal property and intangible assets used in the ownership and operation of thereof, as more particularly described in the documents evidencing, guaranteeing and/or securing the Loan (the “Loan Documents”). Pledgor owns 100% of the limited liability company interests in Restaurant Borrower. Restaurant Borrower owns a leasehold estate in and to the real property commonly known as 6421 Selma Avenue, Hollywood, County of Los Angeles, California and certain other personal property and intangible assets used in the ownership and operation of thereof, as more particularly described in the Loan Documents.

The Hotel Equity Collateral and the Restaurant Equity Collateral will be offered for sale in three public auctions, held consecutively, starting at 2:30 p.m. Eastern Time, on the Auction Date, as follows: (1) the Hotel Equity Collateral will first be offered for sale individually (the “Hotel Collateral Auction”); (2) immediately thereafter, the Restaurant Equity Collateral will be offered for sale individually (the “Restaurant Collateral Auction”); and (3) immediately thereafter, the Hotel Equity Collateral and the Restaurant Equity Collateral will be offered for sale as a collective whole (the “Bulk Sale Auction”). Subject to the governing terms of sale, Secured Party will determine the successful bidder(s) to which the Hotel Equity Collateral and the Restaurant Equity Collateral will be sold as follows: (x) with respect to the Hotel Equity Collateral, the qualified bidder that submits the highest or otherwise best bid (for each such auction, a “Winning Bid”) in the Hotel Collateral Auction, and with respect to the Restaurant Equity Collateral, the qualified bidder that submits the Winning Bid in the Restaurant Collateral Auction, if such Winning Bids, taken in the aggregate, exceed the Bulk Sale Auction Winning Bid; or, alternatively, (y) with respect to the Hotel Equity Collateral and the Restaurant Equity Collateral collectively, the qualified bidder that submits the Winning Bid in the Bulk Sale Auction, if the Bulk Sale Auction Winning Bid equals or exceeds the aggregate of the Hotel Collateral Auction Winning Bid and the Restaurant Collateral Auction Winning Bid.

THE EQUITY COLLATERAL WILL BE SOLD ON AN “AS IS, WHERE IS” BASIS. WITH RESERVE, AND WITHOUT ANY REPRESENTATIONS OR WARRANTIES OF ANY KIND, WHETHER EXPRESS OR IMPLIED, THERE IS NO WARRANTY RELATING TO TITLE, POSSESSION, QUIET ENJOYMENT, MERCHANTABILITY, FITNESS OR THE LIKE IN THESE DISPOSITIONS. Secured Party reserves the right to establish terms of sale, including bidding procedures and timing of settlement; to require bidders to tender a deposit in advance; to set minimum price(s) for the Hotel Equity Collateral and the Restaurant Equity Collateral; to have bidders demonstrate their ability to perform and close to its satisfaction; to reject all or any part of any bid in its sole discretion; to credit bid at the auctions; to assign its bid; to credit the purchase price against the expenses of the sales and the secured obligations; and to adjourn, continue, or cancel the auctions in whole or in part without further notice. The sales shall be held in accordance with all restrictions and obligations under the Loan, as applicable, and the terms of sale.

Bidders will be required to represent in writing that they will adhere to the terms of sale and are purchasing the Hotel Equity Collateral and/or the Restaurant Equity Collateral, as applicable, for their own account, not acquiring them with a view toward the sale or distribution thereof, and will not resell the interests acquired unless pursuant to a valid registration under applicable federal and/or state securities laws, or a valid exemption from the registration thereunder. The Hotel Equity Collateral and Restaurant Equity Collateral have not been registered under such securities laws and cannot be sold by the winning bidder(s) without registration or application of a valid exemption. The public sales shall be conducted by Mannion Auctions, LLC, by Matthew D. Mannion, Auctioneer, NYC DCA License No. 1434494-DCA.

The auctions will be held in-person at Loeb & Loeb LLP, 345 Park Avenue, 21st Floor, New York, New York 10154 and virtually via online video conference. The link and password for the online video conference will be provided to all registered qualified bidders.

Parties interested in further information about the Equity Collateral, the requirements and/or registering to be a “qualified bidder”, or the terms of sale must contact Secured Party’s counsel, Vadim J. Rubinstein, Esq., at 212-407-4092 or by email at vrubinstein@loeb.com during normal business hours. Upon execution of a standard non-disclosure agreement, additional documentation and information will be available. Parties who do not contact Secured Party’s counsel and register by 5:00 p.m. Eastern Time by October 10, 2025, may not be permitted to participate in the auctions. Secured Party and/or its successors and assigns reserve the right to modify the terms of sale and to adjourn, continue, or cancel the auctions in whole or in part at any time and from time to time, with or without notice.

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COMMERCIAL REAL ESTATE

UCC Public Sale Notice

Please take notice that Newmark (“Newmark”), on behalf of BMD-III CHT Mezz, LLC, a Delaware limited liability company (the “Secured Party”), offers for sale at public auction on **Tuesday, September 23, 2025, at 2:30 p.m. (Eastern Time) on the steps of the New York county courthouse located at 60 Centre Street, New York, New York 10007**, in connection with a Uniform Commercial Code sale, 100% of the limited liability company membership interests (the “Interests”), owned by (i) CF E 88 MEZZ 3 LLC, a Delaware limited liability company (“CF E 88 Borrower”), (ii) SM E 86 MEZZ 3 LLC, a Delaware limited liability company (“SM E 86 Borrower”), (iii) CF E 86 MEZZ 3 LLC, a Delaware limited liability company (“CF E 86 Borrower”), (iv) SM E 86 MEZZ 3 LLC, a Delaware limited liability company (“SM E 86 Borrower”), and (v) LSG E 86 MEZZ 3 LLC, a Delaware limited liability company (“LSG E 86 Borrower”; and with CF E 88 Borrower, SM E 88 Borrower, CF E 86 Borrower and SM E 86 Borrower, each a “Borrower” or “Pledgor” and collectively the “Borrowers” or “Pledgors”), in, respectively, (a) CF E 88 MEZZ 2 LLC, a Delaware limited liability company, (b) SM E 88 MEZZ 2 LLC, a Delaware limited liability company, (c) CF E 86 MEZZ 2 LLC, a Delaware limited liability company, (d) SM E 86 MEZZ 2 LLC, a Delaware limited liability company, and (e) LSG E 86 MEZZ 2 LLC, a Delaware limited liability company, which in turn owns 100% of the limited liability company membership interests, respectively in (1) CF E 88 MEZZ 1 LLC, a Delaware limited liability company, (2) SM E 88 MEZZ 1 LLC, a Delaware limited liability company, (3) CF E 86 MEZZ 1 LLC, a Delaware limited liability company, (4) SM E 86 MEZZ 1 LLC, a Delaware limited liability company, and (5) LSG E 86 MEZZ 1 LLC, a Delaware limited liability company; which in turn owns 100% of the limited liability company membership interests, respectively, in (x) CF E 88 LLC, a Delaware limited liability company, (y) SM E 88 LLC, a Delaware limited liability company, (z) CF E 86 LLC, a Delaware limited liability company, (aa) SM E 86 LLC, a Delaware limited liability company, and (ab) LSG E 86 LLC, a Delaware limited liability company, which are the tenant-in-common owners of the properties commonly known as 305-313 East 86th Street, New York, New York 10028 (Block: 1549; Lot 1) (“Yorkshire”) and 160 East 88th Street, New York, New York 10128 (Block: 1516; Lot 52) (“Lexington”; and together with Yorkshire, collectively, the “Property”).

The Secured Party, as lender, is the holder of (i) those certain notes evidencing a loan (the “Loan”) to the Pledgors; and (ii) those certain notes evidencing a subordinate loan (the “Subordinate Loan”) to the sole members of each Pledgor. In connection with the Loan, the Pledgors granted to the Secured Party a first priority lien on the Interests pursuant to that certain (i) Pledge and Security Agreement – Mezzanine C, dated as of May 12, 2022, given by CF E 88 MEZZ 3 LLC and CF E 86 MEZZ 3 LLC (the “CF Pledge Agreement”); and (ii) Pledge and Security Agreement – Mezzanine C, dated as of May 12, 2022, given by SM E 88 MEZZ 3 LLC, SM E 86 MEZZ 3 LLC, and LSG E 86 MEZZ 3 LLC (the “SM/LSG Pledge Agreement”); and together with the CF Pledge Agreement, the “Pledge Agreement”). The Secured Party is offering the Interests for sale in connection with the foreclosure on the pledge of such Interests.

The sale of the Interests will be subject to all applicable third-party consents and regulatory approvals, if any, and the outstanding balance due on the Loan pursuant to the terms of the Loan Documents and the outstanding balance due on the Subordinate Loan pursuant to the terms of the Subordinate Loan Documents. Without limitation to the foregoing, please take notice that there are specific requirements for any potential successful bidder in connection with (i) obtaining information and (ii) bidding on the Interests, including but not limited to, that each bidder must deliver such documents and pay such amounts as required by the applicable governing documents relating to the Interests and meeting any requirements shall be at the sole risk, cost, and expense of a prospective bidder.

The Interests are being offered as a single lot, “as-is, where-is”, with no express or implied warranties, representations, statements or conditions of any kind made by the Secured Party or any person acting for or on behalf of the Secured Party, without any recourse whatsoever to the Secured Party or any other person acting for or on behalf of the Secured Party and each bidder must make its own inquiry regarding the Interests. The winning bidder shall be responsible for the payment of all transfer taxes, stamp duties and similar taxes incurred in connection with the purchase of the Interests.

Secured Party reserves the right to credit bid, set a minimum reserve price, reject all bids (including, without limitation, any bid that it deems to have been made by a bidder that is unable to satisfy the requirements imposed by Secured Party upon prospective bidders in connection with the sale or to whom in Secured Party’s sole judgment a sale may not lawfully be made), terminate or adjourn the sale to another time, without further notice, and to sell the Interests at a subsequent public or private sale and to impose any other commercially reasonable conditions upon the sale of the Interests as Secured Party may deem proper. Secured Party further reserves the right to determine the qualifications of any bidder, including a prospective bidder’s ability to close the transaction on the terms and conditions referenced herein and to modify these terms of sale. Secured Party further reserves the right to verify that each certificate for the Interests to be sold bears a legend substantially to the effect that such interests have not been registered under the Securities Act of 1933, as amended (the “Securities Act”), and to impose such other limitations or conditions in connection with the sale of the Interests as the Secured Party deems necessary or advisable in order to comply with the Securities Act or any other applicable law.

All bids (other than credit bids of the Secured Party) must be for cash, and the successful bidder must be prepared to deliver immediately available good funds within ten (10) days after the sale and otherwise comply with the bidding requirements. Further information concerning the Interests, the Data Room, the requirements for bidding on the Interests, and the Terms of Sale can be found at RevereDataSite.com or by contacting Newmark using the contact information below.

Contact Information for Newmark
Attn: Brock Cannon
Tel: +1 (212) 372-2066
E-mail: brock.cannon@nmrk.com

DEA

LEGAL NOTICE

DEA NOTICE OF FORFEITURE

WESTERN DISTRICT OF TEXAS

\$2,100.00 United States Currency.

Seized from Megan Marie Sanchez on May 26, 2021, at 4819 Pecan Grove Boulevard, Apt. 330, San Antonio, Texas. Any person asserting an ownership or possessory interest and desiring to claim the above currency, has 30 days from the date of the first publication, to file a claim with DEA at 5555 Northwest Parkway, Suite 101, San Antonio, Texas 78249. Attn: DEA/ARG

PUBLIC NOTICES

COMMONWEALTH OF MASSACHUSETTS

County of Norfolk

Superior Court

CA. No. 2582CV00741

ORDER OF NOTICE BY PUBLICATION

RE: ePRESENCE, INC., a dissolved Massachusetts Corporation (the “COMPANY”).

TO: THE FORMER STOCKHOLDERS OF THE COMPANY AND SUCH OTHER PERSONS, IF ANY, UNASCERTAINED and any persons as may be their heirs or legal representatives or such persons claiming by, through or under any of them

NOTICE IS HEREBY GIVEN that Keith D. Lowey, as liquidating agent for the ePresence, Inc. Liquidating Trust Agreement u/d/t December 20, 2007 (the “Liquidating Trust”), has filed a Verified Complaint for Declaratory Relief in our Superior Court against the former Stockholders of the Company (the “Defendants”), wherein the Plaintiff is seeking alternative service of process by publication in this declaratory judgment action in which the Plaintiff demands, *inter alia*, that the Court make a binding determination as to the person or persons who shall be entitled to receive a proportionate share of newly recovered assets of the Company.

WE COMMAND YOU if you are a former Stockholder of the Company, or otherwise assert any claim, right or interest in and to the assets of the Company, that on or before September 5, 2025 (the “Responsive Pleading Deadline”) or within such further time as the law allows you do cause your written pleading to be filed in the clerk’s office of the Norfolk County Superior Court, 650 High Street, Dedham, MA 02026, with a copy to David B. Madoff, Esq., Madoff & Khoury LLP, 1224 Washington Street, Suite 202, Foxboro, MA 02035 and further that you defend against said suit according to law if you do assert any such claim, right or interest, and that you do and receive what the Court shall order and adjudge therein.

Hereof fail not, at your peril, or as otherwise said suit may be adjudged and orders entered in your absence.

It appearing to this Court that no personal service of the Complaint has been made on the Defendants identified herein above that after diligent search Plaintiff can find no such persons upon whom they can lawfully make service, it is ORDERED that notice of this suit be given to them by publishing once a week, for three successive weeks, in the *Boston Globe* and the *Wall Street Journal*, with the first publication date to be at least 21 days before the above Responsive Pleading Deadline.

Dated at Dedham, Massachusetts this 11th day of July 2025.

Hon. Michael A. Cahillane, Justice

Clerk of the Courts

By: Walter F. Timilty

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08-IB25-1754CH1748

Gold Has Been on a Hot Streak. Before Cashing In, Here's What to Know.

Coins, bars and certain types of ETFs aren't straightforward to sell and may bring higher taxes than other assets

By DEBBIE CARLSON

GOLD INVESTORS may be looking to cash in on the metal's rally over the past few years. But many of them may not be aware that it can get pretty complicated. Selling gold is a straightforward transaction for buyers who purchased gold-mining stocks or gold-equity mutual funds and exchange-traded funds. However, investors looking to sell physical gold bars and coins will have to find a buyer, and sellers of physical gold and ETFs backed by physical gold or gold futures face potentially higher tax bills than those selling gold-related stocks and funds that hold such stocks. With gold prices up 24% on an annualized basis over the past three years—at around \$3,400 an ounce recently—here's what to know about selling your gold holdings and the tax treatment.

Where to sell gold

It became easier to buy gold when nontraditional retailers such as Costco began selling bars and coins, but many such sellers won't buy back the metal, so investors need to find a buyer. Experts say sellers should look for a dealer—whether online or at a local shop—who has been around at least 10 years. Dealers generally don't list how much they will pay to buy gold, so sellers will need to reach out to dealers individually to get price quotes. Chris Blasi, founder of Neptune-GBX, a precious-metals dealer in Wilmington, Del., says dealers often quote a price that is a certain percentage above or below the prevailing spot market price, known as a premium or discount. In normal market conditions, most dealers' prices will be similar for bullion coins. For example, a dealer may offer to pay a 3% premium over the spot price for a 1-ounce American Eagle gold bullion coin. Premiums and discounts will vary daily



based on a variety of factors including market activity, the brand of coin or bar, and the weight. Delivering gold holdings to dealers can be tricky. Some online dealers will pay for secure shipping and send instructions to securely mail the gold. If not, individuals will have to send their gold through the U.S. post office and insure their holdings; neither FedEx nor UPS allows individuals to ship precious metal. Once dealers test the metal's

purity, they will sell the gold and record the spot price, adding or subtracting the agreed-upon premium or discount to determine the final sale price, says Peter Thomas, chairman of offshore development for Ausecure, a precious-metals dealer in Chicago. Because gold prices can be volatile, the price sellers receive may be higher or lower than the initial quote. Local coin shops are another option to sell gold, especially for

small amounts as online dealers usually have a minimum transaction amount—about \$1,000 to \$2,000. But be mindful of collectible value before selling gold coins you may have inherited or picked up, as numismatic coins sought by collectors can command higher prices than bullion coins.

Paying taxes

There are various tax implications for owning gold, depending

on how long an investor has owned the asset and the type of investment. Sales of gold-mining stocks, whether individual stocks or in mutual funds or ETFs, or physical gold are taxed as ordinary income if the assets are held for less than a year. Gold equities held for longer than one year are subject to standard long-term capital-gains taxes, which is capped at 20%. Long-term holdings of physical gold are taxed at a higher rate, as the Internal Revenue Service considers gold and other precious metals to be collectibles. This tax treatment also affects investors who bought gold-backed ETFs, such as **SPDR Gold Shares (GLD)**. For someone in the highest tax bracket, the rate could be as high as 28%, says Brian Schultz, tax partner at Plante Moran in Southfield, Mich. Investors in lower tax brackets pay the same rate as their income tax, such as 22% for those in that tax bracket. ETFs that track gold-futures contracts, such as **Invesco DB Precious Metals Fund (DBP)**, are commodities pool funds and have an unusual tax treatment. These are typically structured as limited partnerships and are subject to mark-to-market tax reporting, so ETF owners will pay taxes at the end of the calendar year even if they didn't sell the ETF. Another thing to be aware of: If you sold coins or bars, you might not get a tax form from the precious-metals dealer. Regardless, investors need to report any capital gains (or losses) at tax time, says Miklos Ringbauer, founder of MiklosCPA in Southern California. Sellers will need to dig out purchase receipts to determine their cost basis. Anyone who sold gold coins they received as gifts should ask the gift-giver, if possible, for a cost-basis estimate since that amount will transfer to the receiver.

Debbie Carlson is a writer in Chicago. She can be reached at reports@wsj.com.

Forget About Bond Ratings. Time to Maturity Is the Risk to Watch.



By DEREK HORSTMAYER

MANY INVESTORS think the riskiness of their bond portfolio is in the default risk or the country of origin of their holdings. But, in fact, the main source of risk in your bond portfolio is the length of time to maturity of the bonds or bond funds. To study this issue, my research assistants (Huzaifah Shafique and Arnav Pradhan) and I pulled all U.S. dollar-denominated fixed-income mutual-fund data going back 40 years. We then took the average monthly returns across the following fixed-income groupings: short-term Treasury funds (average maturity of six months), long-term Treasury funds (average maturity of 20 years), intermediate Treasury funds (average maturity of six years), world debt funds (average maturity of six years), high-yield corporate debt (average maturity of five years) and investment-grade corporate debt (average maturity of 10 years). With this in hand, we considered two measures of risk: volatility of the bonds, or the standard deviation of monthly returns, and the difference between returns in the 75th percentile of returns and the 25th percentile, where a wide spread equals high risk.

Where the risks lie

The first interesting finding is how much riskier long-term U.S. government debt is than short-term government debt. The average volatility over the past 40

Please turn to page B7

JOURNAL REPORT | INVESTING MONTHLY



7 Questions to Answer Before Adding Your Child To Your Credit Card

Making your kids authorized card users can help them establish credit and learn sound financial behavior, but it’s important to set boundaries and expectations

By CHERYL WINOKUR MUNK

CALL IT the credit-card conundrum: Young adults with minimal borrowing history and limited income can find it difficult to get approved for plastic, yet it’s hard to establish that credit history without a card. The solution? Adding your child as an authorized user on your account. Adding an authorized user isn’t hard. It can be done online or on a credit-card company’s app with little fanfare. But before making this move, financial professionals say it’s important to

think through the pros and cons. Here are seven considerations:

1. When is the right age to add a child as an authorized user? Noah Damsky, principal at Marina Wealth Advisors in Los Angeles, says that while there’s no magic age to add a child as an authorized user, it’s advisable to check with your card issuer because some have a minimum age requirement. Otherwise, he says, the timing depends on what the parent is trying to accomplish. Are you trying to teach the child about the responsibility of having a credit card and spending wisely? Is it because the child is at college and needs a way to

buy small items independently? Is it so that the child has a safety net in case of an emergency? The “when” might be different depending on these answers, Damsky says.

2. Do you have good credit? Primary cardholders should consider adding their child as an authorized user only if they have good credit themselves, with a score ideally in the 700 to 800 range. That’s because your credit activity can have an impact on the authorized user’s credit score, either positively or negatively. The idea is to set your children up early with a positive credit history so they can qualify for their own card, depending on their age and other factors, and a poor credit score might undermine that effort. It’s advisable for primary card owners to pay their cards in full each month

and not get too close to their credit limit.

3. Is there a fee to add an authorized user? There are plenty of cards that allow primary cardholders to add authorized users for free, but some issuers do charge an annual fee for certain cards, so it’s a good idea to check. Chase Sapphire Reserve, for example, charges an annual fee of \$195 for each authorized user. A fee may be acceptable if the card offers perks and services you value, but you might want to weigh the cost against how much extra you might rack up in rewards due to the authorized user’s spending.

4. Is the child likely to spend responsibly? The primary account holder is responsible for all the charges on the account, so if you’re considering adding a child as an authorized user, be sure to set spending limits and controls, says Karen Altfest, executive vice president of Altfest Personal Wealth Management in New York. If you don’t want your child to treat friends to random pizza parties or to buy supplies for fraternity or sorority parties, set those boundaries. Make sure any authorized users understand that their spending has an impact on your credit, and be clear that if they

don’t abide by the “house rules,” they will be removed as an authorized user, she says. Adding a child as an authorized user is an opportunity to teach the child more about budgeting and spending. If you tell your child, for example, that he or she can spend \$500 a month on the card, encourage planning on what it will be used for in a particular month, Altfest says. “You don’t want them to spend everything in a week,” she says. “You’re trying to teach them good spending lessons for the future.” Many children will stay within the limits, but if a child continuously acts like it’s free money, the parent should remove the authorized-user designation.

5. How will you monitor spending? For some families, monitoring the monthly statement for charges may be enough. But other parents prefer to monitor spending on a more real-time basis. Many card issuers allow primary account holders to set up real-time text or email alerts when a purchase is made using the card. This is helpful to track spending and to spot potential fraud or misuse. “It’s just a good way to keep tabs while giving them an opportunity to build trust,” Damsky says.

6. Will your card issuer report the child’s credit history? Financial institutions that issue credit cards have different policies on how and when they report an authorized user’s activity to the three major credit-reporting firms—Experian, Equifax and TransUnion. Some bank issuers, for example, report to the firms only after the age of 18, though in some cases, the report will reflect the child’s length of time as an authorized user. Different credit-card issuers have different policies, and these policies can change over time. So even if you added an older child as an authorized user a few years ago, ask again to make sure nothing has changed, Damsky says.

7. Is there a time to remove a child as an authorized user? Some parents choose to remove the child after a few years, once they have established a good credit history and have opened their own credit-card account. Others might decide to keep the adult child on a little longer, especially if parents are still paying for big bills and prefer their card be used for those purchases or so the child has a second card as a safety net, Damsky says.

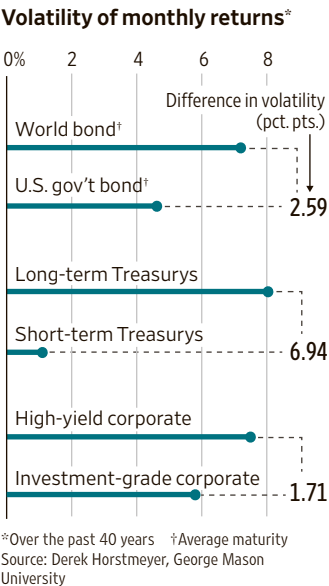
Cheryl Winokur Munk is a writer in New Jersey. She can be reached at reports@wsj.com.

ELIOT WYATT

Forget About Bond Ratings. This Matters More for Risk In Fixed Income.

Continued from page B6 years for long-term Treasuries has been 8.04% annualized; the average volatility for short-term Treasuries, by contrast, has been 1.10% annualized. This produces a difference of 6.94 percentage points in volatility between the two groupings (the largest difference in risk of all comparisons made in our study). The difference between returns in the 75th and 25th percentiles affirms those findings. For long-term U.S. government debt, this so-called interquartile spread over the past 40 years was 2.55 percentage points; for short-term U.S. government debt the spread was 0.45 percentage point. That is a difference of 2.10 percentage points between the two fixed-income groupings. Next up on the risk spectrum: the country of origin for one’s debt holdings. To explore this, we compared the average world bond portfolio to the average intermediate U.S. government debt. For the average world bond fund, we found that the volatility averaged 7.20% annualized over the past 40 years. For the

average intermediate U.S. government bond fund, we found that volatility averaged 4.62% annualized over the same period. This leads to a difference of 2.58 percentage points in risk profiles of the two groupings. Similarly, the difference in interquartile spread between these two groupings was 0.70 percentage point. Finally, we examined the difference between companies with strong credit quality (investment-grade debt) and companies with low credit quality (high-yield corporate debt rated of triple-B-minus and below), matching both groupings on the maturity of their debt to control for that factor. For the high-yield debt grouping, we found that volatility averaged 7.51% over the past 40



years. For the average investment-grade corporate debt fund, we found that volatility averaged 5.80% a year over the period. This gives us a difference in volatility of 1.71 percentage points between the two groupings based on credit quality. Looking at the difference between returns in the 75th and 25th percentiles of these two groupings gives us a similar picture.

Tangible example To demonstrate these relative risks, consider the performance in 2022 when the Federal Reserve raised interest rates by 4 percentage points. In this year, if you had been in the average long-term Treasury fund, you would have lost about 30%. On the other end, if you had been in the average high-yield debt fund, you would have lost only about 9% in the same year. This again highlights that it is the length of time of your debt holdings that is the real risk contained in your debt portfolio. With all of the uncertainty in U.S. markets, investors who wish to reduce risk should make sure they are in short-dated debt funds (under a year in maturity) as opposed to adjusting the credit quality or looking for other regions to invest in. It could save you several percentage points in a down year. Derek Horstmeyer is a professor of finance at Costello College of Business, George Mason University, in Fairfax, Va. He can be reached at reports@wsj.com.

Monthly Monitor • William Power

Stock Funds Advance, Calmly



Fund investors aren’t ignoring tariff turmoil, but they—and investors in general—seem to be making some peace with it. For July, the average U.S.-stock mutual fund or exchange-traded fund posted a total return of 1.7%, according to LSEG data, to push the year-to-date advance to 5.4%. The July gains built on the second quarter’s turnaround, when investors shook off some of the tariff uncertainty that had hurt stocks. International-stock funds, which benefited from the U.S. weakness

earlier in the year, were down an average 1.7% in July, to trim the year-to-date advance to 17.0%. But they are still outpacing many U.S. categories, at least for 2025 so far. Is this a calm before the next market storm? “After a historic surge in volatility around the April 2 tariff announcement and subsequent uncertainty, markets have undergone a dramatic reset,” said Kristian Kerr, head of macro strategy for LPL Financial. “Over the past few months, volatility has not just declined—it has pretty much collapsed.” However, he warned: “Volatility tends to be mean-reverting, meaning periods of extreme calm are often followed by sharp reversals, and vice versa.” (See funds-data tables at WSJ.com/investingmonthly.)

William Power is deputy section editor of Journal Reports. Email him at william.power@wsj.com.

GIACOMO BAGNARA



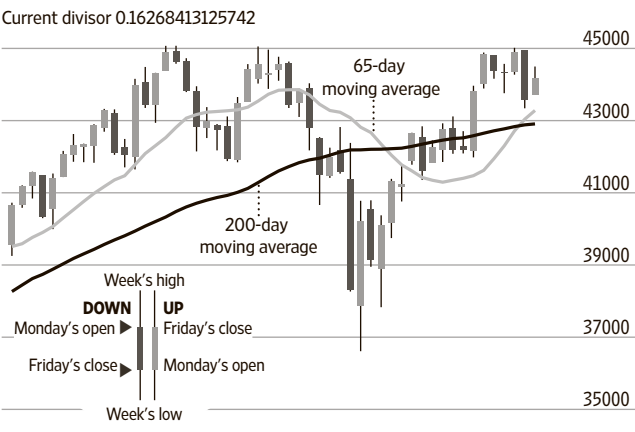
‘Job growth hit the brakes in July, and that could be just what the Fed needs to ease off the gas [and cut rates]. Short term, the road ahead may be bumpy for stocks and investors.’

GINA BOLVIN, Bolvin Wealth Management

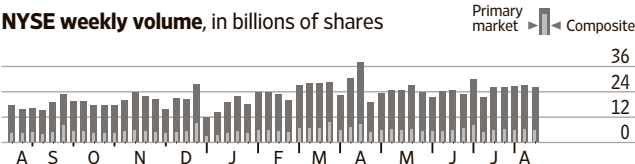
MARKETS DIGEST

Dow Jones Industrial Average

44175.61 ▲587.03, or 1.35% last week
High, low, open and close for each of the past 52 weeks
Last 24.30
Year ago 24.47
Trailing P/E ratio 20.98
P/E estimate * 19.34
Dividend yield 1.65
All-time high 45014.04, 12/04/24



Current divisor 0.16268413125742
Bars measure the point change from Monday's open
Week's high
Monday's open
Friday's close
Monday's close
Week's low



*Weekly P/E data based on as-reported earnings from Biriini Associates Inc.; *Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Week Close	Net chg	% chg	Low	52-Week Close (●)	High	% chg	YTD	3-yr. ann.
Dow Jones											
Industrial Average	44498.43	43724.02	44175.61	587.03	1.35	37645.59	●	45014.04	11.8	3.8	10.4
Transportation Avg	15693.48	15143.21	15340.41	236.17	1.56	12637.04	●	17754.38	12.4	-3.5	1.5
Utility Average	1128.79	1092.69	1113.47	5.57	0.50	953.88	●	1125.79	11.6	13.3	3.1
Total Stock Market	63148.37	62143.13	63054.33	1427.30	2.32	49067.76	●	63196.67	19.2	8.0	14.7
Barron's 400	1345.54	1323.81	1329.66	12.91	0.98	1058.38	●	1356.99	16.3	6.2	11.5
Nasdaq Stock Market											
Nasdaq Composite	21464.53	20833.86	21450.02	799.89	3.87	15267.91	●	21450.02	28.1	11.1	19.3
Nasdaq-100	23619.24	22973.60	23611.27	847.96	3.73	17090.40	●	23611.27	27.5	12.4	21.5
S&P											
500 Index	6395.16	6271.71	6389.45	151.44	2.43	4982.77	●	6389.77	19.6	8.6	15.6
MidCap 400	3161.92	3104.60	3124.49	19.44	0.63	2560.93	●	3390.26	6.4	0.1	7.4
SmallCap 600	1364.80	1328.13	1352.05	29.00	2.19	1106.12	●	1544.66	1.2	-4.0	2.7
Other Indexes											
Russell 2000	2243.16	2177.10	2218.42	51.64	2.38	1760.71	●	2442.03	6.6	-0.5	4.5
NYSE Composite	20642.99	20267.69	20524.24	256.56	1.27	17188.46	●	20950.45	12.4	7.5	10.3
Value Line	609.43	595.89	603.06	7.17	1.20	495.50	●	656.04	3.9	-1.3	1.5
NYSE Arca Biotech	5757.10	5605.52	5696.62	-6.67	-0.12	5060.12	●	6318.63	0.4	-0.9	3.7
NYSE Arca Pharma	921.53	871.79	881.47	-24.99	-2.76	860.88	●	1140.17	-18.4	-5.7	3.2
KBW Bank	141.89	138.95	141.18	1.47	1.05	104.27	●	146.11	32.5	10.8	9.3
PHLX [®] Gold/Silver	232.50	208.49	230.30	23.80	11.53	136.24	●	230.3	61.9	67.9	27.7
PHLX [®] Oil Service	62.33	58.37	60.07	1.41	2.41	50.70	●	83.7	-26.8	-17.3	-2.4
PHLX [®] Semiconductor	5701.51	5474.51	5678.02	150.41	2.72	3562.94	●	5787.32	20.6	14.0	23.6
Cboe Volatility	19.58	15.15	15.15	-5.23	-25.66	12.77	●	52.33	-25.6	-12.7	-10.7

Source: FactSet; Dow Jones Market Data

International Stock Indexes

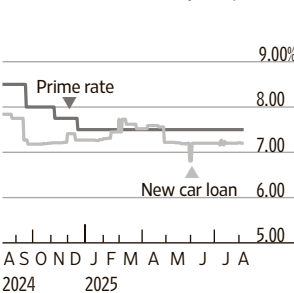
Region/Country	Index	Close	Latest Week % chg	Low	52-Week Range Close	High	YTD % chg
World							
Americas	MSCI ACWI	940.51	2.52	742.96	●	941.35	11.8
	MSCI ACWI ex-USA	383.96	2.67	306.87	●	388.09	17.8
	MSCI World	4125.30	2.55	3254.24	●	4127.47	11.3
	MSCI Emerging Markets	1253.79	2.25	993.45	●	1267.29	16.6
Europe	MSCI AC Americas	2416.80	2.49	1878.80	●	2416.80	9.3
	S&P/TSX Comp	27758.68	2.73	22311.30	●	27920.87	12.3
	MSCI EM Latin America	2325.69	4.53	1842.59	●	2390.23	25.5
	Bovespa	135913.25	2.62	118532.68	●	141263.56	13.0
	S&P IPSA	4436.82	4.39	3367.99	●	4436.82	22.7
	S&P/BMV IPC	58070.17	2.06	48837.72	●	58735.86	17.3
	STOXX Europe 600	547.08	2.11	469.89	●	563.13	7.8
	STOXX Europe 50	4477.47	2.29	3968.17	●	4809.98	3.9
	Euro STOXX	570.14	3.27	481.72	●	573.74	12.8
	Euro STOXX 50	5347.74	3.53	4622.14	●	5540.69	9.2
Asia-Pacific	ATX	4720.83	5.92	3461.19	●	4720.83	28.9
	Bel-20	4733.91	3.69	3862.22	●	4733.91	11.0
	CAC 40	7743.00	2.61	6863.02	●	8206.56	4.9
	DAX	24162.86	3.15	17722.88	●	24549.56	21.4
	Athex Composite	2070.13	5.62	1366.72	●	2070.13	40.9
	Tel Aviv	2930.04	-2.65	1986.66	●	3071.45	22.3
	FTSE MIB	41623.86	4.21	31782	●	41638	21.8
	AEX	891.36	0.73	796.45	●	948.54	1.4
	Oslo Bors All-Share	1872.39	0.82	1563.79	●	1901.60	13.8
	PSI 20	7780.27	2.01	6253.96	●	7791.75	22.0
Latin America	FTSE/JSE All-Share	100855.21	3.18	80560.78	●	100855.21	19.9
	IBEX 35	14824.90	4.94	10638.5	●	14824.9	27.9
	OMX Stockholm	978.73	2.48	824.22	●	1057.57	2.5
	Swiss Market	11866.85	0.26	10887.73	●	13166.68	2.3
	FTSE 100	9095.73	0.30	7679.48	●	9164.31	11.3
	MSCI AC Asia Pacific	208.72	2.25	162.82	●	210.8	14.9
	S&P/ASX 200	8807.10	1.67	7343.3	●	8843.7	7.9
	Shanghai Composite	3635.13	2.11	2704.09	●	3639.67	8.5
	Hang Seng	24858.72	1.43	17090.23	●	25667.18	23.9
	BSE Sensex	79857.89	-0.92	72989.93	●	85836.12	2.2
Middle East/Africa	NIKKEI 225	41820.48	2.50	31136.58	●	41826.34	4.8
	FTSE Bursa Malaysia KLCI	1556.98	1.54	1400.59	●	1678.80	-5.2
	Straits Times	4239.83	2.07	3235.38	●	4273.05	11.9
	KOSPI	3210.01	2.90	2293.70	●	3254.47	33.8
	TAIEX	24021.26	2.50	17391.76	●	24021.26	4.3

Source: FactSet; Dow Jones Market Data

Consumer Rates and Returns to Investor

U.S. consumer rates

A consumer rate against its benchmark over the past year



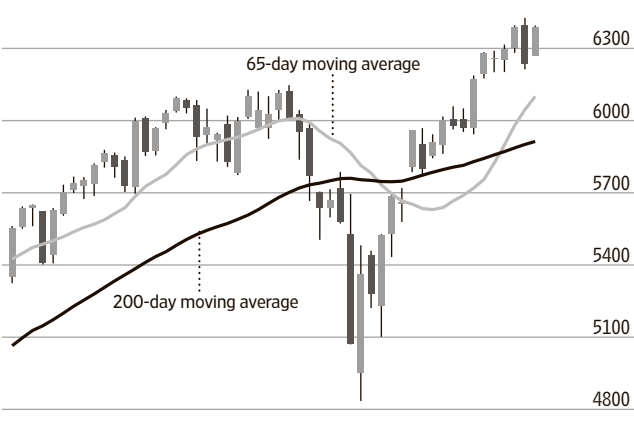
Interest rate	Yield/Rate (%)		52-Week Range (%)					3-yr chg (pct pts)			
	Last (●) Week ago		Low	0	2	4	6		8	High	
Federal-funds rate target	4.25-4.50	4.25-4.50	4.25					●		5.50	2.00
Prime rate*	7.50	7.50	7.50						●	8.50	2.00
SOFR	4.35	4.39	4.26					●		5.38	2.07
Money market, annual yield	0.45	0.44	0.40	●						0.56	0.31
Five-year CD, annual yield	1.70	1.70	1.62		●					1.73	-0.13
30-year mortgage, fixed†	6.69	6.81	6.68					●		7.42	1.03
15-year mortgage, fixed†	5.97	6.06	5.97					●		6.82	1.09
Jumbo mortgages, \$726,200-plus†	6.74	6.87	6.74						●	7.49	1.05
Five-year adj mortgage (ARM)†	6.16	6.26	5.88						●	6.58	1.96
New-car loan, 48-month	7.20	7.21	6.81						●	7.84	2.13

Bankrate.com rates based on survey of over 1,500 online banks. *Base rate posted by 70% of the nation's largest banks. † Excludes closing costs.

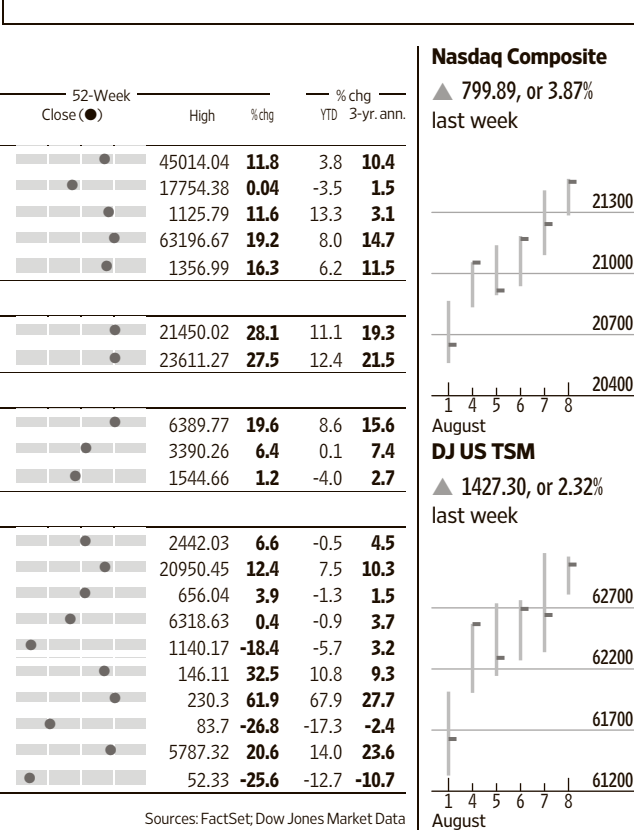
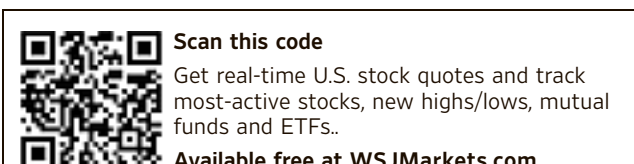
Sources: FactSet; Dow Jones Market Data; Bankrate.com

S&P 500 Index

6389.45 ▲151.44, or 2.43% last week
High, low, open and close for each of the past 52 weeks
Last 24.79
Year ago 23.15
Trailing P/E ratio * 23.74
P/E estimate * 21.92
Dividend yield * 1.20
All-time high 6389.77, 07/28/25



Current divisor 0.16268413125742
Bars measure the point change from Monday's open
Week's high
Monday's open
Friday's close
Monday's close
Week's low



Source: FactSet; Dow Jones Market Data

Commodities and Currencies

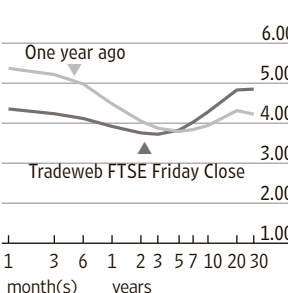
	Close	Last Week Net chg	% chg	YTD % chg
DJ Commodity	1044.93	-2.76	-0.26	2.21
FTSE/CC CRB Index	294.07	-1.21	-0.41	-0.89
Crude oil, \$ per barrel	63.88	-3.45	-5.12	-10.93
Natural gas, \$/MMBtu	2.990	-0.093	-3.02	-17.70
Gold, \$ per troy oz.	3439.10	91.40	2.73	30.80
U.S. Dollar Index	98.27	-0.88	-0.88	-9.42
WSJ Dollar Index	95.44	-0.32	-0.33	-7.12
Euro, per dollar	0.8589	-0.004	-0.46	-11.05
Yen, per dollar	147.73	0.33	0.22	-6.03
U.K. pound, in dollars	1.35	0.0171	1.29	7.49
52-Week Range				
	Low	Close (●)	High	% chg
DJ Commodity	942.52	●	1115.06	7.95
FTSE/CC CRB Index	265.48	●	316.63	6.56
Crude oil, \$ per barrel	57.13	●	80.06	-16.87
Natural gas, \$/MMBtu	1.904	●	4.491	39.52
Gold, \$ per troy oz.	2432.10	●	3439.20	41.40
U.S. Dollar Index	96.78	●	109.96	-4.72
WSJ Dollar Index	93.91	●	103.61	-2.62
Euro, per dollar	0.8469	●	0.9760	-6.24
Yen, per dollar	140.61	●	158.36	0.76
U.K. pound, in dollars	1.22	●	1.37	5.41



Benchmark Yields and Rates

Treasury yield curve

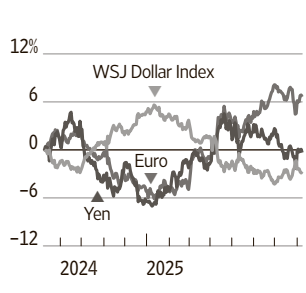
Yield to maturity of current bills, notes and bonds



Sources: Tradeweb FTSE U.S. Treasury Curve; Tullett Prebon; Dow Jones Market Data

Forex Race

Yen, euro vs. dollar; dollar vs. major U.S. trading partners



Corporate Borrowing Rates and Yields

Bond total return index	Yield (%) Last	Wk ago	Spread +/- in basis pts, 52-wk Range	Treasury, Last	Low	High	Total Return 52-wk	3-yr
U.S. Treasury, Bloomberg	4.060	4.000					2.67	1.21
U.S. Treasury Long, Bloomberg	4.530	4.480					-2.85	-4.01
Aggregate, Bloomberg	4.530	4.480	31	30	43		3.59	2.85
Fixed-Rate MBS, Bloomberg	4.960	4.920	38	31	49		3.56	1.71
High Yield 100, ICE BofA	6.381	6.493	229	191	382		9.00	7.92
Muni Master, ICE BofA	3.600	3.644	4	-6	6		0.26	1.57
EMBI Global, J.P. Morgan	7.099	7.179	271	271	362		8.96	7.33

Sources: J.P. Morgan; S&P Dow Jones Indices; Bloomberg Fixed Income Indices; ICE BofA

New to the Market

Public Offerings of Stock

IPOs in the U.S. Market

None expected this week

Lockup Expirations

Below, companies whose

HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Tariffs Won't Solve U.S.'s Chip Dilemma

Trump's proposed semiconductor tariffs—and exemptions—don't line up with their supposed purpose

President Trump's chip-tariff regime could disrupt the global electronics trade and send prices of all kinds of goods higher. One thing it appears unlikely to do: bring advanced chip-making roaring back in the U.S.

Trump last week threatened a 100% tariff on "chips and semiconductors," but offered an exemption. Companies that commit to "build in the U.S." won't have to pay the duty, according to Trump.

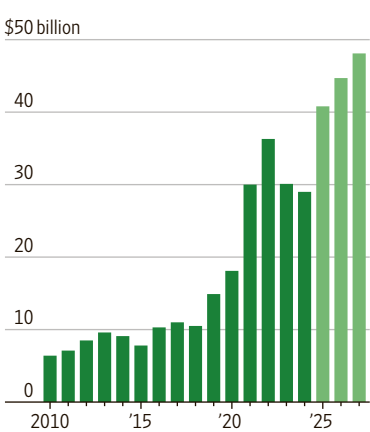
While vague, that appears logical on its face. If the point of the tariffs is to cajole companies into doing more of their work in the U.S., they ought to get a reprieve when they do that.

One issue is that all the world's big chip companies are already investing in U.S. production, encouraged in part by subsidies doled out by the prior administration. Meanwhile, other big technology companies are likely to invest in areas other than advanced chip production to get their own exemptions.

Taiwan Semiconductor Manufacturing is building chip factories north of Phoenix that are part of \$165 billion of U.S. investments. South Korea's **Samsung Electronics** is building a project in Texas valued at \$40 billion. The list goes on.

It seems likely those chip manufacturers will win exemptions on tariffs thanks to the size of these investments. But if so, the latest tariffs won't incentivize them to keep adding to their U.S. operations. If anything, the incentive will be to make just enough U.S. investment to appease politicians, then import whatever else is needed, especially considering the substantially higher cost of manufacturing in the U.S.

TSMC's capital expenditures



Note: 2025-27 are projections. Source: FactSet

Apple is the first and largest customer of TSMC's factory in Phoenix, shown at left.

Those higher U.S. costs have been a core issue for foreign chip-makers that the tariffs won't alleviate. TSMC told investors last month that it expects the higher cost of its U.S. fabrication to weigh down companywide gross margins by 2 to 3 percentage points over the next few years. And those fabs aren't even first in line for the company's most expensive and most advanced technology. TSMC's Arizona facilities are currently producing chips with the company's N4 process technology—two generations older than the N2 process the company is about to launch in its Taiwan fabs.

TSMC may be just one company, but advanced chip making is a game only few can play. TSMC, Samsung and Intel are the only chip makers in the world that can



CHERYL EVANS/THE REPUBLIC/USA TODAY NETWORK/IMAGN IMAGES/REUTERS

produce at the most technically advanced process nodes. And Intel is struggling for survival—having slashed its workforce and capital spending plans to conserve cash as it tries to catch up to TSMC. Trump's recent broadside against Intel's Malaysian-born chief executive adds even more uncertainty to the chip giant's outlook.

Counterintuitively, chip tariffs might end up having a more dramatic effect on electronics companies that don't make chips, because they have so much to lose from tariffs on vital imported components. **Apple's** tariff exemption—secured through pledges for \$600 billion of investments over the next four years—saved the company from costs that could have undermined its U.S. business.

Its peers—at least those with

deep pockets—will likely aim for the same tariff-free treatment.

If the goal is to spur investment in U.S. manufacturing generally, this might make sense. But if the aim of chip tariffs was to bring more advanced chip manufacturing to the U.S., these pledges are hardly silver bullets.

Apple's U.S. investments do support domestic advanced chip-making: The company is the first and largest customer of TSMC's factory in Arizona and is working with Samsung to devise chip-making technology in Texas, among other efforts. But Apple is also spending big on server manufacturing, expanding its data centers and adding to its campus in Austin, Texas—all activities that have less bearing on the domestic chip industry.

It is also notable that much of

what Apple is doing was already in progress before the tariff threat. Chief Executive Tim Cook said in 2022 during a joint press conference with President Joe Biden that Apple would use TSMC's Arizona chips. Now that Apple has a tariff exemption, the tariffs provide no nudge to do more.

What is more, U.S.-based manufacturing will still come at a premium, and someone will have to cover the price. "The higher cost of tariffs and U.S. production will eventually be shared across U.S. consumers and different parts of the supply chain," Bernstein Research analysts wrote in a report Thursday.

There remain good reasons for chip makers to expand in the U.S., of course. The companies have tapped grant money under 2022's Chips Act to increase their U.S. manufacturing. They also have access to tax credits for purchases of chip-making equipment that increased in Trump's "big, beautiful bill" last month.

Many companies also see value in locating more of their supply chains in the U.S. to avoid the kind of shock they experienced during the Covid-19 pandemic. There is a geopolitical calculation at play, too, that has little to do with tariffs: A more aggressive Chinese posture toward Taiwan, a widening of conflicts in the Middle East, or any number of other potential political disruptions all give companies reasons to want more of their semiconductor supply chain close to home.

Those factors have been, and will continue to be, the main drivers of chip investment in the U.S.—not tariffs.

—Asa Fitch and Dan Gallagher

BUSINESS & FINANCE

Dimon's Summer Bus Tour

Continued from page B1

The bank has hoovered up deposits faster than any of its peers, in part by reaching individuals and small businesses in areas that aren't well-served by banks or are on the cusp of an economic boom. Now, the bank is growing almost everywhere. Under Dimon's watch, Chase has expanded to have branches in all 48 contiguous states and has an ATM in Hawaii.

Dimon's bus trips started in 2011 as a way to root out problems at branches far from the bank's New York headquarters. As JPMorgan got bigger, so did the bus tour.

The expeditions are elaborate corporate affairs, with JPMorgan planners coordinating welcomes at each stop. When the trips started, Dimon and his team traveled from Seattle to San Diego by bus. Now they hop onto the company's private jets for some legs of the tour. Parties on the tours have become bigger, with a shindig in Atlanta last week bringing in more than 250 bankers, clients and Republican Georgia Gov. Brian Kemp.

Dimon credits JPMorgan's rise to its strategy of embedding itself in local economies and growing alongside them. The bus trips have become a way to capitalize on those opportunities, drumming up enthusiasm among employees and courting local officials who can help open doors and clear red tape. In Detroit, JPMorgan expanded rapidly after joining with its mayor to revitalize the city.

Now the bank is eyeing the Deep South, where Dimon plans to deploy a similar playbook in economically struggling cities such as Jackson, Miss., and to expand in up-and-coming places including Huntsville, Ala. Competitors like **Regions Financial** and **PNC Financial Services** have much bigger footprints there, for now.

"Even though we're starting very small in some cities, we're growing almost every-



EMILY KASK/REUTERS

Top, employees greet Jamie Dimon as he arrives at the downtown Jackson, Miss., branch of Chase Bank in July; below left, the tour bus in Jackson.



where," Dimon said as the bus rolled on the interstate.

New outposts

Dimon's first bus tour started when Chase Bank began to sprawl across the country.

After JPMorgan acquired the banking operations of Washington Mutual during the 2008-09 financial crisis, Chase suddenly had some 2,300 new branches, most of which were located on the Pacific Coast. JPMorgan had never operated a consumer bank network that far west and wanted to consolidate some of it, so Dimon decided to get out of New York and visit the new outposts.

During a five-day trip from Seattle to San Diego, he and his team interviewed staff at

recently rebranded Chase branches. They found a range of byzantine procedures, Dimon said, such as a requirement to file mortgage applications by fax.

"By the end of that trip, we had over 1,000 things to fix," Dimon said. "I'm not kidding."

Once back in New York, executives made changes based on the feedback. Customer satisfaction improved noticeably, and a tradition was born.

Dimon has taken a bus trip every year since, with two exceptions. One was tied to his treatment for throat cancer in 2014, and the other was during the Covid-19 pandemic.

In 2012, the team traveled to the Detroit area, where Chase was already one of the biggest banks in town, but Dimon wanted an increased

presence.

The city had fallen on tough times, with the population down some 30% between 1990 and 2010. Dimon in 2014 saw his window to swoop in, after the businessman Mike Duggan was elected mayor and said he would accept the help of anyone willing to help turn around the city. He soon got a call from Dimon.

"I thought, yeah right, this must be a prank," Duggan said in an interview.

Dimon said JPMorgan wanted to help rehabilitate the city, Duggan recalled. The better Detroit's economy was doing, the better JPMorgan's local banks would do.

Duggan accepted the offer, and Dimon soon had his economists pulling up reams of Chase spending data to help the city figure out which neighborhoods it should target to improve city services. After touring the city's abandoned houses, Dimon and his team came up with a mortgage product that would help new owners finance a rehab of the properties.

Chase opened new branches and donated \$150 million to help clean up blighted neighborhoods and support small businesses. The efforts paid off: JPMorgan's deposits in

Detroit increased to \$33 billion from \$22 billion between 2014 and last year.

"We kind of flipped the order and came in to work with local partners earlier before building up," said Marianne Lake, head of JPMorgan Chase's consumer arm and a regular on the bus tours.

Building local ties

Dimon's model of expanding Chase Bank by working with elected officials soon went national.

For years, JPMorgan was confined to expansion in markets where it had an existing footprint.

After Donald Trump was elected president in 2016, regulators walked back some of their post-financial crisis crackdown on big banks and blessed their interstate expansion plans. In 2017, Dimon told his staff at Chase to open branches in every state where they didn't have a presence.

The bank went from being in 23 states at the start of 2016 to having a foothold in all 48 of the continental U.S. states by summer 2021.

With Chase branches from Montana to Miami, Dimon has started to embrace the idea that the firm can grow every-

where across the U.S. Most banks have been doing the opposite, shedding employees and branches to cut costs, especially with the rise of digital banking.

JPMorgan has grown especially fast south of the Mason-Dixon Line.

In the Washington, D.C., area, Chase went from having no presence in 2017 to 84 branches this year. Before it built out the branch network, Peter Scher, a top JPMorgan executive, co-founded the Greater Washington Partnership to encourage dialogue between major employers and elected officials.

JPMorgan remains a minor player in some places like Birmingham, where it has three branches. The recent arrival of Dimon's bus is a sign that status is set to change.

At the Country Club of Birmingham, Dimon was the guest of honor at an event where Alabama Attorney General Steve Marshall and other state officials were in attendance. Before a Q&A with the well-heeled audience, a JPMorgan banker discussed a \$2 million grant the firm made to create the Alabama Capital Access Collaborative, an initiative that helps provide microloans to local small businesses.

Dimon also sees the bus trips as a time to bond with his team—a practice he has long said is part of good leadership.

At the end of a marathon day in the Birmingham area, Dimon and his team, including the commercial-bank co-head, Melissa Smith, and the head of bank branches, Tom Horne, shared fried chicken sliders and egg rolls at the Grand Bohemian Mountain Brook hotel. Dimon talked about recent books he has read—including a biography of Dwight D. Eisenhower—and his love of barbecuing at home in suburban New York.

Dimon said he knows he could skip the trips and delegate them to his executives. But he thinks it is important to get out to see the towns and cities where JPMorgan does business.

"I have never been to a place, anywhere in this country or the world, where just showing up isn't a sign of respect," Dimon said as the bus zoomed on to its next stop.